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Here's a summary of the differences between a company, firm, and association:

Company:

1. **Registered Entity:** A company is a registered entity under the Companies Act.
2. **Separate Legal Entity:** A company is considered a separate legal entity from its owners (shareholders).
3. **Limited Liability:** Shareholders have limited liability, protecting their personal assets.
4. **Formal Structure:** Companies have a formal structure, with a board of directors, shareholders, and officers.
5. **Profit-Oriented:** Companies are typically established to generate profits.

Firm:

1. **General Term:** A firm is a general term that refers to a business organization.
2. **Variable Structure:** Firms can have various structures, including sole proprietorships, partnerships, or corporations.
3. **Liability:** The liability of owners in a firm can vary, depending on the type of business structure.
4. **Informal Structure:** Firms often have a more flexible or informal structure.
5. **Profit-Oriented:** Firms are typically established to generate profits.

Association:

1. **Non-Profit Focus:** Associations are often formed for non-profit or social purposes.
2. **Membership-Based:** Associations typically have members who share common interests or goals.



3. **Governance Structure:** Associations often have a governance structure, such as a board of directors or council.

4. **Voluntary Membership:** Members typically join voluntarily and may choose to leave.

5. **Not Necessarily Registered:** Associations may or may not be registered entities.

Key differences:

1. **Purpose:** Companies and firms are typically profit-oriented, while associations are often focused on non-profit or social goals.

2. **Structure:** Companies have a formal structure, while firms can have a more flexible structure, and associations often have a governance structure.

3. **Liability:** Companies offer limited liability protection, while firms and associations may have varying levels of liability protection.

In summary, companies are formal, registered entities with limited liability protection, firms are more general business organizations with varying structures, and associations are membership based organizations with a focus on non-profit or social goals.

Types of companies, each with its own characteristics and advantages. Here are some common types of companies:

1. Private Limited Company (Pvt Ltd):

- Owned by private individuals or shareholders

- Limited liability protection for shareholders

- Not allowed to invite public to subscribe to shares

2. Public Limited Company (Ltd):

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- Owned by public shareholders

- Can invite public to subscribe to shares

- Listed on stock exchanges

- Must comply with strict regulatory requirements

3. Sole Proprietorship:

- Owned and operated by one individual

- No separation between personal and business assets

- Unlimited liability for the owner

4. Partnership:

- Owned and operated by two or more individuals

- Partners share profits and losses

- Can be general partnership or limited partnership

5. Limited Liability Partnership (LLP):

- Combines features of partnership and company

- Partners have limited liability protection

- More flexible than traditional companies

6. Joint Stock Company:

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Owned by shareholders who can buy and sell shares

Can be private or public

- Governed by company's articles and memorandum

7. Multinational Company:

- Operates in multiple countries

- Can have global presence and operations

- Often large and complex organizations

8. Small and Medium Sized Enterprise (SME):

- Smaller companies with limited number of employees and revenue

- Can be privately owned or family-owned

- Often more agile and innovative than larger companies

9. Non Profit Company:

- Formed for social or charitable purposes

- Not driven by profit motive

- Can apply for tax-exempt status

10. Holding Company:

- A company that owns shares in other companies

- Can control or influence operations of subsidiary companies

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- Often used for strategic or financial purposes

11. Joint Venture Company:

A company formed by two or more parties to achieve a specific business objective

- Partners share resources, risks, and rewards

- Can be used for large-scale projects or entering new markets

12. Cooperative Company:

- Owned and controlled by its members, who share resources and benefits

- Often formed to promote mutual interests or achieve economies of scale

- Can be found in industries like agriculture, finance, or housing

13. Franchise Company:

- A company that grants others the right to use its business model, trademark, and processes

- Franchisees pay fees and royalties to the franchisor

- Can be a popular way to start a business with a proven model

14. Close Corporation:

- A company with a limited number of shareholders, often family members or close associates

- Shares are not publicly traded

- Governance structure can be more flexible than larger companies

15. Statutory Corporation:

- A company established by a special statute or law

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- Often formed to regulate or oversee specific industries or activities

- Can have unique powers and responsibilities

16. Government Owned Company:

- A company owned and controlled by the government

- Can be formed to provide public goods or services - Often subject to specific regulations and oversight

17. Private Company Limited by Guarantee:

A company with members who guarantee a specific amount of money in case the company is wound up

- Often used for non-profit or charitable organizations

- Members have limited liability

18. Unlimited Company:

- A company where shareholders have unlimited liability

- Shareholders are personally responsible for all company debts

- Rarely used due to the high level of personal risk

19. Dormant Company:

- A company that is not actively trading or conducting business

- May be used to hold assets or maintain a business name

- Must still comply with regulatory requirements

20. Offshore Company:

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- A company registered in a jurisdiction outside of the owner's country of residence

- Often used for international business, tax planning, or asset protection

- Must comply with laws and regulations of the jurisdiction where it is registered

21. Family Owned Company:

- A company owned and controlled by family members - Can be passed down through generations

- Often has a strong sense of family identity and values

22. Start up Company:

A new company in the early stages of development

- Often focused on innovative products or services

- May seek funding from investors or venture capitalists

Types of firms:

1. Sole Proprietorship Firm:

- Owned and operated by one individual

- No separation between personal and business assets

- Unlimited liability for the owner

2. Partnership Firm:

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- Owned and operated by two or more individuals

- Partners share profits and losses

- Can be general partnership or limited partnership

3. Limited Liability Partnership (LLP) Firm:

- Combines features of partnership and company

- Partners have limited liability protection

- More flexible than traditional companies

4. Professional Services Firm:

Provides specialized services like law, accounting, or consulting

- Often requires specific expertise or certifications

- Can be structured as a partnership or company

5. Consulting Firm:

- Provides expert advice and guidance to clients

- Can specialize in areas like strategy, operations, or IT

- Often employs experienced professionals with specific expertise

6. Law Firm:

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- Provides legal services to clients

- Can specialize in areas like corporate law, litigation, or intellectual property - Often employs lawyers and legal professionals

7. Accounting Firm:

- Provides accounting, auditing, and tax services to clients

- Can specialize in areas like financial reporting, tax planning, or forensic accounting - Often employs certified accountants and financial professionals

8. Investment Firm:

- Provides investment services like portfolio management, asset allocation, and wealth management

- Can specialize in areas like stocks, bonds, or alternative investments

Often employs experienced investment professionals

9. Financial Services Firm:

- Provides financial services like banking, insurance, or lending

- Can specialize in areas like corporate finance, retail banking, or investment banking - Often employs financial professionals with specific expertise

10. Technology Firm:

- Develops and sells technology products or services

- Can specialize in areas like software development, IT consulting, or cybersecurity

- Often employs tech professionals with specific expertise.

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11. Advertising Firm:

- Creates and implements advertising campaigns for clients

- Can specialize in areas like digital marketing, social media, or brand management

- Often employs creative professionals like copywriters, art directors, and designers

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12. Marketing Firm:

- Provides marketing services like market research, branding, and campaign development

- Can specialize in areas like inbound marketing, outbound marketing, or account-based marketing

- Often employs marketing professionals with expertise in strategy and analytics

13. IT Consulting Firm:

- Provides technology consulting services to businesses

Can specialize in areas like IT strategy, cybersecurity, or digital transformation

- Often employs tech professionals with expertise in specific technologies or industries

14. Human Resources Firm:

- Provides HR services like recruitment, talent management, and benefits administration

- Can specialize in areas like executive search, HR consulting, or payroll processing

- Often employs HR professionals with expertise in talent management and employee engagement

15. Architecture Firm:



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- Designs and plans buildings and other structures

- Can specialize in areas like residential, commercial, or industrial architecture - Often employs licensed architects and designers

16. Engineering Firm:

- Provides engineering services like design, testing, and implementation

- Can specialize in areas like mechanical engineering, electrical engineering, or civil engineering

- Often employs licensed engineers with expertise in specific disciplines

17. Research Firm:

- Conducts research and analysis in various fields like market research, social sciences, or scientific research

- Can specialize in areas like quantitative research, qualitative research, or data analysis

- Often employs researchers with expertise in specific methodologies or disciplines

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18. Non-Profit Firm:

- A firm that operates for a social or charitable purpose
- Can specialize in areas like fundraising, grant writing, or community development
- Often employs professionals with expertise in non-profit management and fundraising

19. Family Office Firm:

- A firm that manages the wealth and financial affairs of a single family or a small group of families
- Can provide services like investment management, tax planning, and estate planning
- Often employs professionals with expertise in wealth management and family office operations

20. Boutique Firm:

- A small, specialized firm that provides high-end services in a specific area
- Can specialize in areas like luxury branding, high-net-worth individuals, or niche industries - Often employs experienced professionals with expertise in specific areas.

21. Digital Agency Firm:

- Provides digital services like web design, development, and digital marketing
- Can specialize in areas like e-commerce, mobile app development, or digital strategy
- Often employs professionals with expertise in design, development, and digital marketing

22. Creative Agency Firm:

- Provides creative services like branding, advertising, and design

Can specialize in areas like graphic design, copywriting, or art direction

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- Often employs creative professionals with expertise in design, writing, and art

23. Financial Planning Firm:

- Provides financial planning services like retirement planning, estate planning, and investment planning Can specialize in areas like wealth management, tax planning, or insurance planning - Often employs financial planners with expertise in specific areas

24. Real Estate Firm:

- Provides real estate services like property management, sales, and brokerage

- Can specialize in areas like residential, commercial, or industrial real estate

- Often employs real estate agents and brokers with expertise in specific markets

25. Logistics Firm:

- Provides logistics services like transportation, warehousing, and supply chain management

- Can specialize in areas like freight forwarding, customs clearance, or inventory management

- Often employs logistics professionals with expertise in specific industries or regions

26. Event Management Firm:

- Provides event planning and management services for corporate events, weddings, and other occasions

- Can specialize in areas like conference planning, event design, or event marketing - Often employs event planners with expertise in specific areas

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27. Public Relations Firm:

- Provides public relations services like media relations, crisis communications, and reputation management

- Can specialize in areas like corporate communications, social media, or issues management

- Often employs PR professionals with expertise in specific industries or areas

28. Software Development Firm:

- Develops software solutions for businesses and individuals

Can specialize in areas like mobile app development, web development, or enterprise software

- Often employs software developers with expertise in specific programming languages or technologies

29. Market Research Firm:

- Provides market research services like surveys, focus groups, and data analysis

- Can specialize in areas like quantitative research, qualitative research, or market segmentation

- Often employs market researchers with expertise in specific methodologies or industries

30. Training and Development Firm:

- Provides training and development services like corporate training, leadership development, and skills training

- Can specialize in areas like e-learning, instructional design, or coaching

Often employs trainers and developers with expertise in specific areas.

These are just a few more examples of the many types of firms that exist. Each type of firm has its own unique characteristics and requirements.

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Types of associations:

1. Professional Association:

- Represents professionals in a specific industry or field
- Provides networking opportunities, training, and advocacy
- Examples: medical associations, engineering associations

2. Trade Association:

- Represents businesses or industries with common interests
- Advocates for industry interests, provides market research, and sets standards

Examples: chamber of commerce, industry trade groups

3. Social Association:

- Focuses on social causes, community development, or charitable activities
- Provides support, resources, and networking opportunities
- Examples: community organizations, social clubs

4. Membership Association:

- Has members who share common interests or goals
- Provides benefits, services, and networking opportunities to members
- Examples: alumni associations, book clubs

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5. Non Profit Association:

- Operates for a social or charitable purpose

- May provide services, advocacy, or support to specific groups

- Examples: charities, foundations

6. Community Association:

- Focuses on community development, neighbourhood initiatives, or local issues

- Provides support, resources, and networking opportunities

- Examples: homeowners associations, community centres

7. Industry Association:

- Represents companies or professionals in a specific industry

- Provides industry insights, networking opportunities, and advocacy

- Examples: tech industry associations, healthcare associations

8. Alumni Association:

- Represents graduates of a specific school or university

- Provides networking opportunities, events, and support

- Examples: university alumni associations

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9. Sports Association:

- Focuses on sports, fitness, or recreation

- Provides opportunities for competition, training, and networking

- Examples: sports leagues, fitness clubs

10. Cultural Association:

- Promotes cultural heritage, arts, or traditions

- Provides opportunities for cultural exchange, education, and appreciation

- Examples: cultural centres, language clubs

11. Advocacy Association:

- Advocates for specific causes, issues, or policies

- Provides education, support, and lobbying efforts

- Examples: human rights organizations, environmental groups

12. Educational Association:

Focuses on education, research, or academic pursuits

- Provides resources, networking opportunities, and professional development - Examples: academic organizations, educational institutions

13. Business Association:

- Represents businesses or entrepreneurs

- Provides networking opportunities, training, and advocacy

- Examples: small business associations, entrepreneurship organizations

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14. Environmental Association:

- Focuses on environmental conservation, sustainability, or protection

- Provides education, advocacy, and community engagement

- Examples: environmental organizations, conservation groups

15. Health Association:

- Focuses on health, wellness, or medical research

- Provides education, advocacy, and support

- Examples: health organizations, medical associations

16. Arts Association:

- Promotes arts, culture, or creative expression

- Provides opportunities for artistic development, exhibition, and appreciation - Examples:

art organizations, music associations

17. Youth Association:

- Focuses on youth development, education, or empowerment

Provides opportunities for personal growth, leadership, and community engagement - Examples:

youth organizations, scouting groups

18. Women's Association:

- Focuses on women's empowerment, rights, or interests

- Provides support, resources, and advocacy

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- Examples: women's organizations, feminist groups

19. Faith-Based Association:

- Focuses on spiritual growth, community, or charitable activities

- Provides opportunities for worship, service, and fellowship

- Examples: religious organizations, faith-based charities

20. International Association:

- Focuses on global issues, international relations, or cross-cultural exchange

- Provides opportunities for networking, education, and collaboration

- Examples: international organizations, global NGOs

21. Student Association:

- Represents students' interests, rights, or welfare

- Provides opportunities for leadership, advocacy, and community engagement

- Examples: student governments, student organizations

22. Volunteer Association:

Focuses on volunteerism, community service, or philanthropy

- Provides opportunities for volunteering, networking, and making a difference -

Examples: volunteer organizations, community service groups

23. Cooperative Association:

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- Focuses on cooperative principles, mutual aid, or collective ownership

- Provides opportunities for economic empowerment, community development, and social justice -

Examples: cooperatives, mutual aid societies

24. Historical Association:

- Focuses on preserving history, cultural heritage, or historical sites

- Provides opportunities for education, research, and preservation

- Examples: historical societies, preservation organizations

25. Labor Association:

- Represents workers' interests, rights, or welfare

- Provides opportunities for collective bargaining, advocacy, and support - Examples:

labor unions, trade unions

26. Agricultural Association:

- Focuses on agriculture, farming, or rural development

- Provides opportunities for networking, education, and advocacy

Examples: farmers' organizations, agricultural cooperatives

27. Real Estate Association:

- Represents real estate professionals, buyers, or sellers

- Provides opportunities for networking, education, and advocacy

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- Examples: real estate boards, property owners' associations

28. Technology Association:

- Focuses on technology, innovation, or digital development

- Provides opportunities for networking, education, and advocacy

- Examples: tech industry associations, digital rights organizations

29. Disability Association:

- Focuses on disability rights, advocacy, or support

- Provides opportunities for empowerment, education, and community engagement - Examples: disability rights organizations, accessibility advocacy groups

30. Senior Association:

- Focuses on issues affecting seniors, such as healthcare, retirement, or aging

- Provides opportunities for support, education, and advocacy

- Examples: senior citizens' organizations, retirement associations

31. Community Development Association:

- Focuses on community development, economic growth, or social improvement

- Provides opportunities for networking, education, and advocacy

- Examples: community development organizations, economic development councils

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32. Human Rights Association:

- Focuses on human rights, social justice, or equality

- Provides opportunities for advocacy, education, and community engagement - Examples: human rights organizations, social justice groups

33. Animal Welfare Association:

- Focuses on animal welfare, conservation, or protection

- Provides opportunities for advocacy, education, and community engagement - Examples: animal welfare organizations, animal shelters

34. Parent-Teacher Association (PTA):

- Focuses on supporting students, parents, and teachers in educational settings

- Provides opportunities for networking, volunteerism, and advocacy

- Examples: school PTAs, parent-teacher organizations

Here are some fundamental accounting concepts:

1. Accounting Entity:

- Assumes that the business is separate from its owners, creditors, and other businesses.

2. Going Concern:

- Assumes that the business will continue to operate for the foreseeable future.

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3. Monetary Unit:

- Assumes that all transactions are recorded in a common currency (e.g., dollars, rupees).

4. Historical Cost:

- Assets and liabilities are recorded at their original cost, rather than current market value.

5. Matching Principle:

- Expenses are matched with the revenues they help to generate.

6. Materiality:

- Financial information is considered material if its omission or misstatement could influence the decisions of investors or creditors.

7. Consistency:

- Accounting methods and procedures are consistent from one period to another.

8. Comparability:

- Financial statements are presented in a way that allows for comparison with other companies and industries.

9. Accrual Accounting:

- Revenues and expenses are recognized when earned or incurred, regardless of when cash is received or paid.

10. Conservatism:

- Accountants tend to err on the side of caution when making estimates or judgments.

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These accounting concepts provide a foundation for preparing financial statements and ensure that financial information is presented in a consistent and reliable manner.

The three golden rules of accounting are fundamental principles that guide the recording of financial transactions. Here's a breakdown of these rules:

- Rule 1: Personal Accounts

- Debit the receiver: When a person or entity receives something, their account is debited.
- Credit the giver: When a person or entity gives something, their account is credited.

- Rule 2: Real Accounts

- Debit what comes in: When an asset or value comes into the business, the corresponding account is debited.
- Credit what goes out: When an asset or value goes out of the business, the corresponding account is credited.

Rule 3: Nominal Accounts

- Debit expenses and losses: When a business incurs an expense or loss, the corresponding account is debited.
- Credit income and gains: When a business earns income or gain, the corresponding account is credited.

These rules help maintain accuracy, consistency, and clarity in financial record-keeping, ensuring that financial statements are reliable and informative. By applying these rules, businesses can ensure compliance with accounting standards and regulations, making it easier to make informed decisions [1] [2].

Here are the three golden rules of accounting with examples:

Rule 1: Personal Accounts



- Debit the receiver, Credit the giver

Example:

- John purchases goods worth $1000 from XYZ Corporation. In this case:

- John's account (purchaser) is debited $1000 (receiver)

- XYZ Corporation's account (seller) is credited $1000 (giver)

Rule 2: Real Accounts

- Debit what comes in, Credit what goes out

Example:

- A company purchases office equipment worth $5000. In this case:

- Office Equipment account (asset) is debited $5000 (what comes in)

- Cash account is credited $5000 (what goes out)

Rule 3: Nominal Accounts

- Debit expenses and losses, Credit income and gains

Example:

- A company pays rent of $2000 for the month. In this case:

- Rent Expense account (expense) is debited $2000 (expense)

- Cash account is credited $2000 (payment)

Another example:

- A company earns service revenue of $3000. In this case:

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- Cash account (or Accounts Receivable) is debited $3000 (receipt)

- Service Revenue account (income) is credited $3000 (income)

By applying these rules, accountants can ensure accurate and consistent recording of financial transactions.

Capital:

- Capital refers to the investment made by the owner(s) in the business.

- It's the amount invested to start or grow the business.

Example:

- John invests $100,000 to start his business. In this case, the $100,000 is considered capital.

Asset:

- An asset is a resource owned or controlled by the business that provides future economic benefits.

- Assets can be tangible (e.g., equipment, property) or intangible (e.g., patents, copyrights).

Examples:

- A company purchases office equipment worth $10,000. The office equipment is an asset.

- A company owns a building worth $500,000. The building is an asset.

Expenses:

- Expenses are costs incurred by the business to generate revenue.

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- Expenses are typically recorded in the income statement and reduce net income.

Examples:

- A company pays rent of $2,000 for the month. Rent is an expense.
- A company purchases office supplies worth $500. Office supplies are an expense.

Liability:

- A liability is an obligation or debt that the business owes to others.
- Liabilities can be short-term (e.g., accounts payable) or long-term (e.g., loans).

Examples:

- A company borrows $50,000 from a bank. The loan is a liability.
- A company owes $10,000 to a supplier. The amount owed is a liability.

Income:

- Income, also known as revenue, is the earnings generated by the business from its operations.
- Income is typically recorded in the income statement and increases net income.

Examples:

- A company earns service revenue of $5,000. Service revenue is income.
- A company sells products worth $20,000. Sales revenue is income.

Key differences:

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- Capital vs. Liability: Capital is the investment made by the owner(s), while liability is an obligation or Debt owed to others.

- Asset vs. Expense: An asset provides future economic benefits, while an expense is a cost incurred to generate revenue.

- Income vs. Expense: Income increases net income, while expenses decrease net income.

- Asset vs. Income: An asset is a resource owned or controlled by the business, while income is the earnings generated by the business.

By understanding these concept

Their differences, businesses can accurately record and report their financial transactions, making it easier to make informed decisions.

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Capital:

- **Types of Capital:**

1. **Equity Capital:** Investment made by owners or shareholders.

2. **Debt Capital:** Borrowed funds from lenders, such as loans or bonds.

Assets:

- Types of Assets:

1. **Current Assets:** Expected to be converted into cash within one year or within the company's normal operating cycle. Examples: cash, accounts receivable, inventory.

2. **Non-Current Assets (Fixed Assets):** Not expected to be converted into cash within one year. Examples: property, plant, equipment, intangible assets.

3. **Tangible Assets:** Physical assets that can be seen or touched. Examples: equipment, buildings.

4. **Intangible Assets:** Non-physical assets that provide future economic benefits. Examples: patents, copyrights, trademarks.



Expenses:

- Types of Expenses:

1. **Operating Expenses:** Day-to-day expenses incurred to run the business. Examples: salaries, rent, utilities.

2. **Non-Operating Expenses:** Expenses not related to the main business operations. Examples: interest expenses, losses on sale of assets.

3. **Capital Expenditures:** Expenses incurred to acquire or improve fixed assets. Examples: purchasing new equipment, building renovations.

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Liabilities:

Types of Liabilities:

1. **Current Liabilities:** Expected to be paid within one year or within the company's normal operating cycle. Examples: accounts payable, short-term loans.

2. **Non-Current Liabilities** (Long-Term Liabilities): Not expected to be paid within one year. Examples: long-term loans, bonds payable.

3. **Contingent Liabilities:** Potential liabilities that may arise due to certain events or circumstances. Examples: lawsuits, warranties.

Income:

- Types of Income:

1. **Revenue:** Income earned from the sale of goods or services. Examples: sales revenue, service revenue.

2. **Non-Operating Income:** Income not related to the main business operations. Examples: interest income, dividend income.

3. **Other Income:** Income from miscellaneous sources. Examples: rent income, gain on sale of assets.



Here are some fundamental accounting concepts:

Accounting Enti1ty: The business is separate from its owners, creditors, and other businesses.

Going Concern: The business will continue to operate for the foreseeable future.

Monetary Unit: Transactions are recorded in a common currency.

Historical Cost: Assets and liabilities are recorded at their original cost.

Matching Principle: Expenses are matched with the revenues they help generate.

Materiality: Financial information is considered material if its omission or misstatement could influence decisions.

Consistency: Accounting methods and procedures are consistent from one period to another.

Comparability: Financial statements are presented in a way that allows for comparison with other companies and industries.

Accrual Accounting: Revenues and expenses are recognized when earned or incurred, regardless of when cash is received or paid.

Prudence: Accountants exercise caution when making estimates or judgments.

These concepts provide a foundation for preparing financial statements and ensure that financial information is presented in a consistent and reliable manner.

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Revenue Recognition: Revenue is recognized when earned, regardless of when cash is received.

Cost Concept: Assets are recorded at their original cost, rather than current market value.

Dual Aspect Concept: Every transaction has two aspects: debit and credit.

Accounting Period Concept: Financial statements are prepared for specific periods, such as monthly or annually.

Conservatism: Accountants tend to err on the side of caution when making estimates or judgments.

Full Disclosure: Financial statements should provide a complete and transparent picture of a company's financial position and performance.

Objectivity: Financial information should be based on objective evidence, rather than personal opinions or biases.

Unit of Measure: Transactions are recorded in a common unit of measurement, such as dollars or rupees.

Revenue Recognition:

Revenue recognition is a critical concept in accounting that determines when revenue can be recorded. According to this concept, revenue is recognized when it is earned, regardless of when the cash is received. This means that revenue is recorded when the company has fulfilled its obligations and the customer has received the goods or services.

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Example: A company sells goods worth $1,000 to a customer on credit. The company would record the revenue of $1,000 immediately, even though the customer has not yet paid.

Cost Concept:

The cost concept states that assets should be recorded at their original cost, rather than their current market value. This means that the asset's value is recorded at the amount paid for it, rather than its current worth.

Example: A company purchases a piece of equipment for $5,000. The equipment's value may increase or decrease over time, but it would be recorded on the balance sheet at its original cost of $5,000.

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Dual Aspect Concept:

The dual aspect concept is the foundation of double-entry accounting. It states that every transaction has two aspects: debit and credit. For every transaction, one account is debited, and another account is credited.

Example: A company purchases office supplies worth $500. The office supplies account would be

Debit office supplies a/c(**Asset)** $500

Credit Cash a/c $500

Accounting Period Concept:

The accounting period concept states that financial statements should be prepared for specific periods, such as monthly, quarterly, or annually. This allows stakeholders to track the company's performance over time and make informed decisions.

Example: A company prepares its financial statements on a quarterly basis. The company would prepare a balance sheet, income statement, and cash flow statement for each quarter.

Conservatism:

Conservatism is an accounting concept that requires accountants to be cautious when making estimates or judgments. This means that accountants should avoid overstating assets or revenues and should instead err on the side of caution.

Example: A company is involved in a lawsuit, and the outcome is uncertain. The company would record a provision for the potential loss, even if the likelihood of the loss is low.



Full Disclosure:

The full disclosure concept requires companies to provide a complete and transparent picture of their financial position and performance. This includes disclosing all relevant information, such as accounting policies, transactions, and events.

Example: A company has a significant amount of debt. The company would disclose the details of the debt, including the amount, interest rate, and repayment terms, in its financial statements.

Objectivity:

The objectivity concept requires financial information to be based on objective evidence, rather than personal opinions or biases. This means that financial statements should be prepared using verifiable data and facts.

Example: A company's financial statements are audited by an independent auditor. The auditor would verify the financial information using objective evidence, such as invoices and receipts.

Unit of Measure:

The unit of measure concept requires transactions to be recorded in a common unit of measurement, such as dollars or rupees. This allows for consistency and comparability in financial reporting.

Example: A company operates in multiple countries but reports its financial results in a single currency, such as US dollars. The company would convert all transactions to US dollars for financial reporting purposes.

These concepts are essential for ensuring that financial statements are presented in a fair, consistent, and reliable manner. They provide a framework for accountants to follow and help stakeholders understand a company's financial position and performance.

Business Structures:

- **Sole Proprietorship:** Owned and controlled by one person, with unlimited liability.

- **Partnership:** Owned by two or more people, with shared profits and losses.

- **Limited Liability Company (LLC):** A hybrid structure with liability protection and flexible management.

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- **Corporation:** A separate legal entity from its owners, with strong liability protection and tax benefits.

Business Models:

- **Service Businesses:** Provide intangible products, such as consulting or labor.

- **Merchandising Businesses:** Buy and sell goods without transforming them.

- **Manufacturing Businesses:** Transform raw materials into new products.

- **Retail Businesses:** Sell products directly to consumers.

- **Online Businesses:** Operate primarily through digital platforms.

- **Franchise:** Operate under an established brand and business system.

- **Cooperative:** Owned and run by its members, with shared decision-making and profits.

- **Joint Ventures:** Temporary partnerships between companies to achieve a specific goal.

Industry-Based Businesses:

- **Technology:** Includes software development, electronics, and IT services.

- **Food and Beverages:** Restaurants, food processing, and beverage production.

- **Finance and Banking:** Financial services, banking, and insurance.

- **Retail and E-commerce:** Online and offline retail businesses.

- **Manufacturing:** Production of goods from raw materials [1] [2] [3].

B2B (Business-to-Business): Businesses that sell products or services directly to other businesses.

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B2C (Business-to-Consumer): Businesses that sell products or services directly to individual consumers.

E-commerce: Businesses that operate primarily online, selling products or services through digital platforms.

SaaS (Software as a Service): Businesses that provide software applications over the internet, often through subscription-based models.

Social Enterprise: Businesses that aim to address social or environmental issues while generating revenue.

Platform Economy: Businesses that create platforms for others to buy, sell, or exchange goods and services.

Sharing Economy: Businesses that facilitate sharing or renting of resources, such as assets or skills.

Circular Economy: Businesses that design products and services to reduce waste and promote sustainability.

Artificial Intelligence (AI) and Machine Learning (ML): Businesses that develop and apply AI and ML technologies to solve complex problems.

Blockchain-based Businesses: Businesses that utilize blockchain technology to create secure, transparent, and decentralized systems.

Fintech: Businesses that combine finance and technology to provide innovative financial services.

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Edtech: Businesses that use technology to improve education and learning outcomes.

Healthtech: Businesses that apply technology to improve healthcare services and outcomes.

CleanTech: Businesses that develop sustainable solutions to environmental challenges.

AgriTech: Businesses that apply technology to improve agricultural productivity and sustainability.

Virtual Reality (VR) and Augmented Reality (AR): Businesses that create immersive experiences using VR and AR technologies.

Internet of Things (IoT): Businesses that develop and apply IoT technologies to connect devices and systems.

Cybersecurity: Businesses that provide security solutions to protect against cyber threats.

Data Analytics and Science: Businesses that collect, analyze, and interpret complex data to inform decision-making.

Sustainable Businesses: Businesses that prioritize environmental sustainability and social responsibility.

Impact Investing: Businesses that aim to generate both financial returns and positive social or environmental impact.

Decentralized Autonomous Organizations (DAOs): Businesses that operate on block chain technology, with decentralized decision-making and governance.

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Neurotechnology: Businesses that apply neuroscience and neuroengineering to develop innovative solutions.

Synthetic Biology: Businesses that design and construct new biological systems or modify existing ones.

Quantum Computing: Businesses that develop and apply quantum computing technologies to solve complex problems.

Artificial General Intelligence (AGI): Businesses that aim to develop AI systems with humanlike intelligence and capabilities.

Space Technology: Businesses that develop and apply technologies for space exploration, satellite development, and other space-related applications.

Biotechnology: Businesses that apply biological systems, living organisms, or derivatives to develop innovative products and solutions.

Nanotechnology: Businesses that develop and apply technologies at the nanoscale to create innovative materials and products.

Digital Twins: Businesses that create virtual replicas of physical systems, products, or processes to optimize performance and efficiency.

Extended Reality (XR): Businesses that develop and apply immersive technologies, including VR, AR, and Mixed Reality (MR).

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Autonomous Systems: Businesses that develop and apply autonomous technologies, such as self-driving vehicles and drones.

Biohacking: Businesses that apply technology to enhance human biology and performance.

Neuroenhancement: Businesses that develop technologies to improve cognitive function, memory, and focus.

Personalized Medicine: Businesses that tailor medical treatments to individual genetic profiles.

Synthetic Data Generation: Businesses that create artificial data to train AI models and improve performance.

Edge AI: Businesses that develop AI solutions for edge computing, enabling real-time processing and decision-making.

Blockchain-based Identity Verification: Businesses that use blockchain technology to secure and verify identities.

Advanced Materials Science: Businesses that develop new materials with unique properties, such as superconductors or nanomaterials.

Space-based Solar Power: Businesses that harness solar energy in space to generate electricity.

Digital Forensics: Businesses that apply advanced technologies to investigate cybercrimes and digital evidence.

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Human-Machine Interface (HMI): Businesses that develop technologies to enhance human machine interaction, such as brain-computer interfaces.

Here are some types of goodwill with definitions and examples:

Purchased Goodwill

- Definition: Goodwill acquired when one company purchases another for more than the fair value of its net assets.

- **Example:** Company A buys Company B for $10 million, while Company B's net assets are worth $8 million. The $2 million difference is purchased goodwill.

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Inherent Goodwill

- Definition: Goodwill generated internally by a business over time due to its reputation, customer loyalty, and other factors.

- **Example:** A well-known brand like Apple has inherent goodwill due to its strong reputation and customer loyalty.

Positive Goodwill

- Definition: Occurs when a business is purchased for more than the value of its net assets.

- **Example:** If a company is acquired for $15 million and its net assets are valued at $12 million, the $3 million difference is positive goodwill.

Negative Goodwill (Bargain Purchase

- Definition: Occurs when a business is purchased for less than the value of its net assets.

- **Example:** If a company is acquired for $8 million and its net assets are valued at $10 million, the $2 million difference is negative goodwill.

Brand Goodwill

- Definition: The value of a brand's reputation and recognition in the market.

- **Example:** Nike's brand goodwill is significant due to its strong brand recognition and customer loyalty.



Customer Goodwill

- Definition: The loyalty and positive relationships a business has with its customers.

- **Example:** A local business with a loyal customer base has customer goodwill due to its strong relationships with customers.

Reputation Goodwill

- Definition: The value of a company's reputation for quality, reliability, and trustworthiness.

- **Example:** A company like Johnson & Johnson has strong reputation goodwill due to its long history of quality products and ethical practices.

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Employee Goodwill

- Definition: The value of a company's relationship with its employees, including morale, loyalty, and productivity.

- **Example:** A company with high employee satisfaction and low turnover has strong employee goodwill.

Community Goodwill

- Definition: The value of a company's relationship with the local community, including its reputation and contributions.

- **Example:** A company that supports local charities and community events has strong community goodwill.

Industry Goodwill

- Definition: The value of a company's reputation and relationships within its industry.

- **Example:** A company that is recognized as a leader in its industry has strong industry goodwill.

Intellectual Property Goodwill

- Definition: The value of a company's intellectual property, such as patents, trademarks, and copyrights.



- **Example:** A tech company with a portfolio of valuable patents has strong intellectual property goodwill.

Strategic Goodwill

- Definition: The value of a company's strategic position and competitive advantage.

- **Example:** A company with a unique business model or proprietary technology has strong strategic goodwill.

Financial Goodwill

- Definition: The value of a company's financial stability, creditworthiness, and access to capital.

- **Example:** A company with a strong credit rating and stable financial performance has financial goodwill.

Operational Goodwill

- Definition: The value of a company's efficient operations, processes, and systems.

- **Example:** A company with streamlined operations and a strong supply chain has operational goodwill.

Innovation Goodwill

- Definition: The value of a company's innovative products, services, or processes.

- **Example:** A tech company with a track record of innovation and R&D has innovation goodwill.

Partnership Goodwill

- Definition: The value of a company's relationships with partners, suppliers, and distributors.

- **Example:** A company with strong partnerships and collaborations has partnership goodwill.

Cultural Goodwill

- Definition: The value of a company's culture, values, and work environment.

- **Example:** A company with a strong, positive culture and high employee engagement has cultural goodwill.

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Environmental Goodwill

- Definition: The value of a company's commitment to environmental sustainability and responsibility.

- **Example:** A company that prioritizes eco-friendly practices and reduces its carbon footprint has environmental goodwill.

Social Goodwill

- Definition: The value of a company's positive impact on society, including philanthropy and community engagement.

- **Example:** A company that supports local charities and community development projects has social goodwill.

Technological Goodwill

- Definition: The value of a company's technological expertise, innovation, and adoption.

- **Example:** A company that stays ahead of the curve in technological advancements and adopts new technologies has technological goodwill.

Customer Service Goodwill

- Definition: The value of a company's commitment to providing excellent customer service and support.

- **Example:** A company that prioritizes customer satisfaction and provides responsive support has customer service goodwill.

Brand Loyalty Goodwill

- Definition: The value of a company's loyal customer base and brand advocates.

- **Example:** A company with a strong brand and loyal customer base has brand loyalty goodwill.

Supplier Goodwill

- Definition: The value of a company's relationships with its suppliers, including trust, reliability, and mutual benefit.

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- **Example:** A company that pays its suppliers on time and communicates effectively has supplier goodwill.

Employee Retention Goodwill

- Definition: The value of a company's ability to retain its employees, reducing turnover and increasing productivity.

- **Example:** A company with low employee turnover and high job satisfaction has employee retention goodwill.

Innovation Leadership Goodwill

- Definition: The value of a company's leadership in innovation, including its ability to develop new products, services, or processes.

- **Example:** A company that consistently develops innovative products or services has innovation leadership goodwill.

Digital Goodwill

- Definition: The value of a company's online presence, including its website, social media, and digital marketing efforts.

- **Example:** A company with a strong online presence and effective digital marketing strategy has digital goodwill.

Reputation Management Goodwill

- Definition: The value of a company's efforts to manage its reputation, including crisis management and public relations.

- **Example:** A company that proactively manages its reputation and responds to customer concerns has reputation management goodwill.

-

Types of Copyrights Based on Rights:

Reproduction Right: Right to reproduce the work.

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Distribution Right: Right to distribute copies of the work.

Public Performance Right: Right to publicly perform the work.

Public Display Right: Right to publicly display the work.

Types of Copyrights Based on Works:

Literary Copyright: Protects written works.

Musical Copyright: Protects musical compositions.

Artistic Copyright: Protects visual arts.

Copyright Collective Management: Organizations manage copyrights on behalf of creators.

Open-Source Copyright: Licenses that allow free use and modification.

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Copyright laws vary by Country but they They generally aim to protect creators rights and promote creativity:

Fair Use:

* Limitations on copyright rights, allowing for certain uses without permission.

* Factors considered purpose nature amount and effect on market.

Copyright Infringement:

* Unauthorized use, reproduction, or distribution of copyrighted works.

* Consequences: damages, injunctions, and potential criminal liability.

Digital Millennium Copyright Act (DMCA):

* US law addressing digital copyright issues.



* Provisions: anti-circumvention, safe harbor, and takedown notices.

International Copyright Law:

* Berne Convention: international framework for copyright protection.

* Other treaties: WIPO Copyright Treaty, WIPO Performances and Phonograms Treaty.

Copyright Registration:

* Process of registering copyrights with the relevant authority.

* Benefits: prima facie evidence of ownership, enhanced remedies.

Moral Rights:

* Rights of creators to protect their work's integrity and reputation.

* Includes right of attribution and right to prevent distortion or mutilation.

Neighbouring Rights:

* Rights related to copyright, such as those of performers, producers, and broadcasters.

* Protects related works, like sound recordings and performances.

Copyright Exhaustion:

* Doctrine that limits copyright holder's control over copies after first sale.

* Allows for resale and distribution of legitimate copies.

Orphan Works:

* Works where the copyright owner is unknown or difficult to locate.

* Can create challenges for users who want to obtain permission.

Transformative Works:

* Works that build upon or transform existing copyrighted material.

* Can be considered fair use if they add value or insights.

Copyright and Artificial Intelligence:

* Questions around AI-generated works and copyright protection.

* Raises issues about authorship and ownership.

Types of Trademarks:

Word Marks:

* Trademarks consisting of words, letters, or numbers.

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* Examples: Nike, Google, 3M.

Logo Marks:

* Trademarks consisting of symbols, designs, or logos.

* Examples: Apple's apple logo, McDonald's golden arches.

Composite Marks:

* Trademarks combining words and logos.

* Examples: Burger King's logo with the brand name.

Service Marks:

* Trademarks used to identify services rather than products.

* Examples: Service marks for airlines, hotels, or consulting firms.

Collective Marks:

* Trademarks used by members of a collective group or association.

* Examples: Marks indicating membership in a professional organization.

Certification Marks:

* Trademarks used to certify the quality, origin, or other characteristics of a product or service.

* Examples: UL (Underwriters Laboratories) mark for safety certification.

Shape Marks:

* Trademarks consisting of the shape of a product or packaging.

* Examples: Unique bottle shapes, like Coca-Cola's contour bottle.

Sound Marks:

* Trademarks consisting of distinctive sounds.

* Examples: Intel's chime sound, Nokia's ringtone.

Smell Marks:

* Trademarks consisting of distinctive scents.

* Examples: Perfumes or fragrances with unique scents.

Distinctiveness:

* Trademarks should be unique and distinctive to be registrable.

* Generic or descriptive terms may not be eligible for trademark protection.

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Trademark Classes:

* Trademarks are registered in specific classes of goods and services.

* Different classes may require separate registrations.

Trademark Symbol:

* (TM) symbol: used to indicate a trademark claim.

* Symbol: used to indicate a registered trademark.

Trademark Infringement:

* Unauthorized use of a trademark or similar mark.

* Can lead to legal action and potential damages.

Trademark Licensing:

* Allowing others to use a trademark under certain conditions.

* Requires a licensing agreement to maintain quality and control.

Trademark Renewal:

* Trademarks require periodic renewal to maintain registration.

* Failure to renew can lead to loss of trademark rights.

Trademark Distinctiveness Categories:

* Fanciful: invented words (e.g., Xerox).

* Arbitrary: words with unrelated meanings (e.g., Apple for computers).

* Suggestive: words that suggest characteristics (e.g., Coppertone for sunscreen).

* Descriptive: words that describe characteristics (may not be registrable).

Trademark Infringement Analysis:

* Likelihood of confusion: key factor in determining infringement.

* Factors considered: mark similarity, goods/services similarity, consumer sophistication.

International Trademark Protection:

* Madrid System: international registration system for trademarks.

* Territoriality principle: trademarks are protected country-by-country.

Trademark Licensing and Quality Control:

* Importance of quality control provisions in licensing agreements.

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* Failure to maintain quality control can lead to trademark abandonment.

Trademark and Unfair Competition Law:

* Relationship between trademark law and unfair competition law.

* Protection against unfair business practices.

Trademark Valuation:

* Determining the value of a trademark.

* Factors considered: brand recognition, market share, and revenue.

Trademark Portfolio Management:

* Strategic management of multiple trademarks.

* Importance of auditing, maintenance, and enforcement.

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Types of royalties:

Patent Royalties:

* Payments made to the patent holder for the use of patented technology.

Copyright Royalties:

* Payments made to the copyright holder for the use of copyrighted materials, such as music, literature, or art.

Trademark Royalties:

* Payments made to the trademark owner for the use of a trademark or brand name.

Mineral Royalties:

* Payments made to the owner of mineral rights for the extraction and sale of minerals.

Music Royalties:

* Payments made to songwriters, composers, and music publishers for the use of their music.

Book Royalties:

* Payments made to authors and publishers for the sale of books.

Franchise Royalties:



* Payments made to the franchisor by the franchisee for the right to use the franchise's business model and trademark.

Licensing Royalties:

* Payments made to the licensor for the use of licensed technology, software, or intellectual property.

Performance Royalties:

* Payments made to creators for public performances of their work, such as music or plays.

Mechanical Royalties:

* Payments made to songwriters and publishers for the physical or digital reproduction of their music.

Sync Royalties:

* Payments made to creators for the use of their music in film, television, or other visual media.

Print Royalties:

* Payments made to authors and publishers for the sale of printed copies of their work.

Digital Royalties:

* Payments made to creators for the digital distribution of their work, such as e-books or digital music.

Residual Royalties:

* Payments made to creators for repeated use of their work, such as reruns of TV shows or films.

Overriding Royalties:

* Payments made to the owner of a property or asset, such as mineral rights or intellectual property, for its use.

Net Profits Interest Royalties:

* Payments made to the owner of a property or asset based on a percentage of net profits.

Royalty Stacking:

- Multiple royalties owed on a single product or service.

- Can lead to increased costs and complexity.

Royalty Audits:

- Examination of royalty payments to ensure accuracy and compliance.

- Can help identify underpayments or overpayments.

Royalty Financing:

- Using future royalties as collateral for financing.

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- Can provide capital for businesses or projects.

Royalty Monetization:

- Converting future royalties into upfront payments.

- Can provide liquidity for creators or owners.

Royalty Trusts:

- Investment vehicles that hold royalty interests.

- Can provide income to investors.

Royalty Disputes:

- Conflicts over royalty payments or calculations.

- Can lead to litigation or arbitration.

Royalty Taxation:

- Tax implications of royalty income.

- Can vary depending on jurisdiction and circumstances.

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Journal Entry:



Date	Particulars		LF	Amount(Dr.)	Amount(Cr.)
	Cash/Bank A/c	Dr.			
	Assets A/c	Dr.			
	To Capital A/c				
	(Being business started with cash and assets)				

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Format of Ledger A/c

Dr. **Name of the Account** **Cr.**

Date	Particulars	J.F.	Amount	Date	Particulars	J.F.	Amount
Year Month Date	To Name of the A/c Credited		XXXX	Year Month Date	To Name of the A/c Debited		XXXX
Month Date	To Balance c/d*		XXXX	Month Date	By Balance c/d*		XXXX
			XXXX				**XXXX**

Nan  ness

Trial Balance

as on date _____

Particulars	L.F.	Dr. Balance(₹)	Cr. Balance (₹)
Cash A/c		xxxx	
Capital A/c			xxxx
Drawings A/c		xxxx	
Purchases A/c		xxxx	
Sales A/c			xxxx
Machinery A/c		xxxx	
Rent A/c		xxxx	
Salaries A/c		xxxx	
Purchase Return and so on			xxxx
Total		**XXXX**	**XXXX**

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Trading Account Format

Particulars	Amount	Particulars	Amount
To Opening Stock		**By Sales**	
To Purchases		Less: Returns	
Less: Returns		**By Closing Stock**	
To Direct Expenses:			
Freight and Carriage			
Custom and Insurance			
Wages			

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Format of Profit and Loss Accou



Name of the Company: .....

Profit and Loss Statement for the year: ..... (₹ in .....)

Particulars	Note No.	Figures as at the end of Current Reporting Period	Figures as at the end of the Previous Reporting Period
1	2	3	4
I. Revenue from Operations		XXXX	XXXX
II. Other Income		XXXX	XXXX
III. Total Revenue (I + II)		XXXX	XXXX
IV. Expenses:			
Cost of Materials Consumed		XXXX	XXXX
Purchase of Stock-in-Trade		XXXX	XXXX
Changes in Inventories of Finished Goods, Work-in-Progress, and Stock-in-Trade		XXXX	XXXX
Employee Benefit Expense		XXXX	XXXX
Finance Costs		XXXX	XXXX
Depreciation and Amortisation Expense		XXXX	XXXX
Other Expenses		XXXX	XXXX
Total Expenses		XXXX	XXXX
V. Profit before Tax (III-IV)		**XXXX**	**XXXX**
VI. Tax		(XXXX)	(XXXX)
VII. Profit after Tax (V - VI)		**XXXX**	**XXXX**

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Bal  of...
(as at ..)

Liabilities			Amount (₹)	Assets	Amount (₹)
Capital		XXX		Goodwill	XXX
Add: Net Profit	xxx			Patents and Trade Marks, etc.	XXX
Interest on Capital	xxx	XXX		Business Premises	XXX
Less: Drawings	xxx			Freehold/Leasehold Land	XXX
Income Tax	xxx			Land and Building	XXX
Interest on Drawings	xxx			Plant and Machinery	XXX
Net Loss	xxx	(XXX)	XXX	Furniture and Fixtures	XXX
Reserves and Surplus			XXX	Investments	XXX
Mortgage			XXX	Loose Tools	XXX
Loan (Credit)			XXX	Closing Stocks	XXX
Employment Provident Fund			XXX	Loan (Debit)	XXX
Bank Overdraft			XXX	Sundry Debtors	XXX
Bills Payable			XXX	Bills Receivable	XXX
Sundry or Trade Creditors			XXX	Cash at Bank	XXX
				Cash in Hand	XXX
Total			**XXXX**	**Total**	**XXXX**

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2. Vertical Balance Sheet



Name of the Company: ...
Balance Sheet
as on 31st March 20XX

(₹ in .....)

Particulars	Note No.	Figures at the end of Current reporting period	Figures at the end of the previous reporting period
I. Equity and Liabilities: **1. Shareholder's Funds:**			
a) Share Capital		XXXX	XXXX
b) Reserves and Surplus		XXXX	XXXX
c) Money received against share warrants		XXXX	XXXX
2. Share application money pending allotment		XXXX	XXXX
3. Non-current Liabilities:			
a) Long-term Borrowings		XXXX	XXXX
b) Deferred tax liabilities (net)		XXXX	XXXX
c) Other Long-term liabilities		XXXX	XXXX
d) Long-term provisions		XXXX	XXXX
4. Current Liabilities:			
a) Short-term Borrowings		XXXX	XXXX
b) Trade Payables		XXXX	XXXX
c) Other Current Liabilities		XXXX	XXXX
d) Short-term Provisions		XXXX	XXXX
Total		**XXXX**	**XXXX**
II. Assets: **1. Non-Current Assets:**			
a) Property, Plant and Equipment and Intangible Asset*:			
i) Property, Plant, and Equipment		XXXX	XXXX
ii) Intangible Assets		XXXX	XXXX
iii) Capital Work-in-progress		XXXX	XXXX
iv) Intangible Assets under Development		XXXX	XXXX
b) Non-current Investments		XXXX	XXXX
c) Deferred Tax Assets (Net)		XXXX	XXXX
d) Long-term Loans and Advances		XXXX	XXXX
e) Other Non-current Assets		XXXX	XXXX
2. Current Assets:			
a) Current Investments		XXXX	XXXX
b) Inventories		XXXX	XXXX
c) Trade Rececivables		XXXX	XXXX
d) Cash and Cash Equivalents		XXXX	XXXX
e) Short-term Loans and Advances		XXXX	XXXX
f) Other Current Assets		XXXX	XXXX
Total		**XXXX**	**XXXX**

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Format of Cash Flow from Operating Activities



Cash Flow from Operating Activities

I. Net profit before taxation and extraordinary items*		XXXX
II. Adjustments related to Non-cash and Non-operating Items		
Add: Items to be added:		
Depreciation on Fixed Assets	XXXX	
Interest on Borrowings	XXXX	
Preliminary Expenses/Underwriting Commission/Discount on Issue of Debentures/Shares Written Off	XXXX	
Goodwill/Patents/Trade Marks/Copyright amortised	XXXX	
Loss on Sale of Machinery/Land and Building/Investments, etc.	XXXX	
Premium payable on redemption of Preference Shares/Debentures	XXXX	XXXX
Less: Items to be deducted:		
Interest Income/Other Income	XXXX	
Dividend Income	XXXX	
Discount on Redemption of Preference Shares/Debentures	XXXX	
Profit on Sale of Machinery/Land and Building/Investments, etc.	XXXX	(XXXX)
Operating Profit before Working Capital Changes		**XXXX**
III. Adjustments related to change in Current Assets and Current Liabilities		
Add: Decrease in Current Assets	XXXX	
Increase in Current Liabilities	XXXX	XXXX
Less: Increase in Current Assets	XXXX	
Decrease in Current Liabilities	XXXX	(XXXX)
Cash generated from Operations		**XXXX**
Less: Income taxes paid (Net of Refund)		(XXXX)
Cash before Extraordinary Items		**XXXX**
Less: Extraordinary Items		(XXXX)
Net Cash Inflow/Outflow from Operating Activities		**XXXX**

* ***Net profit before taxation and extraordinary items*** **is calculated as:**

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Profit & Loss Appropriation A/c at the closing	XXXX	
Less: Profit & Loss Appropriation A/c at the opening	(XXXX)	XXXX
Add: Appropriations:		
Transfer to General Reserve	XXXX	
Provision for Tax during the Year	XXXX	
Provision for Dividend during the Year	XXXX	XXXX
Net Profit before Tax and Extraordinary Items		**XXXX**

2. Format of Cash Flow from Investing Activities

Cash Flow from Investing Activities

Particulars	₹	₹
Proceeds from disposal of Fixed Assets:		
Proceeds from Sale of Machinery	XXXX	
Proceeds from Sale of Land and Building	XXXX	
Proceeds from Sale of Furniture and Fixtures	XXXX	
Proceeds from Sale of Investments	XXXX	
Proceeds from Sale of Goodwill, Patent Rights, Trade Marks, etc.	XXXX	
Add: Non-operating Incomes from Investments:		
Dividend from Shares	XXXX	
Interest received on Debentures	XXXX	
Rent on Property Received	XXXX	XXXX
Less: Purchase of Non-current Assets:		
Purchase of Machinery	XXXX	
Purchase of Land and Building	XXXX	
Purchase of Furniture and Fixtures	XXXX	
Purchase of Investments	XXXX	
Purchase of Goodwill, Patent Rights, Trade Marks, etc.	XXXX	(XXXX)
Net Cash Flow from Investing Activities **Or** **Net Cash Used in Investing Activities**		**XXXX** **Or** **XXXX**

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3. Format of Cash Flow from Fin  Activities

Cash Flow from Financing Activities

Particulars	Amount(₹)	Amount(₹)
Proceeds from Issue of Share Capital and Borrowings:		
Proceeds from Issue of Equity Shares	XXXX	
Proceeds from Issue of Preference Shares	XXXX	
Proceeds from Issue of Debentures, etc.	XXXX	XXXX
Less: Buy-Back of Equity Shares	XXXX	
Less: Redemption of Preference Shares	XXXX	
Less: Redemption of Debentures	XXXX	
Less: Interim Dividend on Equity Shares	XXXX	
Less: Final Dividend Paid on Equity Shares	XXXX	
Less: Dividend on Preference Shares	XXXX	
Less: Interest Paid on Debentures, etc.	XXXX	XXXX
Net Cash Flow from Financing Activities **Or** **Net Cash Used in Financing Activities**		**XXXX**

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Some Important Keywords:

Accountant is a professional who is responsible for the processing of financial data for score-keeping, attention-directing, and problem solving purposes. Accounting is perceived as an Information System whose inputs are collected from various financial transactions entered into by a firm; it processes these inputs by proper classification and recording, and finally, generates output in the form of financial statements like Profit and Loss Account and Balance Sheet.

Attention-directing role of accounting consists of directing managerial attention to situations where corrective action is needed in the case of unfavourable (or even favourable) differences in operations, outputs or inputs.

Audit work of an accountant comprises authentication of accounting statements.

Control is the action that implements the planning decision, and evaluates performance.

Controller of the management accountant is a staff-functionary who uses accounting information for management planning and control.

External reporting is the production of financial statements for use by external interest groups like shareholders and Government.

Feedback comprises the performance reports which managers can use for improving their decision-making.

Information system is a system, sometimes formal and sometimes informal, for collecting, processing, and communicating data at the most relevant time to all levels of management. The data flowing through the system is helpful to managers for decision-making in the areas of planning and control, or is otherwise needed for financial reporting required under the laws. An essential requirement of the information system is feedback for needed modifications.

Planning is the identification and decision-making.

Recordative work extends to routine recording and classified posting of financial transactions and events.

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Staff function is performed in an advisory capacity, and without line or decision making authority.

Store-keeping is the process of data accumulation or record-keeping which enables interested parties (internal and external) to ascertain how the organisation is performing.

Accounting framework includes generally accepted accounting principles (GAAP) on the basis of which accounting data is processed, analysed, and reported.

Accounting theory is a set of inter-related principles and propositions, which provide a general framework for accounting practice, and deal with new developments in the area.

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Objectivity principle requires that only the information based on definite and verifiable facts are to be recorded.

Trial balance: Trial balance is a list of all the accounts and their balance where the total of Debit side should be equal to the total of Credit side.

Adjustments: Adjusting entries are made at the end of a period to ensure that revenues are reported when earned, and expenses reported when incurred.

Adjusted Trial Balance: A trial balance after all adjustments have been analysed, journalized, posted, and the affected accounts balanced.

Close: Closing an account means to „bring the balance to zero".

Prepare Financial Statements: Financial statements used to report the final position and results from operating a business. They are the balance sheet, the owner's equity statement, the income settlement, and the cash flow.

Accounting Equation explains the equal relationship between total claims, and total assets of the firm.

Total Claims = Liabilities + Capital "T" Form Account:, Two sides are put together, and the left-hand side is called the "Debit-side", while the right-hand side is called the „Credit-side".

Opening/Closing Stock



The Opening Stock of goods is the stock of goods in hand at the beginning of an accounting year. This may include stock of raw material, work-in-progress and finished goods. This appears in the debit column of the trial balance. In the Trading Account this is the first entry on the debit side. The valuation is usually done at cost or market price whichever is lower. The Stock of goods in hand at the end of accounting year is called Closing Stock. Similarly, closing stock may include stock of raw material, work-in-progress and finished goods. The closing stock is shown on the credit side of the Trading Account. Closing stock is usually not given in the trial balance but is given by way of additional information.

Net Purchases

These include goods purchased only for production and selling purposes. Goods used as assets and not- for- sale are not included in this head. Net purchase is the difference between purchases and the purchase return, where purchase is the sum of cash and credit purchase. Note that sometimes, purchased return is known as Return Outward.

Direct Expenses

Direct expenses include all those expenses incurred in bringing the goods to the place of business or trade or in-production process until the goods are placed in a saleable position. The following expenses may be considered as direct expenses:

Wages paid to workers engaged in production are debited to the trading account provided the manufacturing account is not prepared separately.

Carriage/freight inwards are transportation expenses incurred to bring the goods or raw material to the place of the business or to the firm's godown/factory. Such expenses, whether paid or outstanding, are debited to trading account.

Octroi is paid when goods enter municipal limits. Octroi paid on goods purchased is a direct expense and is debited to trading account.

Custom duty paid on importing goods for selling purposes is debited to trading account. If the duty is paid on sales export, it amounts to selling expenses and is shown in the profit and loss account.

Factory rent, insurance, lighting & power and heating are the expenses incurred to convert raw material into finished goods. Such expenses are debited to trading account.

Provision for Bad and Doubtful Debts

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A provision should be made in advance for those debts whose recovery is doubtful and to writing off bad debts. All enterprises, based on their past experience, create a provision for doubtful debts to meet such a loss when it happens. This is done for the purpose of reflecting the debtors in the balance sheet at their true value. Provisions for bad and doubtful debts appear on the debit side of the profit and loss account and at the credit side of the provision for bad debts account.

Outstanding Expenses (Liabilities)

Expenses are generally recorded only when they are paid. The failure to record an unpaid expenses in the accounts results in an understatement of that expense and also an understatement of a liability. In order to avoid understatement of these expenses and liabilities, an adjustment entry is passed by debiting the expense account and, crediting the personal account of the party to whom such amount is to be paid. If outstanding expenses appear on the credit side of the trial balance, then they will be taken to the liability side of the balance sheet.

Prepaid Expenses (Assets)

Expenses paid in advance of their use or consumption are known as prepaid expenses. At the end of the year, a part of the payment remains unconsumed and is treated as an asset, because its benefit is to be availed of in future. For prepaid expense, the adjustment entry is made by debiting prepaid expense account and crediting expense account. If this item appears on the debit side of the trial balance, it will be shown only on the assets side of the balance sheet. It will not appear in Profit &Loss Account at all.

Accrued Income (Assets)

Accrued income is an amount earned but not actually received during the accounting period or till the date of preparation of final accounts for the period concerned. The first effect of accrued income is to credit the profit and loss account and to show the same in the assets side of the balance sheet.

Income Received in Advance (Liability)

It is the income received but not earned during the accounting period. In other words, it is the income for which services are to be rendered in future. This income is deducted from the concerned income in the credit side of profit and loss account and is also shown as a liability in the balance sheet.

Depreciation

It is the amount charged because of the usage and passage of time. Fixed assets are used for earning revenue. Therefore, a decrease in their value is considered to be the operational expenses of business. In order to ascertain true profits and to show the true value of the assets in the balance sheet, depreciation has to be charged. Depreciation account is debited while individual asset account is credited and then the profit and loss account is debited and the while depreciation accounts is credited.

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Bad Debts

Bad debts are losses on account of uncollectable debts. When the amount due from debtors is irrecoverable, it is called bad debts. Bad debts, being loss are closed by transferring them to the

debit side of the profit and loss account. The amount of bad debts is also deducted from debtors in the balance sheet. If the same appears in the trial balance, no adjustment entry is needed. In this case, debtors appear at their adjusted figure.

Owner's Equity:

It is the owner's claim against the assets of a business entity. It could be expressed as total assets of an entity less claims of outsiders or liabilities, including both contributed capital and retained earnings.

Profit & Loss A/C (P&L A/C):

The income statement or trading and profit and loss account shows the various variables regarding expenses and revenue and the aggregate difference between these two as either net profit or net loss.

Balance Sheet:

Balance sheet is a statement which shows the financial position of a firm on a particular date, it summarises the assets owned by the business and the claim of the owners and creditors against these assets in the form of liabilities as on the date of the statement.

Profit & Loss Appropriation A/C:

This statement which is also known as profit and loss appropriation account is a link between P&L A/C and Balance sheet. The net profit shown in the P&L A/C is transferred to the balance sheet after appropriation though this statement. Retained earnings are the accumulated excess of earnings over losses and dividends.

Fund Flow Statement:

This statement shows the sources of funds from which additional funds were derived and the use (application) of these funds.

Cash Flow Statement:

This statement depicts the change in cash position from one period to another.

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Liquidity Ratios:

Current Ratio	$\frac{\text{Current Assets}}{\text{Current Liabilities}}$
Quick Ratio	$\frac{\text{Current Assets} - \text{Inventory}}{\text{Current Liabilities}}$
Interval measure	$\frac{\text{Current Assets} - \text{Inventory}}{\text{Average daily cash operating expenses}}$

Leverage Ratios:

Total debt ratio	$\frac{\text{Total debt}}{\text{Capital employed}}$
Debt-equity ratio	$\frac{\text{Net worth}}{\text{Total debt}}$
Capital-equity ratio	$\frac{\text{Capital employed or net assets}}{\text{Net Worth}}$
Interest Coverage	$\frac{\text{EBIDTA}}{\text{Interest}}$

Activity Ratios:

Inventory turnover	$\frac{\text{Cost of goods sold or sales}}{\text{Inventory}}$
No. of days, inventory	$\frac{360}{\text{Inventory turnover}}$
Debtors turnover	$\frac{\text{Credits sales or Sales}}{\text{Debtors}}$
Collection period	$\frac{360}{\text{Debtors turnover}}$
Assets turnover	$\frac{\text{Sales}}{\text{Net assets or capital employd}}$
Working capital turnover	$\frac{\text{Sales}}{\text{Net working capital}}$

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Profitability Ratios:

Gross margin	$\frac{Gross\ profit}{Sales}$ or $\frac{EBIT}{Sales}$
Net margin	$\frac{Profit\ after\ tax}{Sales}$ or $\frac{EBIT\ (1-\ )}{Sales}$
PAT to EBIT ratio	$\frac{PAT}{EBIT}$
Return on Investment (ROI) before tax	$\frac{EBIT}{Net\ assets\ or\ capital\ employed}$
Return on Investment (ROI) after tax	$\frac{EBIT\ (1-Tax\ rate)}{Net\ assets\ or\ capital\ employd}$
Return on Investment (ROI) before tax	$\frac{EBIDTA}{Total\ assets\ or\ Net\ assets}$
Return on equity (ROE)	$\frac{Profit\ after\ tax}{Net\ worth}$

There exists a relationship between various ratios. For example, ROE can be expressed as follows:

ROE	$\frac{\text{Sales}}{\text{Net assets}} \times \frac{\text{EBIT}}{\text{Sales}} \times \frac{\text{PAT}}{\text{EBIT}} \times \frac{\text{Net assets}}{\text{Net Worth}}$

EPS	$\frac{\text{PAT}}{\text{No.of shares}}$
DPS	$\frac{\text{Profit distributed}}{\text{No.of shares}}$
Payout	$\frac{\text{DPS}}{\text{EPS}}$
Price-earnings ratio	$\frac{\text{Market value of share}}{\text{EPS}}$
Market value-book value ratio	$\frac{\text{Market value of share}}{\text{Book value of share}}$



Bank Account

A bank account is a financial account that allows individuals or businesses to manage their money, make transactions, and store their funds securely. Bank accounts are offered by banks and other financial institution

- Checking Account: A type of account that allows frequent transactions, such as writing checks or using a debit card.

- Savings Account: A type of account that earns interest on deposited funds and is designed for saving money over time.

- Current Account: A type of account that is designed for businesses and allows for frequent transactions.

- Fixed Deposit Account: A type of account that provides a fixed interest rate for a specified period.

- OCC Account: An account maintained by a bank or financial institution with the OCC for regulatory or compliance purposes.

- OCC Charters: The OCC charters national banks and federal savings associations, allowing them to operate and provide financial services.

- Banking Regulation: The OCC plays a crucial role in regulating and overseeing national banks and federal savings associations.

- Compliance: Banks and financial institutions may maintain accounts with the OCC to comply with regulatory requirements.

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Branch/Division in Accounting

In accounting, a branch or division refers to a separate unit or department within a company that operates independently, often with its own financial records and reporting.

- Separate Financial Records: Branches or divisions maintain their own financial records, including assets, liabilities, revenues, and expenses.

- Independent Operations: Branches or divisions often operate independently, with their own management and decision-making authority.

- Financial Reporting: Branches or divisions are required to report their financial performance to the parent company or headquarters.

Types of Branches/Divisions:

Geographic Branches: Branches located in different geographic locations, such as different cities or countries.

Product-Based Divisions: Divisions that focus on specific products or product lines.

Functional Divisions: Divisions that focus on specific functions, such as sales, marketing, or production.

Performance Evaluation: Branch/division financial reporting allows for evaluation of performance and decision-making.

Resource Allocation: Financial data from branches/divisions helps allocate resources effectively.

Strategic Planning: Branch/division financial data informs strategic planning and goal-setting.

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Types of Taxes:

Income Tax: Tax on an individual's or business's income or profits.

Sales Tax: Tax on the sale of goods and services, such as GST (Goods and Services Tax).

Payroll Tax: Tax on employee salaries, including tax withholdings.

Customs Duty: Tax on imported goods.

Duties of Tax Accounting:

Tax Compliance: Ensuring timely and accurate filing of tax returns.

Tax Planning: Minimizing tax liabilities through strategic planning.

Record-Keeping: Maintaining accurate records of income, expenses, and tax-related transactions.

Audit Support: Providing guidance and representation during tax audits.

Tax Accounting Responsibilities:

Calculating Tax Liabilities: Determining the amount of taxes owed.

Filing Tax Returns: Submitting tax returns to the relevant authorities.

Ensuring Compliance: Adhering to tax laws and regulations.

Providing Tax Advice: Offering guidance on tax planning and optimization.



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Secured Loans

A secured loan is a type of loan where the borrower provides collateral, such as a house, car, or other valuable assets, to secure the loan. This means that if the borrower defaults on the loan, the lender has the right to seize the collateral to recover their losses.

Key Characteristics:

- **Collateral:** The borrower provides collateral to secure the loan, which can be seized by the lender in case of default.
- **Lower Risk:** Secured loans are considered lower risk for lenders, as they have a tangible asset to fall back on in case of default.
- ***Lower Interest Rates:*** Secured loans often have lower interest rates compared to unsecured loans, as the lender's risk is reduced.

Examples of Secured Loans:

Mortgages: A mortgage is a secured loan where the borrower's home serves as collateral.

Auto Loans: An auto loan is a secured loan where the vehicle serves as collateral.

Home Equity Loans: A home equity loan is a secured loan where the borrower's home serves as collateral.



Unsecured Loans

An unsecured loan is a type of loan where the borrower does not provide collateral to secure the loan. Instead, the lender relies on the borrower's creditworthiness and promise to repay the loan.

Key Characteristics:

- ***No Collateral:*** The borrower does not provide collateral to secure the loan.

- Higher Risk: Unsecured loans are considered higher risk for lenders, as they do not have a tangible asset to fall back on in case of default.

- ***Higher Interest Rates:*** Unsecured loans often have higher interest rates compared to secured loans, as the lender's risk is increased.

Examples of Unsecured Loans:

- ***Personal Loans:*** A personal loan is an unsecured loan that can be used for various purposes, such as debt consolidation or financing a large purchase.

Credit Cards: Credit cards are a type of unsecured loan that allows borrowers to make purchases and pay for them later.

- **Student Loans:** Some student loans are unsecured, meaning that the borrower does not provide collateral to secure the loan.

Risks of Unsecured Loans:

- Higher Interest Rates: Unsecured loans often have higher interest rates, making them more expensive.

- Stricter Credit Requirements: Lenders may have stricter credit requirements for unsecured loans, making it harder for borrowers with poor credit to qualify.

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Sundry Creditors

Sundry creditors refer to individuals or businesses to whom a company owes small amounts of money for goods or services purchased on credit. These creditors are typically not regular suppliers and may include utility providers, repair services, or other miscellaneous vendors.

Key Characteristics:

- Small Amounts: Sundry creditors typically involve small amounts of money.

- Miscellaneous Vendors: Sundry creditors can include a variety of vendors, such as utility providers or repair services.

- Short-Term Liability: Sundry creditors are considered a short-term liability, as they are typically paid within a short period.

- **Cash Flow Management:** Managing sundry creditors is essential for maintaining good cash flow and avoiding late payment penalties.

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Some more important term

Discount Types

Trade Discount: A reduction in the list price of goods or services offered to customers, typically for bulk purchases or loyalty. It's deducted from the invoice price and not recorded separately.

Quantity Discount: A discount given for large purchases, which can be tiered based on the quantity purchased. This type of discount incentivizes customers to buy more.

Cash Discount: A discount offered for early payment, which reduces the amount paid by the customer and is recorded as an expense for the seller.

Early Payment Discount: Similar to cash discounts, these encourage customers to pay invoices promptly, improving cash flow for the seller.

Seasonal Discounts: Temporary price reductions offered during specific seasons or periods to boost sales or clear inventory.

Promotional Discounts: Strategic price reductions used to stimulate demand, attract new customers, or increase brand visibility.

Loyalty Discounts: Discounts offered to loyal customers to reward repeat purchases and foster customer loyalty.

Volume Discounts: Discounts given for large purchases, often structured using tiered pricing to encourage customers to buy more.



Accounting Treatment

Trade discounts are not recorded separately and are deducted from the invoice price.

Cash discounts are recorded as an expense for the seller and a reduction in purchases for the buyer.

Quantity discounts and volume discounts are often used to incentivize bulk purchases and can be structured using tiered pricing

Conditional Discounts: Offer discounts based on specific conditions, such as purchase history or user role.

Personalized Discounts: Provide customized discounts based on individual customer preferences and purchase behaviour.

Tiered Discounts: Offer discounts that increase in value as the customer purchases more.

Bundle Discounts: Offer discounts on bundled products or services.

Loyalty Discounts: Reward repeat customers with exclusive discounts.

Seasonal Discounts: Offer discounts during specific seasons or holidays.

Limited-Time Discounts: Create a sense of urgency with limited-time offers.

Targeted Discounts: Offer discounts to specific customer groups or segments.

40% off: (link unavailable) offers 40% off site-wide.

- Up to 70% Off: Next offers up to 70% off clothing, shoes, and more.

- 50% off: (link unavailable) offers 50% off select items.

- 25% Off: Next offers 25% off select products, such as Reiss dresses.

- Free Delivery: Next offers free delivery with Next Unlimited membership.

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- Buy One Get One 50% Off: Next offers BOGOGO 50% off on select men's shoes.

Offers exclusive codes and promo codes for various brands.

Dallesport: Provides verified promo codes and discounts for popular brands.

Wow Cher: Offers discounts and promo codes for various products and services.

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(a) On 1st April 2023, Ram started a business with cash ₹5,00,000.

Journal Entry

Date	Particulars		L.F.	Amount(Dr.)	Amount(Cr.)
2023 April 1	Cash A/c	Dr.		5,00,000	
	To Capital A/c				5,00,000
	(Being a business started with cash)				

(b) On 1st April 2023, Vinod started business with cash ₹1,00,000, furniture ₹2,00,000, and Building ₹10,00,000.

Journal Entry

Date	Particulars		L.F.	Amount(Dr.)	Amount(Cr.)
2023 April 1	Cash A/c	Dr.		1,00,000	
	Furniture A/c	Dr.		2,00,000	
	Building A/c	Dr.		10,00,000	
	To Capital A/c				13,00,000
	(Being a business started with assets)				

(c) On 1st April 2023, Mohan's Books of Account shows Cash ₹16,000, Stock ₹54,000, Debtors ₹47,000, Furniture ₹42,000, Creditors ₹37,000, and Capital ₹1,22,000.

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Journal Entry

Date	Particulars		L.F.	Amount(Dr.)	Amount(Cr.)
2023 April 1	Cash A/c	Dr.		16,000	
	Stock A/c	Dr.		54,000	
	Debtor A/c	Dr.		47,000	
	Furniture A/c	Dr.		42,000	
	To Creditor A/c				37,000
	To Capital A/c				1,22,000
	(Being assets and liabilities brought forward)				

(d) On 1st April 2023, Amit's Books of Account shows Cash ₹4,000, Bank ₹10,000, Stock ₹27,000, Debtors ₹23,500, Land and building ₹30,000, Creditors ₹10,000, and Capital ₹1,00,000.

Journal Entry

Date	Particulars		L.F.	Amount(Dr.)	Amount(Cr.)
2023 April 1	Cash A/c	Dr.		4,000	
	Bank A/c	Dr.		10,000	
	Stock A/c	Dr.		27,000	
	Debtor A/c	Dr.		23,500	
	Land and Building A/c	Dr.		30,000	
	Goodwill A/c (balancing fig)	Dr.		15,500	
	To Creditor A/c				10,000
	To Capital A/c				1,00,000
	(Being assets and liabilities brought forward)				



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(e) On 1st April 2023, Vikas's Books of Account show, Cash ₹30,000, Bank ₹10,000, Stock ₹80,000, Debtors ₹48,000, Furniture ₹7,200, Creditors ₹25,000, and Bank Loan ₹20,000.

Journal Entry

Date	Particulars		L.F.	Amount(Dr.)	Amount(Cr.)
2023 April 1	Cash A/c	Dr.		30,000	
	Bank A/c	Dr.		10,000	
	Stock A/c	Dr.		80,000	
	Debtor A/c	Dr.		48,000	
	Furniture A/c	Dr.		7,200	
	To Creditor A/c				25,000
	To Bank Loan A/c				20,000
	To Capital A/c (balancing fig)				1,30,200
	(Being assets and liabilities brought forward)				

a) On 1 April 2023, Cash Purchases ₹20,000.

(b) On 9 April 2023, Sold goods to Rama at the list price of ₹60,000 at a trade discount of 10%.

(c) On 11 April 2023, Vinod sold goods to us worth ₹30,000 at a 10% trade discount.

(d) On 18 April 2023, Returned goods to Vinod at the list price of ₹2,000.

(e) On 22 April 2023, Paid cash to Vinod ₹24,000 in full settlement.

(f) On 25 April 2023, Rama returned goods of list price ₹10,000.

(g) On 28 April 2023, Rama paid ₹43,000 in full settlement of his account.



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Solution:

Journal Entry

Date	Particulars		L.F.	Amount(Dr.)	Amount(Cr.)
2023 April 1	Purchases A/c	Dr.		20,000	
	To Cash A/c				20,000
	(Being goods purchased for cash)				
April 9	Rama A/c	Dr.		54,000	
	To Sales A/c				54,000
	(Being goods sold to Rama on credit at a 10% trade discount)				
April 11	Purchase A/c	Dr.		27,000	
	To Vinod A/c				27,000
	(Being goods purchased at a 10% trade discount)				
April 18	Vinod A/c	Dr.		1,800	
	To Purchase Return A/c				1,800
	(Being returns made on purchases)				
April 22	Vinod A/c	Dr.		25,200	
	To Cash A/c				24,000
	To Discount Received A/c				1,200
	(Being payment made in full settlement)				
April 25	Sale Return A/c	Dr.		9,000	
	To Rama A/c				9,000
	(Being goods worth ₹10,000 retuned by Rama)				
April 28	Cash A/c	Dr.		43,000	
	Discount Allowed A/c	Dr.		2,000	
	To Rama A/c				45,000
	(Being cash received in full settlement)				

a) On 1 April 2023, Opened a Bank Account by depositing ₹50,000.



(b) On 7 April 2023, Goods were brought for ₹10,000, and payment was made by cheque.

(c) On 9 April 2023, Ravi (the debtor) directly deposited an amount of ₹40,000 in Raghav's account.

(d) On 15 April 2023, cash withdrawn ₹5,000 for personal use.

(e) On 21 April 2023, Sold goods to Ankit for ₹30,000 at a cash discount of 10% and received a cheque for the full amount deposited into the bank the same day.

(f) On 26 April 2023, The cheque received from Ankit was dishonored.

(g) On 29 April 2023, the Bank charged interest for ₹500.

Solution:

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Journal Entry

Date	Particulars		L.F.	Amount(Dr.)	Amount(Cr.)
2023 April 1	Bank A/c	Dr.		50,000	
	To Cash A/c				50,000
	(Being cash despited into the bank)				
April 7	Purchase A/c	Dr.		10,000	
	To Bank A/c				10,000
	(Being goods purchased and payment made through cheque)				
April 9	Raghav A/c	Dr.		40,000	
	To Ravi A/c				40,000
	(Being amount directly paid to Raghav by Ravi)				
April 15	Drawings A/c	Dr.		5,000	
	To Bank A/c				5,000
	(Being amount withdrawn for personal use)				
April 21	Bank A/c	Dr.		27,000	
	Discount Allowed A/c	Dr.		3,000	
	To Sales A/c				30,000
	(Being goods sold to Ankit, received and deposited cheque in the bank)				
April 26	Ankit A/c	Dr.		30,000	
	To Bank A/c				27,000
	To Discount Allowed A/c				3,000
	(Being cheque received from Ankit dishonored)				
April 29	Interest A/c	Dr.		500	
	To Bank A/c				500
	(Being interest charged by bank)				

(a) On 1 April 2023, Purchased goods for cash ₹40,000 and paid ₹2,000 for their carriage.

(b) On 11 April 2023, Amar who owned ₹20,000 declared insolvent.



(c) On 16 April 2023, Machinery bought for ₹5,00,000 and paid ₹25,000 for its installation.

(d) On 19 April 2023, Further paid ₹5,000 on the carriage of the machine bought.

(e) On 24 April 2023, Purchased bricks and timber for ₹10,00,000 for construction of the building and made payment through cheque.

(f) On 29 April 2023, Amar who was earlier declared insolvent paid 30 paise in Rupee.

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Solution:

Journal Entry

Date	Particulars		L.F.	Amount(Dr.)	Amount(Cr.)
2023 April 1	Purchase A/c	Dr.		40,000	
	Carriage A/c	Dr.		2,000	
	To Cash A/c				42,000
	(Being goods purchased for cash)				
April 11	Bad debts A/c	Dr.		20,000	
	To Amar A/c				20,000
	(Being a debtor became insolvent)				
April 16	Machinery A/c	Dr.		5,25,000	
	To Cash A/c				5,25,000
	(Being mach. purchased for ₹5,00,000 and paid ₹25,000 as install. charges)				
April 19	Machinery A/c	Dr.		5,000	
	To Cash A/c				5,000
	(Being carriage paid)				
April 24	Building A/c	Dr.		10,00,000	
	To Bank A/c				10,00,000
	(Being bricks and timber purchased for the construction of the building)				
April 29	Cash A/c	Dr.		6,000	
	To Bad Debts Recovered A/c				6,000
	(Being bad debts recovered)				

(a) On 1 April 2023, Susmita got 10% interest on the capital of ₹5,00,000.

(b) On 9 April 2023, Susmita paid 15% interest on drawings of ₹8,000.

(c) On 11 April 2023, the Salary of an employee is due for ₹5,000.

(d) On 13 April 2023, Provide 10% depreciation on machinery costing ₹10,00,000.



(e) On 19 April 2023, Goods for ₹4,000 were distributed as free samples.

(f) On 24 April 2023, Goods worth ₹25,000 were stolen by an employee.

(g) On 27 April 2023, Goods worth ₹3,00,000 were destroyed by fire, and the insurance company paid a claim for 60% amount.

Solution:

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Journal Entry

Date	Particulars		L.F.	Amount(Dr.)	Amount(Cr.)
2023 April 1	Interest on Capital A/c	Dr.		50,000	
	To Susmita's Capital A/c				50,000
	(Being Interest on Capital @ 10% paid)				
April 9	Susmita's Capital A/c	Dr.		1,200	
	To Interest on Drawing A/c				1,200
	(Being Interest calculated on Drawing @ 15%)				
April 11	Salary A/c	Dr.		5,000	
	To Outstanding Salary A/c				5,000
	(Being salary due to employee)				
April 13	Depreciation A/c	Dr.		1,00,000	
	To Machinery A/c				1,00,000
	(Being depreciation on machinery @ 10% charged)				
April 19	Advertisement Expense A/c	Dr.		4,000	
	To Purchase A/c				4,000
	(Being goods distributed as free samples)				
April 24	Loss by Theft A/c	Dr.		25,000	
	To Purchase A/c				25,000
	(Being goods stolen by employee)				
April 27	Loss by Fire A/c	Dr.		3,00,000	
	To Purchase A/c				3,00,000
	(Being goods destroyed by fire)				
April 27	Insurance Company A/c	Dr.		3,00,000	
	To Loss by Fire A/c				3,00,000
	(Being claim made)				
April 27	Bank A/c	Dr.		1,80,000	
	Profit/Loss A/c	Dr.		1,20,000	
	To Insurance Company A/c				3,00,000
	(Being insurance claim received for 60%)				



Mohan's transactions for the month of April 05 are given below. Journalise them.

2005		Rs.
April 1	Mohan started business with cash	5000
,, 2	Deposit in the bank	500
,, 3	Furniture purchased for cash	200
,, 5	Purchased goods for cash	400
,, 8	Purchased goods from M/s Ram Narain on credit	1000
,, 16	Goods sold to M/s Ram & Co. for cash	600
,, 24	Goods sold on credit to Ramesh	300
,, 28	Received cash from Ramesh	300
,, 30	Paid Rent	100
,, 30	Paid Salary	200

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In the book of Mohan
JOURNAL ENTRIES

Date	Particulars	L.F.	Dr. Amount	Cr. Amount
2005				
April 1	Cash Account		5000	
	Dr.			5000
	To Capital Account			
	(Being the amount invested by Mohan in the business as capital)			
,, 2	Bank Account		500	
	Dr.			500
	To Cash Account			
	(Being the amount paid into bank)			
,, 3	Furniture Account		200	
	Dr.			200
	To Cash Account			
	(Being furniture purchased for cash)			
,, 5	Purchases Account		400	
	Dr.			400
	To Cash Account			
	(Being goods purchased for cash)			
,, 8	Purchases Account		1000	
	Dr.			1000
	To M/s Ram Narain			
	(Being goods purchased for cash)			



,, 16	Cash Account Dr.		600	
	To Sales Account			600
	(Being goods sold for cash)			
,, 24	Ramesh Dr.		300	300
	To Sales Account			
	(Being goods sold to Ramesh on credit)			
,, 28	Cash Account Dr.		300	300
	To Ramesh			
	(Being cash received from Ramesh)			
,, 30	*Rent Account Dr.		100 200	
	*Salary Account Dr.			300
	To Cash Account			
	(Being Rent and salary paid)			

LEDGER POSTING AFTER JOURNAL ENTRIES ACCORDING TO AS ABOVE

Dr. CASH ACCOUNT Cr.

Date	Particulars	Amt.	Date	Particulars	Amt.
2005			2005		
April 1	To Mohan's Capital a/c	5000	April 2	By Bank Account	500
,, 16	To Sales Account	600	,, 3	By Furniture Account	200
,, 28	To Ramesh Account	300	,, 5	By Purchase Account	400
			,, 30	By Rent Account	100
			,, 30	By Salary Account	200
			,, 30	By Balance c/d	4500
		900			5900
May 1	To Balance b/d	4500			

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Dr. CAPITAL ACCOUNT Cr.

Date	Particulars	Amount	Date	Particulars	Amount
			2005 April 1	By Cash Account	5,000

Dr. BANK ACCOUNT Cr.

Date	Particulars	Amount	Date	Particulars	Amount
2005 April 2	To Cash Account	500	2005 April 30	By Balance c/d	500
May 1	To Balance b/d	500 500			500

Dr. PURCHASE ACCOUNT Cr.

Date	Particulars	Amount	Date	Particulars	Amount
2005 April 5 April 8	To Cash Account To M/s Ram Narain	400 1,000			

Dr. SALES ACCOUNT Cr.

Date	Particulars	Amount	Date	Particulars	Amount
			2005 April 16 April 24	By Cash Account By Ramesh	600 300

Dr. FURNITURE ACCOUNT Cr.

Date	Particulars	Amount	Date	Particulars	Amount
2005 April 3	To Cash Account	200	2005 April 30	By Balance c/d	200
May 1	To Balance b/d	200 200			200

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Dr. M/S RAM NARAIN Cr.

Date	Particulars	Amount	Date	Particulars	Amount
April 30	To Balance c/d	1,000	2005 April 8	By Purchase Account	1,000
1,000					
1,000			May 1	By Balance b/d	1,000

Dr. RAMESH Cr.

Date	Particulars	Amount	Date	Particulars	Amount
2005 April 24	To Sales Account	300 300	2005 April 28	By Cash Account	300 300

Dr. RENT ACCOUNT Cr.

Date	Particulars	Amount	Date	Particulars	Amount
2005 April 30	To Cash Account	100			

Dr SALARY ACCOUNT Cr.

Date	Particulars	Amount	Date	Particulars	Amount
2005 April 30	To Cash Account	200			



Redemption refers to the process of paying off or settling a debt, obligation, or liability. It involves fulfilling a financial commitment, such as:

1. Paying off a loan or bond
2. Returning borrowed funds
3. Settling a debt or account
4. Exchanging a security or investment for its face value

Redemption can apply to various financial instruments, including:

1. Bonds
2. Debentures
3. Loans
4. Investments
5. Gift cards or loyalty points

The purpose of redemption is to:

1. Fulfil financial obligations
2. Release liability
3. Improve creditworthiness
4. Provide a return on investment

Redemption can be done in various ways, such as:

1. Lump-sum payment
2. Instalment payments
3. Asset sale

In summary, redemption is the act of paying off or settling a financial obligation, freeing oneself from liability, and fulfilling financial commitments.

Company partnership is a type of business structure where two or more individuals, companies, or entities collaborate to operate a business. Partners share ownership, profits, losses, and responsibilities.

Key characteristics:

1. Shared ownership: Partners jointly own the business.
2. Profit sharing: Partners share profits according to their agreement.
3. Loss sharing: Partners share losses according to their agreement.
4. Joint liability: Partners are jointly and severally liable for business debts.



5. Decision-making: Partners typically make decisions collectively.

Types of partnerships:

1. General Partnership: All partners have unlimited liability and management responsibility.

2. Limited Partnership: Some partners have limited liability and no management responsibility.

3. Limited Liability Partnership (LLP): Partners have limited liability and flexibility in management.

Benefits:

1. Shared risk and expertise

2. Increased capital and resources

3. Diverse perspectives and ideas

4. Tax benefits

Challenges:

1. Potential conflicts

2. Joint liability

3. Decision-making complexities

Partnerships are suitable for:

1. Small and medium-sized businesses

2. Professional services (e.g., law, accounting)

3. Start-ups and entrepreneurial ventures

Public Administration refers to the implementation of government policies, management of public programs, and delivery of services to citizens. It involves the organization, management, and functioning of government departments and agencies.

Some related terms:

1. लोक नीति (Lok Niti) - Public Policy

2. प्रशासनिक सुधार (Prashasanik Sudhar) - Administrative Reforms

3. लोक सेवक (Lok Sevak) - Public Servant

Public servants are individuals who work in the public sector, serving the government and citizens. Here are some examples:

1. Government Officials:

- Ministers

- Civil servants (e.g., IAS, IPS, IRS)

2. Public Sector Employees:



- Teachers in government schools
- Doctors and nurses in public hospitals
- Police officers and constables
- Judges and court officials

3. Administrative Roles:

- District collectors
- Municipal Service Commission
- Administrative officers in government departments

4. Healthcare and Education:

- Government-employed doctors, nurses, and teachers
- Public health officials

5. Infrastructure and Utilities:

- Engineers in public works departments
- Municipal workers (e.g., sanitation, water supply)

6. Law Enforcement and Justice:

- Judges
- Lawyers in public prosecution offices
- Prison officials

7. Social Welfare:

- Social workers in government agencies
- Welfare officers

These individuals play a crucial role in serving the public, implementing policies, and maintaining order and governance.

Here are some examples of government agencies:

1. Central/ Federal Agencies:

- Environmental Protection Agency (EPA)
- Federal Bureau of Investigation (FBI)
- Internal Revenue Service (IRS)
- National Aeronautics and Space Administration (NASA)

2. Health Agencies:

- Centres for Disease Control and Prevention (CDC)



- National Institutes of Health (NIH)
- Food and Drug Administration (FDA)

3. Financial Agencies:

- Securities and Exchange Commission (SEC)
- Federal Reserve System (the Fed)
- Department of the Treasury

4. Transportation Agencies:

- Department of Transportation (DOT)
- Federal Aviation Administration (FAA)
- Federal Highway Administration (FHWA)

5. Education Agencies:

- Department of Education
- National Science Foundation (NSF)

6. Law Enforcement Agencies:

- Department of Justice (DOJ)
- Drug Enforcement Administration (DEA)
- Bureau of Alcohol, Tobacco, Firearms and Explosives (ATF)

7. Social Welfare Agencies:

- Social Security Administration (SSA)
- Department of Health and Human Services (HHS)
- Department of Veterans Affairs (VA)

8. Regulatory Agencies:

- Federal Communications Commission (FCC)
- Federal Trade Commission (FTC)
- Occupational Safety and Health Administration (OSHA)

These agencies are responsible for implementing and enforcing laws, regulations, and policies in various areas, such as health, finance, transportation, education, law enforcement, and more. They play a crucial role in ensuring public safety, protecting the environment, and promoting the general welfare of citizens.

Share in a company represents ownership in that company. When a company issues shares, it raises capital from investors, who become part-owners of the company. Shareholders are entitled to a portion of the company's profits (in the form of dividends) and may have voting rights in company decisions.



Types of Shares:

1. Equity Shares:

- Represent ownership in a company.
- Shareholders are entitled to dividends and voting rights.
- Example: Common stock.

2. Preference Shares:

- Have a fixed dividend rate.
- Preference shareholders receive dividends before equity shareholders.
- Types include:
  - Cumulative Preference Shares: Unpaid dividends accumulate.
  - Non-Cumulative Preference Shares: Unpaid dividends do not accumulate.
  - Redeemable Preference Shares: Can be redeemed after a specific period.
  - Convertible Preference Shares: Can be converted into equity shares.

3. Bonus Shares:

- Issued to existing shareholders free of cost.
- Capitalized from the company's reserves.

4. Right Shares:

- Issued to existing shareholders in proportion to their current holdings.
- Allows them to buy new shares before they are offered to the public.

5. Sweat Equity Shares:

- Issued to employees or directors as a reward for their contributions.
- Often issued at a discount.

Key Features of Shares:

1. Dividend Rights: Shareholders may receive a portion of the company's profits.
2. Voting Rights: Shareholders may participate in company decisions.
3. Capital Appreciation: Shares can increase in value over time.
4. Liquidity: Shares can be bought and sold on stock exchanges.

Benefits of Shares:

1. Ownership: Shareholders own a part of the company.
2. Potential Returns: Shareholders can earn returns through dividends and capital appreciation.
3. Liquidity: Shares can be easily bought and sold.



4. Voting Rights: Shareholders have a say in company decisions.

Risks of Shares:

1. Market Volatility: Share prices can fluctuate.

2. Company Performance: Poor performance can lead to losses.

3. No Guaranteed Returns: Dividends are not guaranteed.

Shares are an essential part of the capital market, providing companies with capital for growth and investors with opportunities for returns.

Equity Shareholders typically have the most significant impact on company decisions because they have voting rights. The extent of their influence depends on the number of shares they hold. Here's how different types of shareholders can affect company decisions:

1. Equity Shareholders (Common Stockholders)

- Voting Rights: Equity shareholders have the right to vote on major company decisions, such as:
  - Electing the board of directors.
  - Approving mergers or acquisitions.
  - Changing the company's articles of association.
  - Deciding on dividend policies.
- Influence: The more shares an equity shareholder owns, the greater their voting power and influence over company decisions. Major shareholders, such as institutional investors or large individual investors, can significantly impact company policies and strategic direction.

2. Preference Shareholders

- Limited Voting Rights: Preference shareholders typically do not have voting rights unless their dividend payments are in arrears or the company is considering actions that affect their rights.

- Influence: Since their voting rights are limited, preference shareholders have less influence over general company decisions. However, they may have specific rights to vote on matters that directly affect their interests.

3. Promoters/Founders

- Significant Influence: Promoters or founders often hold a substantial portion of the company's shares and have significant control over company decisions. They may also hold key positions on the board of directors or have close ties with the management.

- Strategic Decisions: Their influence often extends to long-term strategic decisions, major investments, and key appointments.

4. Institutional Investors

- Mutual Funds, Pension Funds, and Insurance Companies: These investors often hold large stakes in companies and can influence decisions through their voting power.



- Active vs. Passive Investors: Some institutional investors actively engage with the company's management and board, while others may follow a passive approach and vote according to their internal policies.

5. Minority Shareholders

- Limited Influence: Minority shareholders, who own a small percentage of shares, have limited influence on company decisions. However, they can still vote and participate in general meetings.

- Collective Action: If minority shareholders band together, they can sometimes influence decisions, especially if their combined voting power is significant.

Key Factors Determining Influence:

1. Percentage of Shareholding: The larger the stake, the greater the influence.

2. Voting Rights: Shareholders with voting rights have more influence over company decisions.

3. Board Representation: Shareholders who have representatives on the board of directors can influence decisions from within.

4. Shareholder Agreements: Agreements between shareholders can define specific rights and influence.

In summary, equity shareholders, particularly those with significant stakes, have the most substantial impact on company decisions due to their voting rights and ownership. Other types of shareholders, like preference shareholders, have more limited influence unless specific conditions are met.

A Cost Centre is a department or function within an organization that does not directly generate revenue but incurs costs in the process of operating the business. Cost centres are typically involved in supporting or facilitating activities that contribute to the overall efficiency and effectiveness of the organization.

Examples of Cost Centres:

1. Human Resources (HR) Department:

- Handles recruitment, training, payroll, and employee relations.

- Costs include salaries, training programs, and recruitment expenses.

2. Information Technology (IT) Department:

- Manages the organization's technology infrastructure and support.



- Costs include hardware, software, and IT staff salaries.

3. Accounting Department:

- Handles financial reporting, payroll processing, and financial analysis.

- Costs include salaries, accounting software, and audit fees.

4. Marketing Department:

- While marketing can drive revenue, in some cases, it is treated as a cost center if its impact is indirect or long-term.

- Costs include advertising, market research, and salaries.

5. Administrative Office:

- Provides general administrative support to the organization.

- Costs include office supplies, utilities, and administrative staff salaries.

Key Characteristics of a Cost Centre:

1. No Direct Revenue Generation:

- Cost centres do not directly generate revenue but support the core activities of the business.

2. Cost Incurrence:

- They incur costs that are necessary for the operation and management of the organization.

3. Support Function:

- Cost centres provide essential support to revenue-generating departments or functions.

Importance of Cost Centres:

1. Cost Control:

- Helps in identifying and controlling costs within the organization.

- Enables better budgeting and financial planning.

2. Performance Evaluation:

- Allows management to evaluate the efficiency and effectiveness of different departments.

- Helps in identifying areas for improvement and cost-saving opportunities.

3. Resource Allocation:

- Assists in allocating resources more effectively by understanding the costs associated with different departments.

- Supports strategic decision-making by providing insights into cost structures.

Challenges in Managing Cost Centres:

1. Cost Containment:

- Ensuring that costs are kept under control without compromising the quality of support services.

2. Performance Measurement:

- Measuring the performance of cost centres can be challenging due to the lack of direct revenue generation.

- Often requires the use of performance metrics and benchmarks.

3. Resource Allocation:

- Allocating resources to cost centres based on their needs and priorities.

Best Practices for Managing Cost Centres:

1. Regular Review:

- Regularly review costs and performance to identify areas for improvement.

2. Benchmarking:

- Compare costs and performance with industry benchmarks or other organizations.

3. Cost Allocation:

- Allocate costs accurately to cost centres to ensure transparency and accountability.

4. Technology Adoption:

- Leverage technology to streamline processes and reduce costs.

By effectively managing cost centres, organizations can optimize their operations, reduce unnecessary expenses, and enhance overall efficiency.

TDS stands for Tax Deducted at Source. It is a system of tax collection introduced by the Indian government to collect tax at the source of income generation. Under TDS, a person making certain specified payments is required to deduct a certain percentage of the amount as tax and deposit it into the government's account.

Key Features of TDS:



1. Deduction at Source:

- Tax is deducted at the time of making a payment, such as salary, rent, interest, or commission.

2. Applicable to Various Income Sources:

- TDS applies to various types of income, including:
  - Salaries
  - Rent
  - Interest on bank deposits
  - Dividends
  - Professional fees
  - Commission
  - Lottery winnings

3. Threshold Limits:

- TDS is applicable only if the payment exceeds certain threshold limits specified by the Income Tax Act.

4. Tax Rates:

- The rate of TDS varies depending on the nature of the payment and the recipient's status (e.g., individual, company, resident, or non-resident).

5. Depositing Tax:

- The deducted tax must be deposited into the government's account within the specified due date.

6. Issuance of Certificate:

- The person deducting the tax must issue a TDS certificate to the recipient, which can be used to claim credit for the tax deducted.

Purpose of TDS:

1. Regular Tax Collection:

- Ensures regular collection of taxes by the government throughout the year.

2. Reducing Tax Evasion:

- Helps in reducing tax evasion by bringing more taxpayers into the tax net.

3. Ease of Compliance:



- Simplifies the process of tax payment for individuals and businesses by spreading it over the year.

How TDS Works:

1. Deduction:

- When a person makes a payment subject to TDS, they deduct tax at the prescribed rate.

2. Deposit:

- The deducted tax is deposited into the government's account using challans or online payment systems.

3. Certificate:

- A TDS certificate (Form 16 or Form 16A) is issued to the recipient, detailing the tax deducted.

4. Claiming Credit:

- The recipient can claim credit for the TDS amount while filing their income tax return.

Consequences of Non-Compliance:

1. Interest and Penalties:

- Failure to deduct or deposit TDS can result in interest and penalties.

2. Disallowance of Expenses:

- If TDS is not deducted or deposited, the expense may be disallowed while computing taxable income.

Benefits of TDS:

1. Assesses Convenience:

- Helps taxpayers by spreading their tax liability over the year.

2. Government's Regular Revenue:

- Ensures a steady flow of revenue to the government.

3. Widening Tax Base:

- Brings more individuals and businesses into the tax net.

TCS can refer to different concepts depending on the context. Here are a few possible meanings:

1. Tax Collected at Source (TCS):



- Definition: TCS is a tax collection mechanism introduced by the Indian government, similar to TDS (Tax Deducted at Source). Under TCS, certain sellers or service providers are required to collect tax from the buyer at the time of sale or provision of services.

- Applicability: TCS applies to specific goods and services, such as:

  - Sale of goods like tended leaves, timber, liquor, and scrap.

  - Sale of certain luxury goods.

  - Overseas remittances under the Liberalized Remittance Scheme (LRS).

- Collection and Deposit: The seller or service provider collects the tax amount from the buyer and deposits it into the government's account. The buyer can claim credit for the TCS amount while filing their income tax return.

2. Tata Consultancy Services (TCS):

- Definition: TCS is a leading global IT services, consulting, and business Solutions Company headquartered in Mumbai, India. It provides a wide range of services, including:

  - IT services

  - Consulting

  - Digital transformation

  - Business process outsourcing

- Industry Presence: TCS operates in multiple industries, including banking, healthcare, retail, and manufacturing, and serves clients globally.

3. Other Meanings:

- Depending on the context, TCS can also stand for other terms, such as:

  - Total Cost of Services

  - Technical Control System

  - Training and Competency Standards

GST stands for Goods and Services Tax. It is a comprehensive, indirect tax levied on the supply of goods and services in India. GST replaced multiple taxes like Value Added Tax (VAT), Service Tax, and Central Excise Duty, simplifying the tax structure and promoting a unified national market.

Key Features of GST:

1. Destination-Based Tax:

- GST is levied based on the place of consumption rather than the place of origin.



2. Input Tax Credit (ITC):

- Businesses can claim credit for the GST paid on inputs, reducing the cascading effect of taxes.

3. Unified Tax Structure:

- GST integrates various state and central taxes into a single tax system.

4. Multiple Tax Slabs:

- GST is divided into different tax slabs (e.g., 0%, 5%, 12%, 18%, and 28%) based on the type of goods or services.

5. Digital Compliance:

- GST registration, filing, and payment are done online through the GST portal.

Types of GST:

1. CGST (Central GST):

- Levied by the central government on intra-state supplies.

2. SGST (State GST):

- Levied by state governments on intra-state supplies.

3. IGST (Integrated GST):

- Levied by the central government on inter-state supplies.

Benefits of GST:

1. Simplified Tax Structure:

- Replaces multiple taxes, reducing compliance burden.

2. Reduced Tax Evasion:

- GST's digital platform helps track transactions and reduces tax evasion.

3. Increased Tax Base:

- More businesses are brought under the tax net, increasing government revenue.

4. Uniform Tax Rates:

- Promotes a level playing field across states and businesses.

5. Improved Efficiency:

- Reduces the cascading effect of taxes and improves the overall efficiency of the supply chain.



Challenges of GST:

1. Implementation Issues:

- Initial technical glitches and compliance challenges.

2. Complexity:

- Multiple tax slabs and compliance requirements can be complex for small businesses.

3. Technology Dependence:

- Requires businesses to have digital literacy and infrastructure.

GST Registration:

1. Eligibility:

- Businesses with an annual turnover above a certain threshold (varies by state) must register for GST.

2. Process:

- Registration is done online through the GST portal.

- Requires submission of documents and information.

GST Filing:

1. Returns:

- Businesses need to file GST returns (e.g., GSTR-1, GSTR-3B) on a regular basis.

2. Due Dates:

- Different due dates apply based on the type of return and taxpayer's turnover.

A voucher is a document or electronic record that serves as evidence of a transaction, typically involving the exchange of goods, services, or money. Vouchers are used to support accounting entries, track expenses, and ensure accurate financial reporting.

Types of Vouchers:

1. Cash Voucher:

- Used to record cash transactions, such as cash receipts or cash payments.

- Example: A receipt for cash received from a customer.

2. Bank Voucher:

- Used to record transactions involving banks, such as deposits, withdrawals, or transfers.



- Example: A bank deposit slip or a cheque deposit receipt.

3. Purchase Voucher:

- Used to record purchases of goods or services on credit.

- Example: A purchase invoice received from a supplier.

4. Sales Voucher:

- Used to record sales of goods or services on credit.

- Example: A sales invoice issued to a customer.

5. Journal Voucher:

- Used to record non-cash transactions, such as adjustments, transfers, or corrections.

- Example: A journal entry to record depreciation expense.

6. Debit Note Voucher:

- Used to record a debit to a customer's account, often due to returned goods or additional charges.

- Example: A debit note issued to a customer for returned merchandise.

7. Credit Note Voucher:

- Used to record a credit to a supplier's account, often due to returned goods or refunds.

- Example: A credit note received from a supplier for returned goods.

8. Payment Voucher:

- Used to record payments made to suppliers or vendors.

- Example: A payment receipt for settling a supplier's invoice.

9. Receipt Voucher:

- Used to record cash or bank receipts from customers or other parties.

- Example: A receipt for cash received from a customer.

Importance of Vouchers:

1. Audit Trail:

- Vouchers provide a detailed record of transactions, making it easier to track and verify financial activities.

2. Financial Reporting:



- Vouchers support the preparation of financial statements by providing evidence of transactions.

3. Internal Control:

- Vouchers help ensure that transactions are properly authorized, recorded, and accounted for.

4. Tax Compliance:

- Vouchers serve as supporting documents for tax filings and audits.

How Vouchers Work:

1. Creation:

- Vouchers are created when a transaction occurs, such as a purchase or sale.

2. Authorization:

- Vouchers are reviewed and approved by authorized personnel to ensure accuracy and legitimacy.

3. Recording:

- Vouchers are recorded in the accounting system to reflect the financial impact of the transaction.

4. Storage:

- Vouchers are stored securely, either physically or digitally, for future reference and audit purposes.

Inventory refers to the goods or materials that a business holds for sale, in production, or in the process of being manufactured. It is a critical asset for many businesses, particularly those in retail, manufacturing, and distribution.

Types of Inventory:

1. Raw Materials:

- Goods or materials that are used in the production of finished products.

- Example: Wood for furniture manufacturing.

2. Work-in-Progress (WIP):

- Goods or products that are partially completed and still in the production process.

- Example: A car on the assembly line that is not yet finished.



3. Finished Goods:

- Completed products that are ready for sale to customers.

- Example: Finished electronics, clothing, or packaged food products.

4. Maintenance, Repair, and Operating (MRO) Supplies:

- Goods or materials used to maintain, repair, or operate production equipment and facilities.

- Example: Spare parts, lubricants, or cleaning supplies.

5. Packaging Materials:

- Materials used to package and protect goods during storage and shipping.

- Example: Boxes, bubble wrap, or pallets.

Importance of Inventory Management:

1. Meeting Customer Demand:

- Ensures that products are available when customers need them, reducing stock outs and lost sales.

2. Optimizing Cash Flow:

- Proper inventory management helps avoid overstocking, which ties up capital, and understocking, which can lead to missed sales.

3. Reducing Costs:

- Efficient inventory management minimizes storage costs, reduces waste, and prevents obsolescence.

4. Improving Efficiency:

- Streamlined inventory processes lead to faster order fulfilment and better supply chain management.

Inventory Management Techniques:

1. Just-in-Time (JIT):

- A strategy that aims to maintain minimal inventory levels by receiving goods only as they are needed for production or sale.

2. Economic Order Quantity (EOQ):

- A method used to determine the optimal order quantity that minimizes total inventory costs.



3. ABC Analysis:

- A technique that categorizes inventory into three groups (A, B, C) based on its value and importance, allowing businesses to prioritize management efforts.

4. First-In, First-Out (FIFO):

- A method of inventory valuation where the oldest inventory items are sold or used first.

5. Last-In, First-Out (LIFO):

- A method of inventory valuation where the most recently acquired inventory items are sold or used first.

Challenges in Inventory Management:

1. Demand Forecasting:

- Accurately predicting customer demand to avoid stockouts or overstocking.

2. Supply Chain Disruptions:

- Managing risks related to suppliers, transportation, and logistics.

3. Inventory Obsolescence:

- Dealing with inventory that becomes outdated or unsellable.

4. Storage and Handling:

- Ensuring proper storage conditions and handling procedures to prevent damage or loss.

Benefits of Effective Inventory Management:

1. Increased Customer Satisfaction:

- Ensures products are available when needed.

2. Reduced Costs:

- Minimizes storage, handling, and obsolescence costs.

3. Improved Cash Flow:

- Reduces the amount of capital tied up in inventory.

4. Enhanced Efficiency:

- Streamlines operations and reduces waste.

Payroll refers to the process of calculating and distributing employee compensation, including salaries, wages, bonuses, and deductions. It involves



managing employee payments, tax withholdings, and other statutory deductions.

Key Components of Payroll:

1. Gross Pay:

- The total amount of money earned by an employee before any deductions.

2. Net Pay:

- The amount of money an employee takes home after deductions, such as taxes and benefits.

3. Deductions:

- Amounts withheld from an employee's pay check, including:
  - Income tax
  - Social security contributions
  - Health insurance premiums
  - Retirement savings

4. Benefits:

- Additional compensation provided to employees, such as:
  - Health insurance
  - Retirement plans
  - Paid time off
  - Bonuses

Payroll Process:

1. Employee Data Management:

- Maintaining accurate records of employee information, including salaries, benefits, and tax details.

2. Time Tracking:

- Recording employee work hours, attendance, and leave.

3. Payroll Calculation:

- Calculating gross pay, deductions, and net pay based on employee data and time tracking records.



4. Payment Processing:

- Distributing payments to employees through direct deposit, checks, or other payment methods.

5. Tax Compliance:

- Ensuring compliance with tax laws and regulations, including withholding taxes and filing tax returns.

6. Reporting:

- Generating payroll reports for management, accounting, and statutory purposes.

Importance of Payroll:

1. Employee Satisfaction:

- Timely and accurate payment of salaries and benefits is crucial for employee morale and retention.

2. Compliance:

- Proper payroll management ensures compliance with tax laws, labor laws, and other regulations.

3. Financial Management:

- Payroll is a significant expense for businesses, and effective management helps control costs and maintain cash flow.

4. Data Accuracy:

- Accurate payroll records are essential for financial reporting, budgeting, and decision-making.

Challenges in Payroll Management:

1. Compliance with Laws and Regulations:

- Keeping up with changes in tax laws, labor laws, and other regulations.

2. Accuracy and Timeliness:

- Ensuring accurate and timely payment of salaries and benefits.

3. Data Security:

- Protecting sensitive employee information and payroll data.

4. Cost Control:

- Managing payroll costs while ensuring compliance and employee satisfaction.



Payroll Software:

1. Automated Calculations:

- Payroll software automates calculations, reducing errors and saving time.

2. Compliance Management:

- Helps ensure compliance with tax laws and labor regulations.

3. Employee Self-Service:

- Allows employees to access their pay stubs, tax forms, and benefits information online.

4. Reporting and Analytics:

- Provides insights into payroll costs, labour expenses, and workforce trends.

A Job Order Processing is a production process where goods or services are produced or delivered based on specific customer orders. It is commonly used in industries where products are customized or made-to-order, and each job or order is unique.

Key Features of Job Order Processing:

1. Customization:

- Products or services are tailored to meet the specific requirements of each customer.

2. Unique Orders:

- Each job or order is distinct and may require different materials, labor, or processes.

3. Project-Based:

- Production is often organized around specific projects or jobs, with clear start and end dates.

4. Cost Tracking:

- Costs are tracked and allocated to specific jobs or orders to determine profitability.

Types of Job Order Processing:

1. Manufacturing Job Order:

- Involves producing custom-made products based on specific customer orders.

- Example: Custom furniture, machinery, or electronics.

2. Service Job Order:



- Involves providing customized services to clients based on their specific needs.

- Example: Consulting services, legal services, or repair services.

3. Construction Job Order:

- Involves managing construction projects based on specific client requirements.

- Example: Building a custom home, renovating a kitchen, or constructing a commercial building.

4. Custom Software Development:

- Involves developing software solutions tailored to the specific needs of a business or organization.

- Example: Developing a custom CRM system or a bespoke software application.

Steps in Job Order Processing:

1. Order Receipt:

- Receiving the customer's order and understanding their requirements.

2. Planning and Scheduling:

- Planning the production process, allocating resources, and scheduling tasks.

3. Production:

- Executing the production process, including manufacturing, assembly, or service delivery.

4. Quality Control:

- Ensuring that the product or service meets the customer's specifications and quality standards.

5. Delivery:

- Delivering the product or service to the customer.

Benefits of Job Order Processing:

1. Customization:

- Allows businesses to offer customized products or services that meet specific customer needs.

2. Flexibility:

- Enables businesses to adapt to changing customer requirements and market demands.

3. Customer Satisfaction:



- Ensures that products or services meet customer expectations, leading to higher satisfaction.

4. Profitability:

- Allows businesses to charge premium prices for customized products or services.

Challenges in Job Order Processing:

1. Complexity:

- Managing unique orders and custom requirements can be complex and time-consuming.

2. Cost Control:

- Ensuring that costs.

- Tracking costs for custom orders can be challenging.

3. Time Management:

- Meeting tight deadlines and managing production schedules can be difficult.

4. Quality Control:

- Ensuring that custom products or services meet quality standards and customer expectations.

A Job Costing is a method of costing that involves tracking and allocating costs to specific jobs or projects. It is commonly used in industries where products or services are customized or made-to-order, and each job or project is unique.

Key Features of Job Costing:

1. Job-Specific Costs:

- Costs are accumulated and tracked for each specific job or project.

2. Customization:

- Each job or project is unique and may require different materials, labor, and overhead costs.

3. Cost Allocation:

- Costs are allocated to specific jobs based on actual usage or consumption.

4. Profitability Analysis:

- Job costing helps determine the profitability of each job or project.

Types of Job Costing:



1. Specific Order Costing:

- Costs are accumulated for a specific order or job, and the total cost is calculated for that order.

- Example: A custom furniture manufacturer tracking costs for a specific piece of furniture.

2. Batch Costing:

- Costs are accumulated for a batch of products, and the cost per unit is calculated by dividing the total cost by the number of units in the batch.

- Example: A bakery producing a batch of custom cakes.

3. Contract Costing:

- Costs are accumulated for a specific contract or project, often used in construction or large-scale projects.

- Example: A construction company tracking costs for a building project.

4. Service Job Costing:

- Costs are accumulated for specific service jobs, such as consulting, repair, or maintenance services.

- Example: An automotive repair shop tracking costs for a specific car repair job.

Steps in Job Costing:

1. Job Identification:

- Identifying and defining the specific job or project.

2. Cost Accumulation:

- Accumulating all costs associated with the job, including materials, labour, and overhead.

3. Cost Allocation:

- Allocating costs to the specific job based on actual usage or consumption.

4. Cost Calculation:

- Calculating the total cost of the job and determining the profitability.

5. Reporting:

- Generating reports to analyse job costs, profitability, and performance.

Benefits of Job Costing:

1. Accurate Costing:



- Provides accurate cost information for specific jobs or projects.

2. Profitability Analysis:

- Helps determine the profitability of each job or project.

3. Cost Control:

- Enables businesses to control costs and improve efficiency.

4. Informed Decision-Making:

- Provides valuable insights for pricing, bidding, and resource allocation.

Challenges in Job Costing:

1. Cost Tracking:

- Accurately tracking and allocating costs to specific jobs can be complex.

2. Time-Consuming:

- Job costing requires detailed record-keeping and analysis, which can be time-consuming.

3. Overhead Allocation:

- Allocating overhead costs to specific jobs can be challenging.

A Supplier Invoice Numbers are unique identifiers assigned by suppliers to their invoices. These numbers help track and manage invoices, ensuring accurate record-keeping and efficient processing.

Key Features of Supplier Invoice Numbers:

1. Unique Identifier:

- Each invoice number is unique to a specific invoice, preventing duplication and confusion.

2. Tracking and Organization:

- Supplier invoice numbers enable businesses to easily track and organize invoices for payment, accounting, and auditing purposes.

3. Reference Point:

- These numbers serve as a reference point for communication between the buyer and supplier regarding specific invoices.

4. Audit Trail:

- Supplier invoice numbers provide an audit trail, helping businesses maintain accurate financial records and comply with regulatory requirements.



Importance of Supplier Invoice Numbers:

1. Efficient Payment Processing:

- Accurate invoice numbers ensure that payments are applied to the correct invoices, reducing errors and delays.

2. Improved Record-Keeping:

- Supplier invoice numbers help maintain organized and accessible records, simplifying accounting and auditing processes.

3. Enhanced Communication:

- Using invoice numbers in communications helps clarify references to specific invoices, reducing misunderstandings.

4. Fraud Prevention:

- Unique invoice numbers can help detect and prevent duplicate or fraudulent invoices.

How Supplier Invoice Numbers Are Used:

1. Invoice Processing:

- Businesses use supplier invoice numbers to process and approve invoices for payment.

2. Payment Application:

- Payments are applied to specific invoices based on the invoice number, ensuring accurate accounting.

3. Reconciliation:

- Supplier invoice numbers are used to reconcile invoices with purchase orders, goods received notes, and payment records.

4. Auditing and Compliance:

- These numbers are essential for maintaining accurate financial records and complying with auditing and regulatory requirements.

Best Practices for Managing Supplier Invoice Numbers:

1. Standardization:

- Establish a standardized format for supplier invoice numbers to improve organization and tracking.

2. Documentation:

- Maintain accurate records of supplier invoices, including invoice numbers, dates, and amounts.



3. Verification:

- Verify the accuracy of supplier invoice numbers and details to prevent errors and fraud.

4. Integration:

- Integrate supplier invoice numbers into your accounting and payment systems for seamless processing.

The Audit is a systematic examination and evaluation of an organization's financial records, statements, and internal controls to ensure accuracy, compliance, and effectiveness. Audits are conducted to provide stakeholders with assurance that financial information is reliable and that the organization is operating efficiently and ethically.

Types of Audits:

1. Financial Audit:

- Purpose: To examine financial statements and ensure they are accurate, complete, and comply with relevant accounting standards and regulations.

- Focus: Financial statements, accounting records, and financial reporting processes.

2. Operational Audit:

- Purpose: To evaluate the efficiency and effectiveness of an organization's operations and processes.

- Focus: Operational procedures, internal controls, and performance metrics.

3. Compliance Audit:

- Purpose: To ensure that an organization complies with relevant laws, regulations, and standards.

- Focus: Regulatory requirements, legal obligations, and adherence to policies.

4. Internal Audit:

- Purpose: To provide independent assurance and consulting services to improve an organization's operations and risk management.

- Focus: Internal controls, risk management, governance, and operational efficiency.

5. External Audit:

- Purpose: To provide an independent opinion on the fairness and accuracy of an organization's financial statements.

- Focus: Financial statements, accounting practices, and compliance with accounting standards.

6. Information Systems (IS) Audit:

- Purpose: To evaluate the security, integrity, and reliability of an organization's information systems and technology infrastructure.

- Focus: IT controls, cybersecurity, data protection, and system performance.

7. Tax Audit:

- Purpose: To ensure compliance with tax laws and regulations and to verify the accuracy of tax returns.

- Focus: Tax calculations, deductions, credits, and compliance with tax laws.

8. Environmental Audit:

- Purpose: To assess an organization's compliance with environmental regulations and to evaluate its environmental performance.

- Focus: Environmental impact, compliance with environmental laws, and sustainability practices.

9. Forensic Audit:

- Purpose: To investigate and detect fraud, financial crimes, or other forms of misconduct within an organization.

- Focus: Financial irregularities, fraud detection, and legal proceedings.

Importance of Audits:

1. Assurance:

- Audits provide stakeholders with confidence in the accuracy and reliability of financial information.

2. Risk Management:

- Audits help identify and mitigate risks, improving internal controls and operational efficiency.

3. Compliance:

- Audits ensure that organizations comply with relevant laws, regulations, and standards.

4. Improvement:

- Audits provide insights and recommendations for improving processes, controls, and performance.



5. Transparency:

- Audits promote transparency and accountability in financial reporting and organizational operations.

Audit Process:

1. Planning:

- Defining the scope, objectives, and approach of the audit.

2. Fieldwork:

- Collecting and analysing evidence, conducting interviews, and reviewing documents.

3. Reporting:

- Preparing and presenting the audit findings, conclusions, and recommendations.

4. Follow-Up:

- Monitoring the implementation of audit recommendations and ensuring corrective actions are taken.



Introduction to Accounting

What is Accounting?

The American Institute of Certified Public Accountants(AICPA) defines **Accounting** as the art of recording, classifying, and summarizing the transactions and events that are in monetary terms efficiently and effectively and interpreting the results.

The main aim behind the accounting process is the ascertainment of an organization's operation's net results and financial position so that the firm can communicate the same with the interest parties or users of Accounting Information. The nature of Accounting is dynamic and analytical and hence, requires special abilities and skills in an individual to interpret the information better and effectively.



What is Accountancy?

> *Accountancy is the process of measuring, processing, and recording an organization's financial and non-financial statements. It has a wider scope than Accounting as it is the route to the Accounting process. Accountancy is responsible for prescribing the accounting conventions, principles, and techniques to be followed by an organization during the accounting process.*



Objectives of Accounting



- **Maintenance of Records of Business Transactions:** No individual can remember every detail regarding the sales, purchases, payments, revenue, receipts, expenses, etc., of an organization. Therefore, a proper, accurate, and regular, systematic recording of business transactions is essential for every organization. Accounting helps an organization in recording and maintaining the records of business transactions.
- **Depiction of Financial Position:** Another objective of accounting is the ascertainment of an organization's financial position in the form of its liabilities and assets at the end of each financial year. An organization can depict the financial position for the accounting year with the help of financial statements.
- **Calculation of Profit and Loss:** The central aim of every organization is to earn and maximize profit. For this, the business owners might need an idea of the net results based on the organizational operations. Therefore, accounting aims at ascertaining the loss sustained and profit earned by an organization during the financial year.
- **Providing Accounting Information to its Users:** The Accounting information generated by an organization in the form of financial statements, reports, charts, etc., for the accounting year is used by different external and internal users. Accounting provides relevant

information about the organization to these users. Some of the users of accounting information are management, employees, investors, creditors, banks, financial institutions. etc.

Advantages of Accounting

- **Provide Information about Financial Performance:** The process of Accounting provides accurate and factual information regarding the financial performance of an organization during a given financial year. The organizational information includes profit earned, loss incurred, financial position, and other essential facts required by the different users of accounting information.
- **Provide Assistance to Management:** The process of accounting helps the management of an organization in effective business planning and decision-making for the attainment of organisational objectives. The management can do so with the help of the financial information provided by the accounting process.
- **Helps in Raising Loans:** For the survival, success, and growth of an organization, it needs finance. For this purpose, an organization can easily raise loans from different Financial Institutions and Banks based on the information provided by the accounting process in the form of financial statements and reports.
- **Facilitates Comparative Study:** As an organization prepares and maintains systematic financial records, it can effectively perform a comparative study. An organization can compare its current year's performance with the previous year's performance or with the performance of the competitors.

Limitations of Accounting

- **Accounting Information may be Unrealistic:** As the records of an organization are maintained on the basis of accounting principles, conventions, and concepts, there is a possibility that the information provided by the organization may be unrealistic.

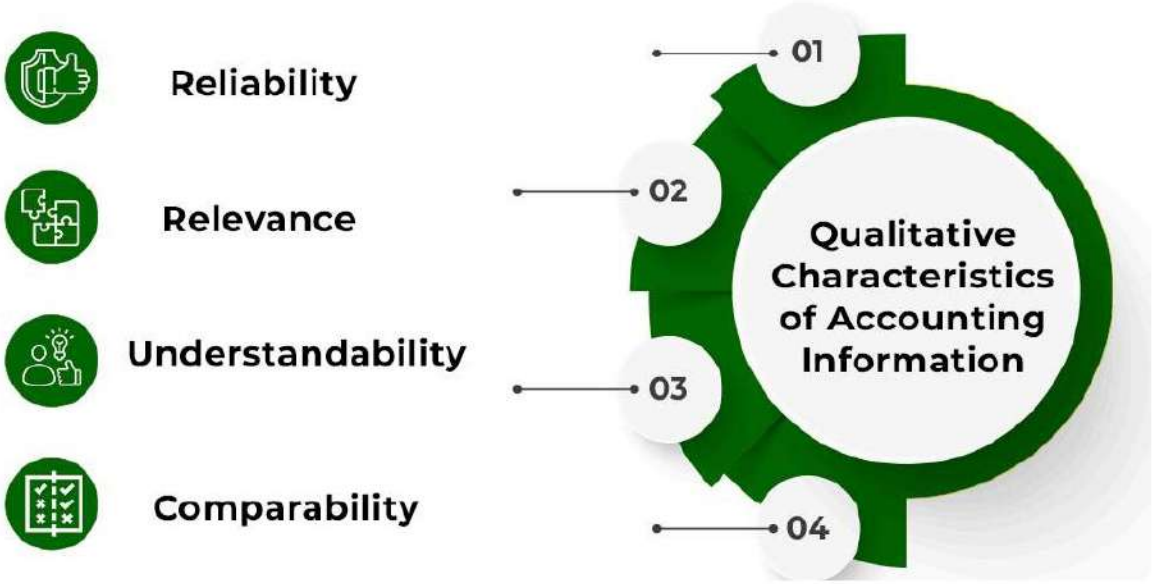


- **Possibility of Window Dressing of the Financial Position:** Organizations may present wrong and over-the-top information about their financial position by manipulating the books of accounts to attract people, investors, and different users. In these cases, the financial statements do not provide a true picture of the organization.
- **Does not Consider the Qualitative Elements:** The Accounting process only considers the monetary values or transactions and ignores the qualitative aspects of an organization.
- **Accounting Records are not Fully Correct:** An organization records its transactions in the books of accounts based on the sources like purchase invoices, sales invoices, cash receipts, bills, etc. If there is a mistake in any of these sources, the books of accounts will not show accurate information regarding the organization.

What is Accounting Information?

It is defined as the information provided by an organization in its financial statements for different internal and external users. An organization prepares the accounting information with the help of the Book-keeping process. The process helps the different users in understanding the financial position and profitability of the organization and make financial decisions accordingly.

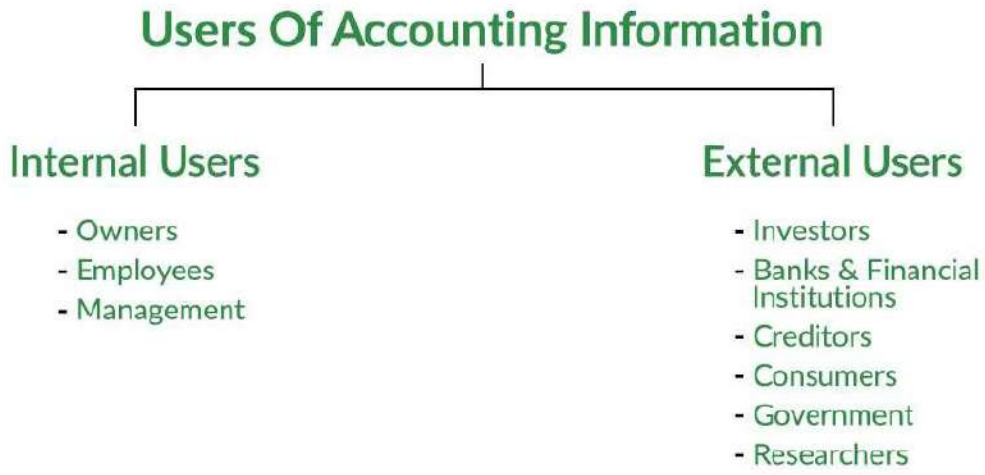
Qualitative Characteristics of Accounting Information



- **Reliability:** It is the ability of a user to depend on the information provided by an organization. Accounting information can be stated as reliable if it is free from errors any kind of personal bias. In other words, the information provided by an organization must be verifiable and based on proper facts.
- **Relevance:** It is the ability of information to meet the users' needs and help them make important decisions. The information provided by the organization must be available to the users on time and hence, help them in forecasting.
- **Understandability:** It means presenting the accounting information of an organization in a way that the users can understand it in the same sense as the organization wants to convey. With proper understandability only, an organization can communicate effectively with the different users of accounting information.
- **Comparability:** Relevance and Reliability of the accounting information is not enough; it should also be comparable. It means that the organization should use the same measures of reporting and accounting principles, so the users can effectively compare the current year's reports with the previous years'.

Users of Accounting Information





1. Internal Users

- **Owners:** The owners of an organization contribute their savings as capital in the business. Therefore, the owners are exposed to the risks involved with the business and, hence, want to ensure the safety of their capital.
- **Employees:** The employees of an organization are interested in the accounting information to determine the ability of the firm to pay their bonuses and salary.
- **Management:** The management of an organization has to make various decisions for its success, growth, and accomplishment of goals. For this, the management uses the accounting information to make certain essential decisions.

2. External Users

- **Investors:** Investors are the people or groups of people who invest their money in organizations. These investors want to know about the earning capacity of the organization so they can decide the safety and risk level of investing in an organization.
- **Banks and Financial Institutions:** The banks and financial institutions provide loans to different businesses. They use the accounting



information to ensure the repayment of their loan.

- **Creditors:** Creditors provide an organization with goods on credit. They take the help of accounting information to understand the credibility and financial soundness of the organization to pay their money.
- **Consumers:** Consumers use the accounting information of an organization to establish good accounting control over the business that can reduce the production cost.
- **Government**: The Government uses accounting information to determine and assess the tax liability of an organization.
- **Researchers:** Researchers use the accounting information of an organization to complete their research work and provide actual facts and figures in their work.



Income Tax

What is Income Tax?

Income Tax is a direct tax that is levied on any individual's or entity's income during a financial year. It is directly paid to the government, like all the other direct taxes (Wealth Tax, Estate Tax, Corporate Tax, and Capital Gain Tax). The net taxable income is considered to calculate the tax liability of the

current financial year. The amount of tax paid depends on the money earned by the individual in that particular financial year.

Direct tax can be defined as a type of tax in which the incidence and impact of the tax are levied on the same person. It can be further explained as a type of tax in which the liability of paying the tax cannot be shifted to someone else.





1. Why is Income Tax collected?

There are various reasons for which income tax is calculated; for example, to pay off the salaries of state and central government employees and to meet infrastructural expenses. Simply put, it is the source of income for the government with which it takes care of the development of the country.

2. Who should pay Income Tax?

All the individuals have to compulsorily file ITR if their annual income exceeds ₹2.5 lakh p.a. The limits exceeds to ₹3,00,000 for senior citizens and ₹5,00,000 for senior citizens. List of people who are required to file ITR consists of:

- *Artificial Judicial Person*
- *Corporate Firms*
- *Association of Persons (AOPs)*
- *Hindu Undivided Families (HUFs)*
- *Companies*
- *Local Authorities*
- *Body of Individuals (BOIs)*

3. What are the different types of income based on Tax criteria?

Every type of income that is earned by any individual or firm residing in India is taxable if it comes under the tax slab according to the Income Tax Act 1961. The five major categories in which income is divided are:

- *Property Income*
- *Salary Income*
- *Business of Profession Income*
- *Capital Gain Income*
- *Income from Other Sources*

4. What is the Income Tax Slab Rate for the Financial Year 2023-24 (according to the New Tax Regime)?

Income Tax Slab (FY 2023-24)	Tax Rate
Up to ₹3,00,000	Nil
From ₹3,00,001 to ₹6,00,000	5%



Income Tax Slab (FY 2023-24)	Tax Rate
From ₹6,00,001 to ₹9,00,000	10%
From ₹9,00,001 to ₹12,00,000	15%
From ₹12,00,001 to ₹15,00,000	20%
Income above ₹15,00,001	30%

5. What is the due date for filing income tax returns? Is it the same for all taxpayers?

All individuals and assesses whose accounts do not require auditing must file their income tax returns by July 31. All the companies, individuals, and working partners whose accounts are audited must file their income tax returns by September 30. However, the assesses who do not have to submit a report under Section 92E of the Income Tax Act must file their income tax returns by November 30.

6. Where should I invest to save Income Tax?

There are various instruments in which one can invest to save tax. Some of the common investment options include Equity Linked Savings Scheme (ELSS), Employee's Provident Fund, Public Provident Fund, 5-Year Bank Fixed Deposit, Mutual Funds, Recurring Deposit (RD), and Investment in Stocks.

Direct Tax : Meaning, History, Importance, Types, DTC & Advantages

What is Direct tax?

Direct tax can be defined as a type of tax in which the incidence and impact of the tax are levied on the same person. It can be further explained as a type of tax in which the liability of paying the tax cannot be shifted to someone else. It is directly paid to the government by the assessee and not to anyone else. Direct Taxes are charged on every source of income earned by any individual or business residing in the country. Income Tax, Wealth Tax, Estate Tax, Corporate Tax, and Capital Gain Tax are some examples of Direct Tax in India.

Direct taxation in India is imposed and regulated by the Central Board of Direct Taxes (CBDT). CBDT has all the authority to frame rules for the purpose of levying direct tax in the country. It also issues various circulars from time to time to clarify any specific problem or doubts.



Direct Tax



History of Direct Taxation in India

The history of direct taxation in India can be traced back to ancient times. In ancient times, taxes were collected on land, produce, and imports. The Arthasastra, a treatise on statecraft written in 300 BC, outlined a sophisticated system of taxation. This system included income taxes, sales taxes, and customs duties. The fundamental philosophy of taxation was to provide for the needs of the state and the people, not to exploit the people.

The Mughal era saw the introduction of new taxes, such as the jizya (a tax on non-Muslims) and the land revenue. The British Raj introduced a more modern system of direct taxation, including the income tax, which was first introduced in February 1860 by Sir James Wilson.

After independence, the Indian government made a number of changes to the system of direct taxation. The most significant change was the introduction of the Hindu Undivided Family (HUF) system in 1956. The HUF system allowed families to be treated as a single tax unit, which reduced their tax burden.

In recent years, the Indian government has made a number of changes to the system of direct taxation in order to make it more efficient and equitable. These changes include the introduction of the Goods and Services Tax (GST) in 2017 and the reduction of the corporate tax rate in 2019.

Why are Direct Taxes Important?

Direct taxes play a Important role in India's economy and hold significant importance for several reasons:

1. Revenue Generation: They are a stable and reliable source of government revenue, unlike indirect taxes which fluctuate with economic activity. This predictable income allows the government to plan and finance public services, infrastructure development, and social welfare programs effectively.

2. Promoting Equality: Direct taxes are typically progressive, meaning the tax rate increases as income rises. This helps reduce income inequality by ensuring higher earners contribute more to the public good. By analyzing direct tax data, the government can gain insights into income distribution and identify areas requiring additional investment. This helps allocate resources efficiently to address social and economic disparities.

3. Promoting Savings and Investment: The government can incentivize specific behaviors through direct taxes, such as offering deductions for saving or investing. This can help boost the national economy by promoting long-term financial planning and capital formation.

4. Controlling Inflation: When inflation rises, the government can increase direct tax rates to reduce disposable income and control excessive spending. This helps control inflation and maintain a stable economic environment.

5. Administrative Benefits: Direct taxes are generally easier to administer compared to indirect taxes, which involve multiple stages of collection. This reduces administrative costs and complexities.

6. Civic Responsibility: Paying direct taxes promotes a sense of civic responsibility among citizens. It encourages participation in the democratic process and contributes to nation-building.



Types of Direct Tax

1. Income Tax:

Income Tax is a direct tax that is levied on any individual's or entity's income. It is directly paid to the government like all the other direct taxes.

Income Tax is Calculated on?

The net taxable income is considered to calculate the tax liability of the individual or entity based on the income slabs provided by the Income-tax Department for the current financial year. The amount of tax paid depends on the money earned by the individual in that particular financial year. Income Tax for the financial year 2023-24 applies to all residents residing in the country whose annual income exceeds ₹2.5 lakh per year for old regime and ₹3 lakh per year for new regime Income Tax payment, TDS/TCS payment, and Non-TDS/TCS payments can be done to file income tax online.

Who Should Pay Income Tax?

Any individual whose gross total income is over Rs.2,50,000 in a financial year should compulsorily file Income Tax Return (ITR). For senior citizens, the limit is Rs.3,00,000 and for super senior citizens, it is Rs.5,00,000. These are required to pay taxes and file their income tax returns:

1. Artificial Judicial Person
2. Corporate Firms
3. Association of Persons (AOPs)
4. Hindu Undivided Families (HUFs)
5. Companies
6. Local Authorities
7. Body of Individuals (BOIs)

2. Wealth Tax:

The tax levied on the net wealth of super-rich individuals, companies, and Hindu Undivided Families is called Wealth Tax. It was introduced in the late 1950s, with the aim to reduce the inequality of wealth in the country. Wealth Tax was levied on all individuals and Hindu Undivided Families having net wealth above Rs. 30 Lakh. However, it was abolished in the budget 2015 by the government. Instead of Wealth Tax, the government increased the surcharge levied on the 'super rich' class by 2% to 12%. Any individual having an income of more than Rs. 1 Crore or higher and any company earning Rs. 10 Crore or higher are considered under the category of 'super rich'. The market value of all the assets owned by the individual or any firm is considered to calculate wealth tax irrespective of whether they yield any returns or not.

3. Estate Tax:

The tax levied on the right to transfer the property owned by a deceased person on the day of death is called Estate Tax. It takes into consideration all the things that one possesses at the time of death. The properties that are included in calculating estate tax are cash and securities, real estate, insurance, trusts, annuities, business interests, and other assets.



4. Corporate Tax:

According to Income Tax Act, Corporations have to pay tax on the income earned by them. A corporation can be defined as an artificial person created under the jurisdiction of law having a distinct legal personality and its own signature referred to as the common seal. All companies either domestic or international are liable to pay tax on the income earned. Domestic companies have to pay coporate tax on their universal income and international companies working in India have to pay tax only on the income earned within India. Corporate Tax includes the following taxes:

- **Securities Transactions Tax (STT)**: Any income earned through security transactions is taxable, and Securities Transactions Tax (STT) must be paid on it.
- **Dividend Distribution Tax (DDT):** DDT is levied on any domestic company who have declared, distributed, or paid any amount as dividends to shareholders. Foreign companies are exempted from this.
- **Fringe Benefits Tax:** It is levied on companies that provide fringe benefits for maids, drivers, etc.
- **Minimum Alternate Tax (MAT):** MAT is levied on companies having zero tax liability and whose accounts are prepared according to the Companies Act.

5. Capital Gain Tax:

Profit earned from the sale of capital assets is known as Capital Gain. Property, Plant and Equipment are all examples of capital assets. Gain on the sale of capital assets is categorised as an income, so they are liable for taxation. Capital Gain tax is levied on the capital gain. It is levied when such an asset is transferred from one owner to another.

Types of Capital Gain Tax:

1. **Short-term Capital Gain Tax:** Short-term assets can be defined as an asset that is held for less than 36 months. For immovable properties, the duration is 24 months. Short-term capital gain tax is charged on profit generated from the sale of those short-term capital assets. The short-term capital gain is taxed at 20%.
2. **Long-term Capital Gain Tax:** Long-term assets can be defined as an asset that is held for over 36 months. Long-term capital gain tax is charged on profit generated from the sale of those long-term capital assets. The long-term capital gain is taxed at 10%.

All capital gains are liable for taxation but the approach for long-term and short-term capital gain is different.

Who is Eligible to Pay Direct Tax in India?

A. Individuals:

Residents: Any individual who is considered a resident of India, regardless of their income source, is liable to pay direct tax on their income. This includes Indian citizens, foreign nationals who stay in India for 182 days or more in a financial year, and individuals with Indian work permits.



Non-Residents: Non-residents are only liable to pay direct tax on their income earned within India. This could include income from salary, business, property, or investments.

Types of Individuals:

1. Individuals below 60 years: They are eligible to pay direct tax if their income exceeds the basic exemption limit, which is currently ₹2.5 lakh per year for old regime and ₹3 lakh per year for new regime.

2. Senior Citizens (aged 60-80 years): They have a higher basic direct tax exemption limit of ₹3 lakh per year.

3. Super Senior Citizens (aged above 80 years): They have the highest basic exemption limit of ₹5 lakh per year.

B. Entities:

1. Companies: All registered companies in India, regardless of their size or profitability, are liable to pay corporate tax on their net profit. A company is one of the most important and prominent forms of business organisation. It can be described as a voluntary association of individuals, having a common purpose, who agree to pool their funds and unite to achieve the said goals.

2. Limited Liability Partnerships (LLPs): LLPs are also subject to corporate tax on their net profit. LLP is a business structure that combines the limited liability benefits of a corporation with the flexibility of a partnership. Partners have limited personal liability for the debts and actions of the LLP. It is a cost-effective way to achieve economies of scale through cooperation. However, it's important to analyze the legislation in your country and state before considering this business structure.

3. Hindu Undivided Families (HUFs): HUFs are treated as separate entities for tax purposes and are liable to pay direct tax on their income. According to Section 2(31) of the Income-Tax, 1961, a Hindu Undivided Family is recognised as a separate entity separate from the family members it consists of Hindu Undivided Family consists of members who are descendants of the same ancestors, including wives of the male members of the family and their unmarried daughters. HUF is not created under any law, but it is recognised under the act.

4. Associations of Persons (AOPs): These entities, such as clubs and societies, are also liable to pay direct tax on their income. An AOP is a legal entity formed by two or more entities with a common purpose of earning income, profits or gains. It may be registered or unregistered and is governed by the Income Tax Act, 1961. The taxability of an AOP depends on whether the shares of its members are determinable or not, and the tax rates are applied accordingly. BOI is similar to an AOP but comprises only individuals.

> *If you're a startup in India, there are several direct tax benefits you can take advantage of to encourage entrepreneurship and support small businesses. Under the 'Startup India' program, the government provides Income Tax exemption. If you meet the definition as prescribed under*



G.S.R. notification 127 (E), you can apply for recognition under the program. As a recognized startup, you can get 100% tax exemption on your profit for 3 years in a block of 7 years. Additionally, angel investors who invest more than the company's fair value are exempt from tax. The government has made several tax benefits available to startups over the last few years to boost the startup ecosystem.

Exemptions:

Agriculturists: As per section 10(1), Income from agriculture is generally exempt from direct tax under certain conditions that are define under section 2(1A).

What is Direct Tax Code (DTC)?

The Direct Tax Code (DTC) is a proposed statute that aims to consolidate various direct tax laws into a single, comprehensive code in India. It is designed to replace the existing Income Tax Act, 1961, and other direct tax laws with a single, streamlined code. The main objectives of the DTC are to simplify the tax system and reduce complexity, broaden the tax base and improve tax compliance, and make the tax system more equitable and efficient. The first draft of the DTC was released in 2009, but it has not been implemented yet. Despite years of revisions and consultations, no final version has been presented to the Parliament, and the Income Tax Act, 1961, remains the primary legislation governing direct taxes in India.

The proposed DTC has several key features, subject to change. It combines various direct tax laws into one code, introduces new tax brackets and rates, simplifies deductions and exemptions for clarity, and encourages electronic filing and record-keeping. Another proposed change is the abolishment or revision of Minimum Alternate Tax (MAT).

The potential impact of DTC on individuals, businesses, and the economy is still debated and depends on the final version of the code. If implemented, some potential benefits include increased transparency and ease of compliance, improved tax administration and efficiency, and reduced tax disputes and litigation. However, concerns exist about potential drawbacks such as an increased tax burden on certain segments.

Advantages of Direct Tax

- Direct taxes provide a stable and dependable source of income for the government, unlike indirect taxes that fluctuate with economic activity. This allows for better planning and financing of public services, infrastructure development, and social welfare programs.
- Direct taxes are progressive, meaning the tax rate increases as income rises. This helps reduce income inequality by ensuring wealthier individuals contribute more to the public good.
- The government can incentivize desired behaviors through direct taxes. For instance, offering deductions for saving or investing can encourage long-term financial planning and capital formation, boosting the national economy.
- When inflation rises, the government can increase direct tax rates to reduce disposable income and curb excessive spending, contributing to controlling inflation and maintaining economic stability.



- Analyzing direct tax data provides insights into income distribution and identifies areas requiring investment, enabling efficient resource allocation to address social and economic disparities.
- Compared to indirect taxes with multiple collection stages, direct taxes are generally easier and less expensive to administer.
- Paying direct taxes promotes a sense of civic responsibility among citizens, encouraging participation in the democratic process and contributing to nation-building.

Disadvantages of Direct Tax

- High direct tax rates can discourage investment and entrepreneurship, potentially hindering economic growth. It is important to find a balance between generating revenue and not burdening taxpayers too much.
- Complex tax laws and procedures can create a significant compliance burden for taxpayers, especially small businesses and individuals with limited resources.
- The potential for tax evasion exists, leading to revenue loss for the government and undermining the fairness of the system. Continuous improvement in tax administration and enforcement is essential.
- High direct tax rates on capital gains can discourage risk-taking and innovation, potentially impacting economic growth.
- High direct tax rates can also encourage individuals and businesses to operate in the black market, further reducing revenue and undermining the Indian economy.

Difference Between Direct Tax & Indirect Tax

Basis	Direct Tax	Indirect Tax
Meaning	These are those taxes whose final burden falls on the person who makes the payment to the government.	These are those taxes that are paid to the government by one person, but their burden is borne by another person.
Incidence and Impact of Tax	When the incidence and impact of the tax lie on the same person, it is called direct tax.	When the incidence and impact of the tax lie on a different person, it is called an indirect tax.
Shift of Taxation	The impact of direct taxation can not be shifted.	The impact of indirect taxation can be shifted.
Nature	These are generally progressive in nature.	These are generally regressive in nature.
Effect on the Market Price	These taxes do not affect the market price of the product.	These taxes have a direct and positive effect on the market price of the product.



Basis	Direct Tax	Indirect Tax
Example	Income Tax, Wealth Tax, Corporation Tax, Capital Gain Tax, etc.	Goods and Services Tax (GST).

Indirect Tax : Features, Types, Advantages & Disadvantages

What is Indirect Tax?

The tax imposed by the government on goods and services purchased by anyone in the country is called Indirect Tax. Indirect Tax can be defined as a type of tax in which the incidence and impact of the tax are passed on to another individual or entity i.e. the end consumer of the product.

Unlike **direct taxes**, It is not levied on the income of the person but on the value of goods or services purchased. Generally, Indirect Tax is levied on sellers (Manufacturers, retailers, etc.) on the purchase of raw materials or goods purchased for resale and then they pass it onto the end consumer of the product who has purchased it for final consumption.



Indirect taxation in India is imposed and regulated by the **Central Board of Indirect Taxes and Customs (CBIC)**. CBIC has all the authority to frame rules for the purpose of levying indirect tax in the country. CBIC was constituted under the Central Board of Revenue Act, 1963 for matters relating to the levy and collection of Customs and Central Excise duties and other Indirect Taxes.



Features of Indirect Tax

The features of Indirect Tax are as follows:

1. Tax Liability: In Indirect Tax, the tax liability is borne by the consumer of the product or service. The tax is collected by the manufacturer and seller from the consumer.

2. Payment of Tax: The responsibility of payment of tax to the government under indirect tax is on the seller of the product who collects tax on the behalf of the consumer.

3. Nature: Before the implementation of GST, the nature of indirect taxes was regressive. After the introduction of GST, it became progressive.

4. Saving & Investment: Indirect Tax encourages saving and investment as it is not charged directly on income but on consumer's expenditure.

5. Tax Evasion: It is very difficult to evade tax in this because it is directly charged on the purchase of goods and services and not on income.

Indirect Tax in India

In India, before July 2017, there were many different Indirect Taxes that were applicable on the sale and purchase of goods and services in the country. ***For Example,*** Service Tax was levied on any type of service, Excise Duty was levied on the manufacturing of goods, Customs Duty was levied on the import of goods, etc. On 29th March 2017, the GST Act was passed in the Parliament of India, which came into effect on 1st July 2017. This was done to merge all the indirect taxes into a single tax, i.e., Goods and Services Tax (GST) that can replace multiple layers of taxation in India. It has replaced 17 indirect taxes (9 State-level taxes and 8 Central level taxes) and 23 cesses of the States and Centres that existed earlier, including Central excise duty, Service tax, Value Added Tax (VAT), Luxury Tax, etc.

Types of Indirect Tax

Before GST there were many taxes prevailing in the market. Here is the list of major taxes that were merged into the Goods and Services Tax:

1. Service Tax: This tax was levied by any entity specifically on any service provided by them. All the services offered by any company if taxable in nature were considered under this.

2. Excise Duty: It was a form of Indirect Tax levied on the production, sale, or license of certain products. It was replaced by GST in July 2017. Currently, only specific items like petrol & diesel, etc., are charged with excise duty.

3. Value-Added Tax: All the movable products that are directly sold to customers was taken into consideration under Value-added Tax. VAT was collected by the respective state government in the scenario of intra-state sales. Currently, only specific items, like petrol & diesel, etc., are charged with VAT.

4. Custom Duty: Any goods imported to India from foreign countries was charged with Custom Duty by the Government of India. It depends on the value and type of goods imported.

5. Stamp Duty: Stamp Duty was levied on the transfer of any immovable property in a state of India. It included all the legal documents also.



6. Entertainment Tax: Any product or transaction related to entertainment, i.e., purchase of any video games, movie shows, sports activities, arcades, amusement parks, etc., were subjected to be charged with Entertainment Tax by the State government of any state of India.

Advantages of Indirect Tax

- **Collectibility:** Compared to direct taxes, indirect taxes are simpler to collect. The government should not worry about the collection of indirect taxes because they are only collected at the time of making purchases.
- **Convenience:** Since indirect taxes are only paid when a purchase is made, they are easy on the taxpayer and handy. Furthermore, because indirect taxes are collected directly at the stores or factories, state authorities find it convenient to levy them. This helps to save a great deal of time and work.
- **Fair contributions:** Costs of goods and services and indirect taxes are closely related. This basically means that luxury things are taxed at higher rates while fundamental requirements are taxed at lower rates, ensuring that contributions are fair.
- **Reduce Negative Consumption:** Products like alcohol, cigarettes, and other comparable ones that are harmful to human health are subject to the greatest indirect taxation.

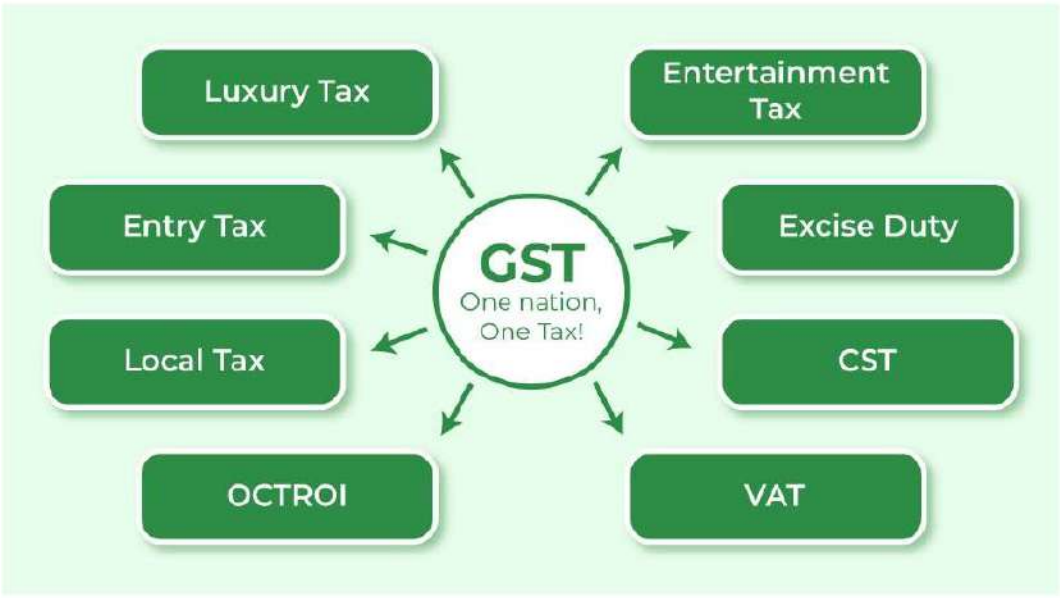
Disadvantages of Indirect Tax

- **Regressive:** The nature of indirect tax can be regressive. For instance, the salt tax is the same for rich and poor people, but if a rich person doesn't pay, there will be bigger fines as well.
- **Financial Burden:** There may be cumulative indirect taxes charged at times. As a result, middlemen in a point-based transaction system are likely to add their own service tax, which could raise the final price of the goods.
- **Hindrance:** Industry-unfriendly indirect taxes exist. Taxes on commodities and raw materials raise the cost of production, preventing industries from growing because their ability to compete is constrained.

Goods and Services Tax (GST)

The Goods and Services Tax or GST is a single, indirect tax that integrates all indirect taxes within the Indian economy. The GST Act was passed on 29th March 2017 in the Parliament of India and came into effect on 1st July 2017. The idea behind it was to replace multiple layers of taxation with one tax (GST). It has replaced 17 indirect taxes (9 State-level taxes and 8 Central level taxes) and 23 cesses of the States and Centres that existed earlier, including Central excise duty, Service tax, Value Added Tax (VAT), Luxury Tax, etc. The aim behind implementing the GST Act was '**One Nation and One Tax**'. When GST was implemented, 1300 goods and 500 services were taken into consideration.

GST is a destination-based consumption tax as it is charged at every stage, wherever some value is added to the goods or services, and the supplier of the good or service offsets the charge on its inputs of the previous stages. The charge is offset through the tax credit mechanism. Ultimately, the last dealer passes on the added GST to the consumer of the goods or services. The reason behind charging input credit at every stage of the value chain is to avoid the cascading effect. Cascading effect means charging tax on tax. The Government of India has eliminated the cascading effect with the expectation of reducing the prices of goods or services and benefiting the consumers.



The three types of taxes under GST are:

- **Central Goods and Services Tax (CGST):** GST levied by the Centre on the Intra-State supply of goods or services.
- **State Goods and Services Tax (SGST):** GST levied by the State (including Union Territories with legislatures) on the Intra-State supply of goods or services by the State.
- **Integrated Goods and Services Tax (IGST):** GST collected by the Centre and levied on the Intra-State supply of goods or services. In other terms, IGST is the total of CGST and SGST.

Features of GST

The features of GST are:

1. GST Rates: The States and Centres have mutually decided upon the GST rates levied on goods or services through CGST, SGST, and IGST under the aegis of the GST Council. The four tax slabs under GST are 5% (for consumer durables), 12% (general rate), 18% (general rate), and 28%(luxurious goods). However, the rate of GST for exports and supplies to the Special Economic Zones (SEZs) is 0%.

2. Applicability of GST: The Goods and Services Tax applies to the whole country (India).

3. Consumption-Based Tax: Earlier, the taxes were based on the principle of origin-based taxation. However, the Goods and Services Tax is a destination-based consumption tax, which means that the taxes will be received by the states in which the goods or services have been consumed. As the tax is received by the consumer State, the losses faced by Producer States are compensated by the Centre.

4. Applicable on Supply of Goods and Services: Earlier, the taxes were charged on the basis of tax on the manufacture or sale of goods or on the provision of services; however, the Goods and Services Tax is charged on the basis of Supply of Goods and Services.

5. GST on Imports: The imports of goods and services come under IGST and is treated as Inter-State Supplies. IGST is charged on the imports of goods and services in addition to the applicable customs



duties.

6. Payment of GST: The taxpayers can make payment of GST through different modes, like Internet Banking, NEFT (National Electronic Funds Transfer)/RTGS (Real Time Gross Settlement), and debit/credit cards.

Difference between Direct and Indirect Tax

Last Updated : 23 Jul, 2025

Direct and Indirect Tax are two types of taxes imposed on the property and income of individuals and companies, which is paid by them directly and indirectly to the government respectively.



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- What is Indirect Tax?
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What is Direct Tax?

Tax that is imposed on the property and income of individuals and companies, and is paid by them directly to the government is known as **Direct Tax.** ***For example,*** Corporate Tax, Income Tax, Death Duty, Capital Gains Tax, etc. The features of Direct Tax are as follows:

- Direct Tax is imposed on companies and individuals.
- These taxes have a direct impact on the income level and purchasing power of people and also help in changing the level of aggregate demand in the economy.



- The **liability to pay tax** and the **actual burden** of the tax lie on the same individual. It means that one cannot shift the burden of paying taxes on others. ***For example,*** Income Tax tax is a tax for which the liability to pay the tax and the actual burden lies on the same person to whom the tax is levied.
- Direct Tax Systems can be Progressive, Regressive, and Proportional.

What is Indirect Tax?

Tax that has an impact on the income and property of individuals and companies through their consumption expenditure is known as **Indirect Tax.** ***For example,*** GST (Goods and Services Tax). The features of Indirect Tax are as follows:

- Indirect Tax is imposed on goods and services.
- The **liability to pay tax** and the **actual burden** of the tax lie on different persons. It means that one can shift the burden of paying taxes on others. ***For example,*** the liability to pay GST to the government is on the seller. However, the actual burden of the tax lies on consumers because the sellers collect the tax from them.
- **Indirect Taxes can be avoided.** It is compulsory to pay indirect taxes. However, one can avoid indirect taxes by not entering into the transactions which call for these taxes.
- ***For example,*** one can purchase Khadi Gram Udyog items to avoid paying taxes, as there is no indirect tax on khadi items.

Difference between Direct Tax and Indirect Tax

Basis	Direct Tax	Indirect Tax
Meaning	These are those taxes whose final burden falls on the person who	These are those taxes that are paid to the government by one person, but their



Basis	Direct Tax	Indirect Tax
	makes the payment to the government.	burden is borne by another person.
Incidence and Impact of Tax	When the incidence and impact of the tax lie on the same person, it is called direct tax.	When the incidence and impact of the tax lie on a different person, it is called an indirect tax.
Shift of Taxation	The impact of direct taxation can not be shifted.	The impact of indirect taxation can be shifted.
Nature	These are generally progressive in nature.	These are generally regressive in nature.
Effect on the market price	These taxes do not affect the market price of the product.	These taxes have a direct and positive effect on the market price of the product.
Example	Income Tax, Wealth Tax, Corporation Tax, etc.	Goods and Services Tax (GST).

How to Determine Whether a Tax is Direct or Indirect?

- In the case of direct tax, the burden can not be shifted to another. ***For example,*** income tax is a direct tax since it has an impact and incidence on the same person.
- In the case of indirect tax, the burden can be shifted to another. ***For example,*** Goods and Service Tax is an indirect tax since it has an impact and incidence on different persons.



Question:

Classify the following items as Direct and Indirect Tax:

1. Capital Gains Tax
2. Goods and Services Tax
3. Corporation tax
4. Income Tax

Answer:

1. Capital Gains Tax: *It is a direct tax as the impact and incidence of the tax lie on the same person.*

2. Goods and Services Tax: *It is an indirect tax as the impact and incidence of the tax lie on different persons. Hence, the burden of the tax can be shifted.*

3. Corporation Tax: *It is a direct tax as the impact and incidence of the tax lie on the same person.*

4. Income Tax: *It is a direct tax as the impact and incidence of the tax lie on the same person.*



Corporate Tax: Meaning, Corporate Tax Rate, Corporate Tax Rebates

What is Corporate Tax?

According to Income Tax Act, Corporations have to pay tax on the income earned by them. A corporation can be defined as an artificial person created under the jurisdiction of law having a distinct legal personality and its own signature referred to as the common seal. From the point of view of charging tax, all companies either domestic or international are liable to pay tax on the income earned. Domestic companies are the ones that are registered under the Companies Act of India. They have to pay tax on their universal income whereas Foreign companies are those companies that are not registered under the Companies Act of India and are controlled and managed from outside of India, they have to pay tax only on the income earned within India.



What Corporate Tax Includes?

Corporate Tax includes the following taxes:

- **Securities Transactions Tax (STT)**: Any income earned through security transactions is taxable, and Securities Transactions Tax (STT) must be paid on it.
- **Dividend Distribution Tax (DDT):** DDT is levied on any domestic company who have declared, distributed, or paid any amount as dividends to shareholders. Foreign companies are exempted from this.



- **Fringe Benefits Tax:** It is levied on companies that provide fringe benefits for maids, drivers, etc.
- **Minimum Alternate Tax (MAT):** MAT is levied on companies having zero tax liability and whose accounts are prepared according to the Companies Act.

Corporate Tax in India

Corporate Tax is paid by the company directly to the government on the net taxable income. The net taxable income of a company is calculated by adding all the sources of income a company earns from. These are the types of income that are considered while calculating net taxable income:

1. Profit earned by the business: Profit refers to the amount left out after deducting all the expenses and losses from the revenue generated by a company from the normal course of business in a financial year. This profit is the major source of income for any company.

2. Income from Renting a Property: If a business rents out a property, the income generated from it as rent will also be considered while calculating the net taxable income of the company.

3. Capital Gains: Profit earned from the sale of capital assets is known as Capital Gain. Property, Plant and Equipment are all examples of capital assets. Gain on the sale of capital assets is categorised as an income, so they are liable for taxation.

4. Income from other sources: Any other income that does not come under any of the above-mentioned categories are termed as Income from Other Sources. Income generated as interest from saving bank accounts, fixed deposits, lottery winnings, etc., comes under this category.

Indian Corporate Tax Rate

In India, Corporate Tax rates are different for Domestic companies and Foreign Companies. Also, the new domestic company incorporated after 1st October 2019 enjoys paying corporate tax at a lower rate. Let's see them one by one:

1. For Existing Domestic Companies:

Income Tax Act, 1961 levies a 30% corporate tax rate for all domestic companies in India whether public or private. A surcharge of 7% is also levied if the net taxable income of the company ranges from ₹ 1 Crore to ₹ 10 Crore and the surcharge increases to 12% if the income of the company exceeds ₹ 10 Crore in a financial year.

In 2019, Several amendments were made to the existing Income Tax Act in place, including a corporate tax cut for domestic companies. Taxation (Amendment) Ordinance, 2019 has been introduced by the Government of India under which section 115BAA extends an option for domestic businesses to pay tax at a rate of 25.168%. This can be further expressed as:

Base Rate of Tax (%)	Surcharge Applied (%)	Cess Applied (%)	Effective Tax Rate (%)
22	10	4	25.168

For domestic companies, the following rates are applicable:



Applicable under Section	Base Rate of Tax (%)	Surcharge Applied (%)	Cess (%)*	Effective Tax Rate(%)
Section 115BA (Companies having turnover up to ₹400 Crore in FY 2017-18)	25%	7%/12%	4%	27.82%/29.12%
Section 115BAA (Domestic companies not claiming any exemptions/incentives)	22%	10%	4%	25.17%
Section 115BAB (New domestic manufacturing companies)	15%	10%	4%	17.16%
Companies not falling under any of the above sections	30%	7%/12%	4%	33.38%/34.94%

*Further 4% Health & Education Cess is charged on the income tax calculated, irrespective of the level of the company's net income.

2. For Foreign Companies:

Corporate tax rates for foreign companies in India are higher than the domestic companies. Any income generated by a foreign company through royalty from the government or any Indian Company in respect of any agreement made after 31st March 1961, but before 1st April 1976 with the Indian company is charged at the rate of 50%. Also, any income generated from receiving fees for rendering technical services in respect of an agreement approved by the Central Government made after 29th February 1964 but before 1st April 1976 is taxed at 50%. Any other income generated from any other activities of the business is charged at 40%.

Tax Slabs for Foreign Companies:

Condition	Corporate Tax Rate (%)
Any income generated by a foreign company through royalty from the government or any Indian Company in respect of any agreement made after 31st March 1961, but before 1st April 1976 with the Indian company	50%
Any income generated from receiving fees for rendering technical services in respect of an agreement approved by the Central Government made after 29th February 1964 but before 1st April 1976	
Any Other Income	40%

Surcharge Rates in Addition to the Rates Above:

Total Income	Surcharge Rate (%)
More than Rs 1 crore but below Rs 10 crore	2%
More than Rs 10 crore	5%

3. For New Firms:

Any new domestic company incorporated after 1st October 2019 that are involved in making fresh investment in manufacturing can enjoy paying corporate tax at the rate of 15% or to be more precise 17.01%(inclusive of surcharge and cess). This benefit is only available to firms that do not avail of any other exemptions/incentives offered by the government and must have started their production before 31st March 2023. For such companies, the Minimum Alternate Tax rate of 18.5% has also been reduced to 15%.

Tax Rebates Applicable on Corporate Tax

There are some provisions of tax rebates available to companies:

1. Any income earned as capital gain which can either be taxed at a flat rate of 15% or 20% can be claimed as an exemption under sections 54D, 54G, 54GA, 54EC, etc.

2. Section 80G provides for a full or partial exemption of an amount donated to charitable organisations (subject to terms and conditions).



3. Dividends received by domestic companies from other domestic companies are also eligible for rebates.

4. Section 80JJAA provides for claiming a deduction in respect of the employment of a new employee.

5. 15% of the total amount of depreciation charged on old assets and an additional 20% on the purchase of new assets of any business involved in the manufacture or production is subject to an exemption under section 32.

6. Certain deductions are also applicable for setting up new infrastructure and power sources.

What is Capital Gain?|Types and Capital Gains Tax Exemption

An appreciation in the price of any asset or investment from which the market value of the asset or investment is increased is known as **Capital Gain**. In India, tax is only levied on the capital gain when capital assets are sold, i.e., realised gain. It is levied when such an asset is transferred from one owner to another. Tax is not levied on unrealised gain, i.e. when the purchase price of the assets or investment becomes lower than the current market value of the assets or investment, but the assets or investment is still unsold. Also, assets received as gifts or by inheritance are not considered capital gains and are exempted from the calculation of income tax for any individual. Property, plant and equipment as well as stocks, bonds, goodwill, etc., are all examples of capital assets.



Types of Capital Gain

Capital gains are basically of two types depending upon the tenure of holding an asset:

1. Short-term Capital Assets (STCA): Short-term assets can be defined as an asset that is held for less than 36 months. For immovable properties such as land, building, and house property, the duration is 24 months. Short-term capital gain tax is charged on profit generated from the sale of those short-term capital assets.

2. Long-term Capital Assets (LTCA): Long-term assets can be defined as an asset that is held for over 36 months. Long-term capital gain tax is charged on profit generated from the sale of those long-term capital assets. All capital gains are liable for taxation but the approach for long-term and short-term capital gain is different.

Income Tax Rate for Income on Sale of Assets



Asset	Asset Duration		Tax Rate	
	Short-term	Long-term	Short-term	Long-term
Immovable Property (E.g. House)	Less than 2 years	More than 2 years	Income Tax Slab Rate	20.8% with Indexation
Movable Property (E.g. Gold/Jewellery	Less than 3 years	More than 3 years	Income Tax Slab Rate	20.8% with Indexation
Listed Shares	Less than 1 year	More than 1 year	15.60%	Up to 1 Lakh = Exempt More than 1 Lakh=10% with Indexation
Equity-Oriented Mutual Funds	Less than 1 year	More than 1 year	15.60%	Up to 1 Lakh = Exempt More than 1 Lakh=10% with Indexation
Debt-Oriented Mutual Funds	Less than 3 years	More than 3 years	Income Tax Slab Rate	20.8% with Indexation

Note: A surcharge of 10% on income between ₹50 Lakh to ₹1 Crore and 15% on income above ₹1 Crore is also levied above the tax rate.

Capital Gains Tax Exemption

1. Any gain from capital assets or investments falling below the prescribed limit according to the Income Tax Slab Rates**.**

2. Section 54E, 54EA and 54EB

Under sections 54E, 54EA and 54EB, any individual can claim exemption by investing in some specific securities such as UTI units, Government Securities, Targeted Debentures, Government Bonds, etc. Any income earned by investing in these specific securities is exempted to pay income tax.

3. Section 54EC

Under this section, exemption on income earned can be availed by individuals if they choose to reinvest the proceeds earned through the sale of long-term assets into some specified long-term assets.

4. Section 54EE

Under section 54EE, exemption can be claimed on the proceeds earned through the transfer of investments.

5. Section 54

Under section 54E, exemption can be claimed on the proceeds earned through the sale of residential housing property.

6. Section 54F

Under section 54F, exemption can be claimed on the proceeds earned through the sale of capital assets besides a residential housing property.



Short Term Capital Gains Tax (STCG) : Meaning, Calculation and Exemptions

What is Short Term Capital Gains Tax (STCG)?

A Short-Term Capital Gain refers to any profit or gain arising from the transfer of a capital asset, that has been held by an assessee (tax-payer) for 36 months or less. In the case of listed Securities, Units, and Zero Coupon Bonds the time can be 12 months or less, and in the case of unlisted shares and immovable property held for 24 months or less. In simple words, Short-Term Capital gain is a profit earned by a sale of Short-term capital assets.



What are Capital Assets?

Capital Assets can be:

1. Any asset being movable or immovable, tangible or intangible held personally or professionally by an assessee;

2. Any securities held by Foreign Institutional Investors who have invested in such securities in accordance with the regulations made under the SEBI Act, 1992.,

but does not include:

- Stock-in-trade and raw materials held by businesses and professionals.



- Personal movable assets like jewelry (gold, silver, platinum, precious stones, or any other precious metal), paintings, sculptures, and archaeological collections.
- Rural agricultural land in India. (Condition applied)
- 6.5% Gold Bonds, 1977, 7% Gold Bonds 1980, National Defense Gold Bond, 1980.
- Special Bearer Bonds 1991.
- Gold Deposit Bond issued under Gold Deposit Scheme 1999.
- Deposit certificates issued under the Gold Monetisation Scheme, 2015.

Note: Capital Gains for the purpose of taxation are deemed to be the income of the previous year in which the transfer took place.

How Short-term Capital Gains are Taxed?

The tax rate levied on Short-term Capital gain has been divided into **two** categories:

A. Short-term Capital Gain covered under Section 111A

A tax of 15% (+ surcharge and cess) is charged on the following gains:

- Gain earned on the sale of listed equity shares.
- Gain earned on the sale of listed equity-oriented Mutual Funds.
- Gain earned on the sale of equity-oriented Mutual Funds, equity shares, or units of a recognized business trust.

NOTE:

1. To avail the benefit of the special tax rate under Section 111A, it is essential for an assessee to pay the Securities Transaction Tax (STT) at the time of selling the equity shares or mutual fund units.

2. No deduction under section 80C-80U is available for the short-term capital gains referred to in Section 111A.

B. Short-term Capital Gain not covered under Section 111A:

Any short-term gain that falls under this category is simply chargeable at a normal rate (falls under slab taxation).

- Gain earned on the sale of unlisted equity shares
- Gain earned on the sale of shares other than equity shares.
- Gain earned on the sale of debt-oriented Mutual Funds.
- Gain earned on the sale of debt securities, bonds, and government securities.
- Gain on any other short-term capital asset other than shares.

Calculation of Short-Term Capital Gain Tax

Before computing tax on Short-Term Capital Gain, it is mandatory to determine the value of Short-Term Capital Gain.

Calculation of the value of short-term, gain in case of capital assets other than shares:



Particulars	Amount(₹)
Sales Consideration	XXXX
Less: Cost of acquisition (purchase value)	(XXXX)
Less: Cost of improvement	(XXXX)
Less: Expenses incurred on transfer of asset	(XXXX)
Short-Term Capital Gain (STCG)	**XXXX**

Calculation of Short-term gain on shares:

Particulars	Amount(₹)
Sales Consideration	XXXX
Less: Cost of acquisition (purchase value)	(XXXX)
Less: Expenses incurred on transfer of asset	(XXXX)
Short-Term Capital Gain (STCG)	**XXXX**

A. Calculation of Short-Term Capital Gain Tax Liability under Section 111A
Illustration:

Amit purchased equity shares worth ₹ 20,00,000 on 1st November 2022 at NSE. After 3 months he sold the same equity shares for ₹ 26,00,000 at NSE and paid the STT. The transfer cost incurred is ₹ 1,00,000. Besides, this he also invested ₹ 3,00,000 in PPF. Calculate the STCG and tax liability of Amit.

Solution:

Calculation of Short-term gain:

Particulars	Amount(₹)
Sale Consideration	26,00,000



Particulars	Amount(₹)
Less: Cost of acquisition (purchase value)	(20,00,000)
Less: Expenses incurred on transfer of asset	(1,00,000)
Short-Term Capital Gain (STCG)	**5,00,000**

Calculation of STCG tax liability:

Particulars	Amount(₹)
Short-Term Capital Gain	5,00,000
Less: Deduction under section 80C-80U	NA
Total Taxable Income	**5,00,000**
Tax on Total Income (15% on STCG under section 111A)	75,000
Add: Health and Education Cess (4% on tax)	3,000
Total Tax Liability	**78,000**

Note: No deduction under section 80C-80U is applicable for the short-term capital gains referred to in Section 111A.

B. Calculation of Short-Term Capital Gain Tax Liability not covered under Section 111A:
Illustration:

Kavita purchased a property in Patna worth ₹ 50,00,000 and sold the same property after 1.5 years for ₹ 80,00,000. She paid the maintenance charges of ₹ 5,00,000 and brokerage of ₹ 10,00,000 for the same. Moreover, she claimed a total deduction of ₹ 2,00,000 under section 80C-80U. Calculate the STCG and tax liability.

Solution:

Calculation of Short-term gain:



Particulars	Amount(₹)
Sale Consideration	80,00,000
Less: Cost of acquisition (purchase value)	(50,00,000)
Less: Cost of improvement	(5,00,000)
Less: Expenses incurred on transfer of asset	(10,00,000)
Short-Term Capital Gain (STCG)	**15,00,000**

Calculation of STCG tax liability:

Particulars	Amount(₹)
Short-Term Capital Gain	15,00,000
Less: Deduction under section 80C-80U	(2,00,000)
Total Taxable Income	**13,00,000**
Tax on Total Income (Slab Rate W.N.2)	2,02,500
Add: Health and Education Cess (4% on tax)	8,100
Total Tax Liability	**2,10,600**

Notes:

1. Property other than shares are not covered under section 111A, so tax on the gain is charged under the normal slab rate.

2. Calculating tax on the slab under the old tax regime:

Up to 2,50,000	NIL
2,50,000 @ 5%	12,500



5,00,000 @ 20%	1,00,000
3,00,000 @ 30%	90,000
Total Tax	**2,02,500**

Exemptions on Short-Term Capital Gains Tax

1. Any Short-Term Capital Gain arising on transfer of units of Unit Scheme 1964 if Unit Trust of India is exempt under **Section 10(33)**.

2. Exemption on Short-Term Capital Gain arising on transfer of Agriculture Land **(Section 54B)**

- **Applicable for:** Individual and Hindu Undivided Families (HUF).
- **Capital Asset Covered:** Agriculture land held and used for agricultural purposes by the assessee or his parents for at least 24 months or more before the date of transfer.
- **Exemption Applicability:** Exemption can be claimed if an assessee uses the amount of capital gain to purchase the new agricultural land within a period of 2 years from the date of transfer.
- **Exemption Amount:** Cost of new land or Amount of Capital Gain, **whichever is lower**.
- **Lock-in period:** 3 years. Any transfer of new land within 3 years shall result in the withdrawal of the exemption.
- **Capital Gain Account Scheme (CGAS):** If an assessee fails to use full or part of the amount for the purchase of new agricultural land before the due date, such amount shall be deposited in the Capital Gains Deposit Account Scheme (CGAS) before the due date.

3. Exemption on Short-Term Capital Gain on compulsory acquisition of property used for industrial purposes **(Section 54D)**

- **Applicable for:** All Assessee
- **Capital Asset Covered:** Transfer of Land or Building used for industrial purposes by way of compulsory acquisition, which is used by the assessee for industrial purposes for at least 24 months.
- **Exemption Applicability:** Exemption can be claimed if an assessee uses the amount of capital gain to purchase any land or building or construct any building within 3 years from the date of receipt of compensation for shifting or reestablishing the industrial undertaking.
- **Exemption Amount:** Cost of new land or building or Amount of Capital Gain, **whichever is lower.**
- **Lock-in period:** 3 years.
- **Capital Gain Account Scheme (CGAS):** If an assessee fails to use full or part of the amount for the purchase of new industrial land or building before the due date, such amount shall be deposited in the Capital Gains Deposit Account Scheme (CGAS) before the due date.

4. Exemption on Short-Term Capital Gain arising on transfer of industrial undertaking from an urban area to a rural area **(Section 54G)**

- **Applicable for:** All Assessee



- **Capital Asset Covered:** Transfer of machinery, plant, building, or land or any right in any building and land used for an industrial undertaking purpose situated in an urban area to a rural area.
- **Exemption Applicability:** Exemption can be claimed if within a period of 1 year before or 3 years after the date of transfer, the assessee acquires new machinery, plant, building, or land or construct a new building for business purpose in the same area to which the undertaking is shifting or incurs any expense on shifting or transferring the establishment of undertakings to such area.
- **Exemption Amount:** Cost of new assets, including any expenses or Amount of Capital Gain, whichever is lower.
- **Lock-in period:** 3 years
- **Capital Gain Account Scheme (CGAS):** If an assessee fails to use full or part of the amount for investment in new assets before the due date, such amount shall be deposited in the Capital Gains Deposit Account Scheme (CGAS) before the due date.

5. Exemption on Short-Term Capital Gain arising on transfer of industrial undertaking from an urban area to Special Economic Zone (SEZ) **(Section 54GA)**

- **Applicable for**: All Assessee
- **Capital Asset Covered:** Transfer of machinery, plant, building, or land or any right in any building and land used for an industrial undertaking purpose situated in an urban area to Special Economic Zone (SEZ).
- **Exemption Applicability:** Exemption can be claimed if within a period of 1 year before or 3 years after the date of transfer, the assessee acquires new machinery, plant, building, or land or construct a new building for business purpose in the SEZ to which the undertaking is shifting or incurs any expense on shifting or transferring the establishment of undertakings to SEZ.
- **Exemption Amount:** Cost of new assets including any expenses or Amount of Capital Gain, whichever is lower.
- **Lock-in period:** 3 years
- **Capital Gain Account Scheme (CGAS):** If an assessee fails to use full or part of the amount for investment in new assets before the due date, such amount shall be deposited in the Capital Gains Deposit Account Scheme (CGAS) before the due date.



What is Long Term Capital Gains Tax (LTCG)?

A Long-Term Capital Gain refers to any profit or gain arising from the transfer of a capital asset, that has been held by an assessee (tax-payer) for more than **36 months** in case of unlisted securities, units of Mutual Funds (other than Equity Oriented), other assets, or for more than **12 months** in the case of listed securities, Equity Oriented Units, and Zero Coupon Bonds, and for more than **24 months** in case of unlisted shares. In simple words, Short-Term Capital gain is a profit earned through the sale of assets that had been held for more than 12 months.

What are Capital Assets ?

For the purpose of taxation, Capital Assets include all of the following:

1. Any asset being movable or immovable, tangible or intangible held personally or professionally by an assessee;

2. Any securities held by Foreign Institutional Investors who have invested in such securities in accordance with the regulations made under the SEBI Act, 1992.

but **does not** include:

- Stock-in-trade and raw materials held by businesses and professionals.
- Personal movable assets like jewelry (gold, silver, platinum, precious stones, or any other precious metal), paintings, sculptures, and archaeological collections.
- Rural agricultural land in India. (Condition applied)
- 6.5% Gold Bonds, 1977, 7% Gold Bonds 1980, National Defense Gold Bond, 1980.
- Special Bearer Bonds 1991.
- Gold Deposit Bond issued under Gold Deposit Scheme 1999.
- Deposit certificates issued under the Gold Monetisation Scheme, 2015.

Note: Capital Gains for the purpose of taxation are deemed to be the income of the previous year in which the transfer took place.

How Long-term Capital Gains are Taxed ?

Taxes on long-term capital gain are imposed according to the nature of the capital assets being transferred. In order to provide relief to the taxpayer against the inflation. The benefit of Indexation adjusts the price against the rise in inflation that lowers the tax burden. The **tax rates** are as the followings:

1. A tax of 20% is imposed on Long-term Capital Gain earned through the transfer of Real estate, debt securities, and bonds.

2. Tax on long-term Capital Gain earned on the transfer of listed securities, units of Mutual Funds or UTI, or Zero Coupon Bonds **not covered under Section 112A** shall be the **lower** of the following:



- **Availing the benefit of Indexation:** After availing the benefit of Indexation, a tax of 20% is levied on such gains (plus surcharge and cess).
- **Not availing the benefit of Indexation:** A tax of 10% is applicable on any long-term capital gain with the benefit of Indexation.

Note: After computing tax liability under both options, the option with lower tax liability is opted for.

3. Tax on long-term Capital Gain earned on the transfer of listed equity shares, units of the equity-oriented fund, or a unit of a business trust **covered under Section 112A** shall be levied at a rate of 10% in excess of ₹1 Lakh.

Note: The benefit of Indexation cannot be claimed under section 112A.

Calculation of Long-Term Capital Gain Tax

To levy taxes on Long-term Capital Gain, it is compulsory to evaluate the amount of capital gain. The following table shows the computation of Total Taxable Long-term Gain and Tax liability on the same:

Particulars	Amount(₹)
Full Value of Consideration	XXXX
Less: Expenses incurred on transfer of asset	(XXXX)
Net Consideration	**XXXX**
Less: Indexed Cost of Acquisition	(XXXX)
Less: Indexed Cost of Improvement	(XXXX)
Long-Term Capital Gain	**XXXX**
Less: Exemption under section 10/54	(XXXX)
Total taxable Long-term Capital Gain	**XXXX**
Tax on Total taxable Long-term Capital Gain (@ 10% or 20%)	XXXX
Add: Health and Education Cess (4% on tax)	XXXX
Total Tax Liability	**XXXX**



Formula to Compute Indexed Cost of Acquisition and Indexed Cost of Improvement:

$$\text{Indexed Cost of Acquisition} = \frac{\text{Cost of Acquisition} \times \text{Cost of Inflation Index of the year of transfer}}{\text{Cost of Inflation Index of the year of Acquisition}}$$

$$\text{Indexed Cost of Improvement} = \frac{\text{Cost of Improvement} \times \text{Cost of Inflation Index of the year of transfer}}{\text{Cost of Inflation Index of the year of Acquisition}}$$

NOTE:

1. As per Section 55, the Cost of Acquisition of assets acquired before 1.4.2001 shall be allowed to be taken as fair market value as on 1.4.2001 and the Cost of Improvement shall include only those capital expenses which are incurred after 1.4.2001.
2. The benefit of Indexation shall not apply to long-term capital gain earned on the transfer of bonds or debentures, other than capital-indexed bonds issued by the government.
3. Deductions under Section 80C-80U shall not be provided in this regard.

Illustration:

Rahul sold 10,000 equity shares at a recognized stock exchange for ₹ 50,00,000 after holding them for 10 years. The cost of the acquisition of shares was ₹ 10,00,000. The brokerage paid by Rahul at the time of sale was ₹ 2,00,000. Calculate his tax liability on long-term capital gain.

Solution:

Particulars	Amount(₹)
Full Value of Consideration	50,00,000
Less: Expenses incurred on transfer of asset	(2,00,000)
Net Consideration	**48,00,000**
Less: Cost of Acquisition	(10,00,000)
Long-term Capital Gain	**38,00,000**
Less: Exemption under section 10/54	NIL
Total taxable Long-term Capital Gain	**38,00,000**
Tax on Total taxable Long-term Capital Gain (@ 10%)	3,80,000
Add: Health and Education Cess (4% on tax)	15,200
Total Tax Liability	**3,95,200**



Note: In the above case, Section 112A is applicable since listed equity shares are transferred, hence tax of 10% is applicable on Long-term capital gain and no benefit of indexation shall be provided.

Exemptions on Long-Term Capital Gains Tax

1. Exemption on Long-Term Capital Gain arising on transfer of Residential Property **(Section 54)**

- **Applicable for:** Individual and Hindu Undivided Families (HUF).
- **Capital Asset Covered:** A residential house property held by the assessee for at least 24 months or more before the date of transfer.
- **Exemption Applicability:** Exemption can be claimed if an assessee uses the amount of capital gain to purchase or construct the new residential house, 1 year prior to the date of transfer or within a period of 2 years from the date of transfer. In case of construction, construction shall be completed within 3 years after the date of transfer.
- **Exemption Amount:** Cost of a new house or Amount of Capital Gain, whichever is **lower**. With effect from Assessment Year 2020-21, a taxpayer has the option to make an investment in two residential house properties in India. This can be claimed once in a lifetime if the amount of long-term capital gain does not exceed 2 crores.
- **Exemption Limit:** 10 crores.
- **Lock-in period:** 3 years. Any transfer of a new house within 3 years shall result in the withdrawal of the exemption.
- **Capital Gain Account Scheme (CGAS):** If an assessee fails to use full or part of the amount to purchase new agricultural land before the due date, such amount shall be deposited in the Capital Gains Deposit Account Scheme (CGAS) before the due date.

2. Exemption on Long-Term Capital Gain arising on transfer of Agriculture Land **(Section 54B)**

- **Applicable for:** Individual and Hindu Undivided Families (HUF).
- **Capital Asset Covered:** Agriculture land held and used for agricultural purposes by the assessee or his parents for at least 24 months or more before the date of transfer.
- **Exemption Applicability:** Exemption can be claimed if an assessee uses the amount of capital gain to purchase the new agricultural land within a period of 2 years from the date of transfer.
- **Exemption Amount:** Cost of new land or Amount of Capital Gain, whichever is lower.
- **Lock-in period:** 3 years. Any transfer of new land within 3 years shall result in the withdrawal of the exemption.
- **Capital Gain Account Scheme (CGAS):** If an assessee fails to use full or part of the amount to purchase new agricultural land before the due date, such amount shall be deposited in the Capital Gains Deposit Account Scheme (CGAS) before the due date.

3. Exemption on Short-Term Capital Gain on compulsory acquisition of property used for industrial purposes **(Section 54D)**

- **Applicable for:** All Assessee
- **Capital Asset Covered:** Transfer of Land or Building used for industrial purposes by way of compulsory acquisition, which the assessee uses for industrial purposes for at least 24 months.
- **Exemption Applicability:** Exemption can be claimed if an assessee uses the amount of capital gain to purchase any land or building or construct any building within 3 years from the date of receipt of compensation for shifting or reestablishing the industrial undertaking.
- **Exemption Amount:** Cost of new land or building or Amount of Capital Gain, whichever is lower.



- **Lock-in period:** 3 years.
- **Capital Gain Account Scheme (CGAS):** If an assessee fails to use full or part of the amount for the purchase of new industrial land or building before the due date, such amount shall be deposited in the Capital Gains Deposit Account Scheme (CGAS) before the due date.

4. Exemption on Long-Term Capital Gain arising on transfer of any capital asset **(Section 54EC)**

- **Applicable for:** All Assessee
- **Capital Asset Covered:** Transfer of any Land or Building or both or any asset that falls under the criteria of Long-term Capital assets.
- **Exemption Applicability:** Exemption can be claimed if an assessee within 6 months from the date of transfer invests the whole to part of the capital gain in a **long-term specified asset.** The total investment amount cannot exceed ₹ 50 lakhs during the current financial year and the subsequent financial year. Here long-term specified asset means any bond redeemable after 3 years:

a) A bond issued by the **National Highway Authority of India** on or after 1.4.2006.

b) A bond issued by **Rural Electrification Corporation Ltd.**

c) A bond issued by **Power Finance Corporation Ltd**.

d)A bond issued by **Railway Finance Corporation Ltd**.

- **Exemption Amount:** Cost of Investment or Amount of Capital Gain, whichever is lower.
- **Exemption Limit:** ₹ 50 Lakhs.
- **Lock-in period:** 3 years. The exemption shall be revoked if the specified assets are transferred or otherwise converted into money within 3 years from the date of investment.
- **Capital Gain Account Scheme (CGAS):** Not Applicable.

5. Exemption on Long-Term Capital Gain arising on transfer of any asset other than residential house property **(Section 54F)**

- **Applicable for:** Individual and Hindu Undivided Families (HUF).
- **Capital Asset Covered:** Any capital asset other than a residential house held by the assessee for at least 24 months or more before the date of transfer, provided on the date of transfer taxpayer does not own more than one residential house property
- **Exemption Applicability:** Exemption can be claimed if an assessee uses the amount of capital gain to purchase or construct the new residential house, 1 year prior to the date of transfer or within a period of 2 years from the date of transfer. In case of construction, construction shall be completed within 3 years after the date of transfer.
- **Exemption Amount:** Exemption amount = (Long-term capital gain × Investment) ÷ Net sale consideration.
- **Lock-in period:** 3 years. The exemption is subject to be revoked if:

a) If a new asset is transferred within 3 years of acquisition,

b) if another residential house is purchased within 2 years of the transfer of the original asset,

c) if another house is constructed within 3 years of the transfer of the original asset



- **Capital Gain Account Scheme (CGAS):** If an assessee fails to use full or part of the amount to purchase new agricultural land before the due date, such amount shall be deposited in the Capital Gains Deposit Account Scheme (CGAS) before the due date.

6. Exemption on Long-Term Capital Gain arising on transfer of industrial undertaking from an urban area to a rural area **(Section 54G)**

- **Applicable for:** All Assessee
- **Capital Asset Covered**: Transfer of machinery, plant, building, or land or any right in any building and land used for an industrial undertaking in an urban area to a rural area.
- **Exemption Applicability:** Exemption can be claimed if within a period of 1 year before or 3 years after the date of transfer, the assessee acquires new machinery, plant, building, or land or construct a new building for business purpose in the same area to which the undertaking is shifting or incurs any expense on shifting or transferring the establishment of undertakings to such area.
- **Exemption Amount:** Cost of new assets including any expenses or Amount of Capital Gain, whichever is lower.
- **Lock-in period:** 3 years
- **Capital Gain Account Scheme (CGAS):** If an assessee fails to use full or part of the amount for investment in new assets before the due date, such amount shall be deposited in the Capital Gains Deposit Account Scheme (CGAS) before the due date.

7. Exemption on Long-Term Capital Gain arising on transfer of industrial undertaking from an urban area to a Special Economic Zone (SEZ) **(Section 54GA)**

- **Applicable for:** All Assessee
- **Capital Asset Covered:** Transfer of machinery, plant, building, or land or any right in any building and land used for an industrial undertaking purpose situated in an urban area to a Special Economic Zone (SEZ).
- **Exemption Applicability:** Exemption can be claimed if within a period of 1 year before or 3 years after the date of transfer, the assessee acquires new machinery, plant, building, or land or construct a new building for business purpose in the SEZ to which the undertaking is shifting or incurs any expense on shifting or transferring the establishment of undertakings to SEZ.
- **Exemption Amount:** Cost of new assets including any expenses or Amount of Capital Gain, whichever is lower.
- **Lock-in period:** 3 years
- **Capital Gain Account Scheme (CGAS):** If an assessee fails to use full or part of the amount for investment in new assets before the due date, such amount shall be deposited in the Capital Gains Deposit Account Scheme (CGAS) before the due date.

8. Exemption on Long-Term Capital Gain arising on transfer of residential property and investing in the equity of new SME company **(Section 54GB)**

- **Applicable for:** Individual and Hindu Undivided Families (HUF).
- **Capital Asset Covered:** A long-term residential house property being a house or plot.
- **Exemption Applicability:** Exemption can be claimed if an assessee invests the net consideration in equity of the eligible company within the due date of furnishing the return of income and the



company uses the full amount of subscription within 1 year from the date of subscription.

- **Exemption Amount: Exemption amount** = (Long-term capital gain × Investment in shares) ÷ Net consideration
- **Exemption Limit:** ₹50 lakhs.
- **Lock-in period:** 5 years. If equity shares in a company or a new asset acquired by the company are sold or transferred within a period of 5 years from the date of acquisition. However, w.e.f. Assessment Year 2020-21, the restriction on the transfer of new assets is reduced to 3 years in the case of computer or computer software.
- **Capital Gain Account Scheme (CGAS):** If an assessee fails to use full or part of the amount to purchase new agricultural land before the due date, such amount shall be deposited in the Capital Gains Deposit Account Scheme (CGAS) before the due date.



Income Tax Slabs for FY 2025-26 under New Tax Regime

Budget 2025 has relaxed the tax slabs under the new regime significantly. A tabular version of the slab rates with effect from 01st April, 2025 are given below. There has been no changes in the income tax slabs under the old regime.

Understanding the most beneficial regime is the first step in the income tax filing process. Use our income tax calculator to know the tax payable for you under old and new regimes.

Income Tax Slabs for FY 2025-26 (AY 2026-27)	Income Tax Rates for FY 2025-26 (AY 2026-27)
Up to Rs. 4 lakh	Nil
Rs. 4 lakh to Rs. 8 lakh	5%
Rs. 8 lakh to Rs. 12 lakh	10%
Rs. 12 lakh to Rs. 16 lakh	15%
Rs. 16 lakh to Rs. 20 lakh	20%
Rs. 20 lakh to Rs. 24 lakh	25%
Above Rs. 24 lakh	30%



1.Income Tax Slabs for Individuals below 60 Years, NRI and HUF

Income Tax Slab (Rs.)	Income Tax Rate
Up to 2,50,000	Nil
2,50,001 - 5 lakh	5%
5 lakh - 10 lakh	20%
Above 10 lakh	30%

Popular Deductions Allowed under Old Tax Regime

- 80C, 80D, 80G, 80TTA
- HRA, LTA, home loan interest (Section 24)
- Education loan interest (Section 80E), etc.

2.Income Tax Slabs for Senior Citizens aged between 60 to 80 Years

The income tax slabs for senior citizens aged above 60 years but below 80 years under the old tax regime are as follows:

Income Tax Slab (Rs.)	Income Tax Rate (Rs.)
Up to 3 lakh	Nil
3 lakh - 5 lakh	5%
5 lakh - 10 lakh	20%
Above 10 lakh	30%

3.Income Tax Slabs for Super Senior Citizens above 80 Years

For super senior citizens aged above 80 years, the basic exemption limit increases to Rs. 5 lakh.

Income Tax Slab (Rs.)	Income Tax Rate (Rs.)
Up to 5 lakh	Nil
5 lakh - 10 lakh	20%
Above 10 lakh	30%

Note: There is no separate slab benefit for senior citizens under the new tax regime



1.Comparison of Tax Slabs

A detailed comparison of old and new tax regime tax slabs, rates, and surcharge for FY 2025-26 is tabulated below:

1.1.For individuals aged less than 60 years and Non-Residents

Old Tax Regime				New Tax Regime u/s 115BAC			
Income Tax Slab	Income Tax Rate	Tax calculation	Surcharge	Income Tax Slabs for FY 2025-26 (AY 2026-27)	Income Tax Rates for FY 2025-26 (AY 2026-27)	Tax calculation	
Up to Rs. 2,50,000	Nil	Nil	Nil	Up to Rs. 4 lakhs	Nil	Nil	
Rs. 2,50,001 - Rs. 5 lakh	5%	5% above Rs. 2,50,000	Nil	Rs. 4 lakhs to Rs. 8 lakhs	5%	5% of income above Rs. 4 lakhs	
Rs. 5 lakh - Rs. 10 lakh	20%	Rs. 12,500 + 20% above Rs. 5 lakh	Nil	Rs. 8 lakhs to Rs. 12 lakhs	10%	Rs.20,000+ 10% of income above Rs. 4 lakhs	
Rs. 10 lakh- Rs. 50 lakh	30%	Rs. 1,12,500 + 30% above Rs. 10 lakh	Nil	Rs. 12 lakhs to Rs. 16 lakhs	15%	Rs. 60,000 + 15% of income above Rs. 8 lakhs	
Rs. 50 lakh- Rs. 1 crore	30%	Rs. 1,12,500 + 30% above Rs. 10 lakh	10%	Rs. 16 lakhs to Rs. 20 lakhs	20%	Rs. 1,20,000 + 20% of income above Rs. 16 lakhs	
Rs. 1 crore- Rs. 2 crore	30%	Rs. 1,12,500 + 30% above Rs. 10 lakh	15%	Rs. 20 lakhs to Rs. 24 lakhs	25%	Rs. 2 lakhs + 25% of the income above Rs. 10 lakhs	
Rs. 2 crore- Rs. 5 crore	30%	Rs. 1,12,500 + 30% above Rs. 10 lakh	25%	Above Rs. 24 lakhs	30%	Rs. 3 lakhs + 30% of income above Rs. 24 lakhs	
Above Rs. 5 crore	30%	Rs. 1,12,500 + 30% above Rs. 10 lakh	37%	Rs. 24 lakhs- Rs. 50 lakhs	30%	Rs. 3 lakhs + 30% of income above Rs. 24 lakhs	
				Rs. 50 lakhs- Rs. 1 crores	30%	Rs. 3 lakhs + 30% of income above Rs. 24 lakhs	
				Rs. 1 crores- Rs. 2 crores	30%	Rs. 3 lakhs + 30% of income above Rs. 24 lakhs	
				Above Rs. Rs. 2	30%	Rs. 3 lakhs + 30% of income above Rs.	



Conclusion ~

Old Tax Regime				New Tax Regime u/s 115BAC			
Income Tax Slab	Income Tax Rate	Tax calculation	Surcharge	Income Tax Slabs for FY 2025-26 (AY 2026-27)	Income Tax Rates for FY 2025-26 (AY 2026-27)	Tax calculation	
Up to Rs. 3 lakh	Nil	Nil	Nil	Up to Rs. 4 lakhs	Nil	Nil	
Rs. 3 lakh - Rs. 5 lakh	5%	5% above Rs. 2,50,000	Nil	Rs. 4 lakhs to Rs. 8 lakhs	5%	5% of income above Rs. 4 lakhs	
Rs. 5 lakh - Rs. 10 lakh	20%	Rs. 10,000 + 20% above Rs. 5 lakh	Nil	Rs. 8 lakhs to Rs. 12 lakhs	10%	Rs.20,000+ 10% of income above Rs. 4 lakhs	
Rs. 10 lakh- Rs. 50 lakh	30%	Rs. 1,10,000 + 30% above Rs. 10 lakh	Nil	Rs. 12 lakhs to Rs. 16 lakhs	15%	Rs. 60,000 + 15% of income above Rs. 8 lakhs	
Rs. 50 lakh- Rs. 1 crore	30%	Rs. 1,10,000 + 30% above Rs. 10 lakh	10%	Rs. 16 lakhs to Rs. 20 lakhs	20%	Rs. 1,20,000 + 20% of income above Rs. 16 lakhs	
Rs. 1 crore- Rs. 2 crore	30%	Rs. 1,10,000 + 30% above Rs. 10 lakh	15%	Rs. 20 lakhs to Rs. 24 lakhs	25%	Rs. 2 lakhs + 25% of the income above Rs. 10 lakhs	
Rs. 2 crore- Rs. 5 crore	30%	Rs. 1,10,000 + 30% above Rs. 10 lakh	25%	Above Rs. 24 lakhs	30%	Rs. 3 lakhs + 30% of income above Rs. 24 lakhs	
Above Rs. 5 crore	30%	Rs. 1,10,000 + 30% above Rs. 10 lakh	37%	Rs. 24 lakhs- Rs. 50 lakhs	30%	Rs. 3 lakhs + 30% of income above Rs. 24 lakhs	
				Rs. 50 lakhs- Rs. 1 crores	30%	Rs. 3 lakhs + 30% of income above Rs. 24 lakhs	
				Rs. 1 crores- Rs. 2 crores	30%	Rs. 3 lakhs + 30% of income above Rs. 24 lakhs	
				Above Rs. Rs. 2 crores	30%	Rs. 3 lakhs + 30% of income above Rs. 24 lakhs	

The bottom line: New regime is more beneficial here due to relaxed slab rates.

1.3.In case of a Resident Senior Citizen aged above 80 years

Old Tax Regime				New Tax Regime u/s 115BAC			
Income Tax Slab	Income Tax Rate	Tax calculation	Surcharge	Income Tax Slabs for FY 2025-26 (AY 2026-27)	Income Tax Rates for FY 2025-26 (AY 2026-27)	Tax calculation	



Rs. 10 lakh- Rs. 50 lakh	30%	Rs. 1,00,000 + 30% above Rs. 10 lakh	Nil	Rs. 8 lakhs to Rs. 12 lakhs	10%	income above Rs. 4 lakhs	
Rs. 50 lakh- Rs. 1 crore	30%	Rs. 1,00,000 + 30% above Rs. 10 lakh	10%	Rs. 12 lakhs to Rs. 16 lakhs	15%	Rs. 60,000 + 15% of income above Rs. 8 lakhs	
Rs. 1 crore- Rs. 2 crore	30%	Rs. 1,00,000 + 30% above Rs. 10 lakh	15%	Rs. 16 lakhs to Rs. 20 lakhs	20%	Rs. 1,20,000 + 20% of income above Rs. 16 lakhs	
Rs. 2 crore- Rs. 5 crore	30%	Rs. 1,00,000 + 30% above Rs. 10 lakh	25%	Rs. 20 lakhs to Rs. 24 lakhs	25%	Rs. 2 lakhs + 25% of the income above Rs. 10 lakhs	
Above Rs. 5 crore	30%	Rs. 1,00,000 + 30% above Rs. 10 lakh	37%	Above Rs. 24 lakhs	30%	Rs. 3 lakhs + 30% of income above Rs. 24 lakhs	
				Rs. 24 lakhs- Rs. 50 lakhs	30%	Rs. 3 lakhs + 30% of income above Rs. 24 lakhs	
				Rs. 50 lakhs- Rs. 1 crores	30%	Rs. 3 lakhs + 30% of income above Rs. 24 lakhs	
				Rs. 1 crores- Rs. 2 crores	30%	Rs. 3 lakhs + 30% of income above Rs. 24 lakhs	
				Above Rs. Rs. 2 crores	30%	Rs. 3 lakhs + 30% of income above Rs. 24 lakhs	

The bottom line: New regime is more beneficial here due to relaxed slab rates.

2.Other Differences

Let us understand the other difference between the old and the new tax regime.

Basis of Difference	Old Tax Regime	New Tax Regime
Deductions and Exemptions	The old tax regime offers a variety of deductions and exemptions. For example, House Rent Allowance, investment deductions under section 80C, etc..	The New Tax Regime has limited exemptions and deductions.
Beneficial for taxpayers	The old tax regime promotes tax savings through planned investments, encouraging long-term financial security and retirement planning.	The new tax regime is more beneficial for middle-income earners, without any elaborate tax planning strategies.
Default Regime	The old tax regime is not the default regime, still the taxpayers can choose to file under the old regime by exercising the option.	The new tax regime is the default tax regime.
Standard deduction	Rs. 50,000 allowed for salaried employees	Rs. 75,000 allowed for salaries of employees



- The following table shows the break-even deduction for different income levels. If the taxpayer has deductions above the break-even deductions, the old regime will be the most beneficial. Otherwise, the new regime will be the most desirable choice.

Gross Income (Rs.)	Break Even Deductions (Rs.)
Up to 5 lakhs	Both the regimes are beneficial
7 lakhs	1,50,000
10 lakhs	4,50,000
11 lakhs	5,50,000
12 lakhs	6,50,000
13 lakhs	6,87,500
14 lakhs	5,18,750
15 lakhs	5,43,750
16 lakhs	5,68,750
17 lakhs	6,08,330
18 lakhs	6,41,670
19 lakhs	6,75,000
20 lakhs	7,08,330
22 lakhs	7,54,170
24 lakhs	7,87,500
25 lakhs	8 lakh

- It is most beneficial for the taxpayers if they choose their most beneficial regime at the beginning of the financial year.
- Taxpayers can estimate their total income, consolidate all their tax-saving deductions, and calculate the taxable income and total tax payable under both regimes to determine which regime is most beneficial.
- The following table shows the most beneficial regime for a deduction amount of Rs.4.5 lakhs.

Gross Income (Rs.)	New Regime	Old Regime
Up to 5 lakhs	✓	✓
7 lakhs	X	✓
10 lakhs	X	✓
11 lakhs	✓	X
12 lakhs	✓	X



Conclusion ~

16 lakhs	✓	X
17 lakhs	✓	X
18 lakhs	✓	X
19 lakhs	✓	X
20 lakhs	✓	X
22 lakhs	✓	X
24 lakhs	✓	X
25 lakhs	✓	X

Shifting Regime - Form 10-IEA Requirements

- If you have figured out that old regime is the most beneficial, you have to switch regime from new to old.
- On absence of making this choice, new regime will be chosen in default and you might end up paying more taxes.
- Form 10-IEA is applicable if a person wants to file taxes under the old regime, and has business income.
- Form 10-IEA needs to be filed on opting in and opting out of old tax regime.

Income Tax Calculator

Use our income tax calculator to ascertain tax liability under old and new regimes.

Tax Calculation Examples under the New Regime FY 2025-26(AY 2026-27)

Example 1

Mr. Ramu had a salary income of Rs. 12 lakhs. He had invested Rs. 1.5 lakh in PPF and paid Rs. 30,000 towards health insurance of himself, spouse and children.

For FY 2025-26, Mr. Ramu will have zero tax liability under the new regime as his income is less than Rs. 12 lakh and is eligible for rebate u/s 87A. For the same income ad deduction combination, the tax liability under the old regime is Rs 1,10,760.

The bottom line: Income up to Rs. 12 lakhs will be practically tax free under the new regime in most cases for FY 2025-26.

Example 2

Mr. Anban had a salary income of Rs. 25 lakhs in FY 2025-26. He lives in a rented accommodation and pays Rs. 45,000 p.m as rent and claimed Rs. 4 lakh HRA exemption. He also has a house property in his village for which he pays EMI. He also has deductions of Rs. 1.5 lakh u/s 80C, Rs. 50,000 u/s 80D and Rs. 50,000 u/s 80CCD(1B).

For FY 2025-26 (AY 2026-27), his tax liability will be as follows:

- **New Tax Regime:** Rs. 3,19,800
- **Old Tax Regime:** Rs. 3,04,200



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Conclusion

Example 3

Mr. K has the following income for FY 2025-26:

Salary income - Rs. 20 lakhs

Interest income on FDs - Rs. 20,000

He does not have any other income or tax saving deductions. The tax calculation for old and new regime are as follows:

Tax payable under the old regime (including cess) = Rs.4,19,640

Tax payable under the old regime (including cess) = Rs.1,96,560

Since, the taxpayer in this case do not have tax saving deductions, new regime is the most beneficial for him for FY 2025-26.

The Bottom Line: The new regime is the most beneficial regime for middle income earners in most cases, since most taxpayers don't have lakhs of tax saving deductions.

How to Save Taxes under the New Regime FY 2025-26?

Though the options to save taxes under the new regime are limited, the new regime proves to be extremely beneficial with tax planning strategies in place. The following are the ways to save taxes under the new regime:

1.Employer's Contribution to NPS u/s 80CCD(2)

The employer's contribution can be claimed as a deduction under this section. Up to 14% of the basic pay can be claimed as a deduction under this section. When you opt for NPS, the employer and you will contribute to the pension scheme.

2.Standard Deduction

Irrespective of whether you have made tax saving deductions or not, you can claim a standard deduction of Rs. 75,000 against your salary income under the new regime.

For salaried individuals, a standard deduction of Rs. 75,000 is allowed under the new regime.

3.Choice of Perquisites

- You can opt for a car leasing scheme if it is provided by your company, through which you can save significant taxes.
- Also, allowances like transport allowance, conveyance allowance, and daily allowance are exempt under the new regime.
- Various perquisites like mobile reimbursement, transport facility provided under railways or airways, etc. are exempt irrespective of the old or new regime.

Structure your CTC accordingly and derive the maximum tax advantage!

Income Tax Changes from 01st April, 2025 (FY 2025-26)

The following are the changes made with effect form 01st April, 2025.



Conclusion ~

2.Rebate Relaxation

Previously, under the new regime, Rs. 25,000 of rebate is allowed, making the income within Rs. 7 lakhs practically tax-free. With effect from FY 2025 - 26, Rs. 60,000 of rebate is allowed for an income within Rs. 12 lakhs under the new regime. **This makes income up to Rs. 12 lakhs tax-free.**

3.Relaxation of TDS Threshold Limits

If the payment amount does not cross a certain limit during the financial year, no TDS needs to be deducted as per the provisions of the act. This threshold limit has been relaxed from FY 2025-26, making transactions with higher value not liable to TDS. This has eased the compliance burden.

4.Deductions and Exemptions

The important changes brought this year with respect to deductions and exemptions are:

- All the tax benefits of the NPS account have now been extended to the NPS Vatsalya account.
- All the withdrawals from NPS are exempt from 29th August, 2025.
- The tax benefits available to eligible start-ups under section 80-IAC have now been extended until 2030.

Tax Savings due to New Income Tax Slabs - FY 2025-26

The following table illustrates the tax savings under the new regime for FY 2025-26, compared to the preceding financial year. The income provided in the first column is the taxable income, that is, income after reducing all the eligible deductions and exemptions under the new regime. This tax saving is fully attributed to relaxation of slab rates.

Taxable Income Level (Rs.)	Tax savings for FY 2025-26 (Rs.)
7 lakhs	0
8 lakhs	31,200
10 lakhs	52,000
12 lakhs	83,200
15 lakhs	36,400
18 lakhs	72,800
20 lakhs	93,600
25 lakhs	1,14,400
50 lakhs	1,14,400



Conclusion

Rs. 2 crore to Rs. 5 crore	25%	25%
More than Rs. 5 crore	37%	25%

For dividends and capital gains income under section 111A, 112A and 112, the maximum surcharge amount is capped at 15%, even if such income crosses the threshold limit of Rs. 2 crore.

Cess

In addition to the income tax and surcharge, a health and education cess of 4% is levied in all cases. Cess is applicable wherever there is income tax payable.

Rebate

- When your total taxable income is within a certain threshold limit, a rebate helps reduce the tax liability to zero.
- The rebate allowed differs based on the choice of regime and the financial year.
- Under the new regime, marginal relief on rebate is available, unlike under the old regime.
- With effect from FY 2025-26, the rebate is not available on special tax income. For example, capital gains, online gaming income, etc.

The following table shows the rebate applicability for FY 2025-26 under new and old regime.

Regime	Maximum Rebate	Income within which rebate is allowed
New	Rs. 60,000	Rs. 12 lakhs
Old	Rs. 12,500	Rs. 5 lakhs

Note: In all the above cases, the rebate makes the total tax liability zero.

Conclusion

The taxation system, slabs, rates, and deduction options have evolved over the years, reflecting the changing economic landscape, the government's intentions and governing style, and the advancement of technology. Therefore, it is necessary to keep pace with the changing tax laws. This will help the taxpayers not only to be tax compliance but also bring various benefits. The revised income tax slabs for FY 2025-26 (AY 2026-25) focus on increasing savings among taxpayers and reducing their compliance burden by reducing the taxes. This avoids complicated tax planning strategies and compliance requirements for taxpayers. However, the old regime may still be beneficial for those with higher incomes and large deductions. Evaluate your income and investment pattern before choosing.